PROJECT SYNDICATE DIGEST

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1. The Digital Choices Shaping our Children's Health

Author: Emmanuel Macron **Published:** Jul 1, 2026 **Link:** View Original

PARIS/GENEVA— From social media and online gaming to generative AI systems, digital environments are powerful determinants of people's health. That is especially true of children and young people. Around the world, childhood is being reprogrammed by digital technologies that shape how young people learn, play, and connect.

Our task is not to celebrate or condemn technology. It is to face a simple truth: our digital environment not only promises far-reaching benefits but also poses grave risks for children's health and development. Our responsibility is to maximize the first while preventing the second. It is not too late to act, but it is too late for merely incremental adjustments.

Digital tools can expand opportunity by supporting learning, communication, and access to health services, especially for children in remote or crisis-affected settings. For many young people, online spaces also offer creativity, community, and belonging, particularly for those facing exclusion offline.

But these benefits are not guaranteed; they depend heavily on who has access, how technologies are designed, and whose interests they serve.

Governments are increasingly recognizing that protecting children online is a public-health imperative. Australia has implemented the world's first requirement that social-media platforms prevent children under 16 from holding accounts, while France is advancing legislation to prohibit access to social media for those under 15. Indonesia has banned access for children under 16, Spain has announced plans to do so, and Ireland is working with European Union partners to develop age restrictions and age-assurance systems focused on protecting under-16s.

The United Kingdom, too, recently announced plans to ban social-media platforms from offering services to under-16s, alongside additional safeguards like restrictions on livestreaming and contacts from strangers. And Canada has introduced legislation to restrict access to social media for children under 16 while requiring stronger safety-by-design protections and accountability from platforms.

Together, these measures reflect a growing global consensus that digital environments require effective governance, age-appropriate design, and stronger safeguards to protect child health. The World Health Organization is supporting this by strengthening the research needed to develop a clearer understanding of the impact of today's and tomorrow's technologies, providing technical advice to countries, and promoting safe, equitable digital health environments.

Solutions are needed because digital environments are not neutral. How they are designed, governed, and monetized shapes many aspects of our lives, not least our health.

For example, repeated exposure to stereotyped, sexualized, violent, or discriminatory content shapes how children understand themselves and the world around them. Algorithms increasingly filter health information to increase attention rather than accuracy, allowing misleading claims to spread. The collection and use of personal data, particularly for profiling and targeted marketing, raise concerns about privacy, manipulation, and well-being.

Current evidence associates excessive digital exposure with problems such as anxiety, depression, poor sleep, increased aggression, and, in more severe cases, suicidality, especially among vulnerable adolescents. Digital marketing on platforms may expose people to promotion of harmful products, such as tobacco, alcohol, and gambling platforms.

Social media, gaming, and AI use can deepen loneliness and displace offline relationships. Prolonged use contributes to sedentary behavior and reduced sleep, which are known risk factors for noncommunicable diseases.

Online sexual exploitation and abuse are also increasing globally, alongside a sharp rise in child sexual abuse material, AI-generated abuse imagery, and deepfake sexual or bullying content. These have profound and lasting consequences for mental health, trust, and safety.

Commercial practices increase all these risks. Many platforms are designed to maximize engagement, without adequate protection from exposure to harmful content or features to protect children's physical and mental health.

Reducing exposure to illegal or extreme and graphic content is essential. But children's well-being requires more than the absence of harm. It depends on stable relationships, appropriate boundaries, physical activity, and opportunities for real-world social connection. Risks multiply when digital environments disrupt—rather than support—healthy development.

Generative AI is a major force multiplier in terms of both risks and opportunities for child well-being. Used responsibly, purpose-built AI tools may support education, accessibility, and health. But their long-term impact on children's expectations of relationships, empathy, or self-regulation are unclear. As long as that remains true, a precautionary approach is not anti-innovation. It is pro-child.

Digital balance is part of the solution. While digital environments require regulation, transparency, age-appropriate design, stronger safety and trust features, and accountability, evidence must keep pace with technology, requiring independent, longitudinal research across income settings and regions.

Above all, we must listen to today's youth. As active users of technology, they can help digital environments evolve responsibly. The online and offline worlds now form a single space where digital tools can support healthy development—or crowd it out. Young people should bring their own lived experiences to bear in order to help shape appropriate guardrails. Parents, caregivers, schools, and communities must also be part of this conversation.

This process demands sustained collaboration across governments, industry, civil society, and public-health institutions, built on a shared commitment to maximizing benefits and minimizing harms. More transparency, data sharing, health-promoting design choices, and corporate support for effective safety standards, especially for minors, are essential. The WHO can play its convening role and influence in setting norms and standards.

Our children and young people are not experimental subjects, a captive market, or a commodity. Together, we can and must shape digital environments that protect and support their healthy development. The choices we make now will echo for generations.

2. The Mismeasure of Europe’s Economy

Author: Sami Mahroum **Published:** Jul 1, 2026 **Link:** View Original

DUBAI—The debate over European competitiveness has long focused on the widening gap with the United States. But that is the wrong question. What matters is not whether the gap is widening, but the fundamentally different mechanisms through which each economy creates wealth: Europe derives much of its wealth from accumulated assets; the US relies on the continual creation of new ones.

This distinction is at the heart of the debate over how to measure the US-EU productivity gap. Paul Krugman argues that, in terms of purchasing power parity, Europe’s relative position has remained broadly stable. Fellow Nobel laureate Philippe Aghion and his co-authors, for their part, contend that at constant prices, Europe has steadily lost ground since the 1990s. Both, however, are measuring the gap; neither explains what drives it.

Europe is indeed less productive than the US, and the gap has widened by constant-price measures. But Europe is also richer than it was a decade ago: output per capita has risen, and the European Union’s employment rate reached a record 76.1% in 2025. Moreover, Europe does not feel poorer, since much of its wealth is embodied in its cities, institutions, and reputation.

What has slowed, then, is not wealth accumulation itself but the rate at which it is renewed. Slower renewal, rather than decline, is the defining feature of what might be called a “stock economy,” in contrast to America’s “flow economy.”

“Stock” and “flow” are ideal types of wealth creation, not accounting categories. A stock economy generates steady returns from assets accumulated over time: historic cities, supplier networks, legacy brands, regulatory credibility, technical know-how, and the trust that lowers transaction costs. A flow economy must continually create new wealth through frontier innovation, entrepreneurship, and rapid scaling. Europe relies heavily on inherited coordination, whereas America depends on perpetual renewal.

To be sure, Europe’s stock is far from passive. Dense supplier networks, reputational capital, and institutional credibility generate genuine productive efficiencies. Once such assets are in place, however, some of the value they generate takes the form of economic rents instead of rewards for productive investment. Landowners in prime locations, incumbents sustained by legacy brands, and protected sectors capture that surplus by controlling inherited assets. The same stock that creates efficiency also fosters entrenchment.

Milan’s fashion ecosystem illustrates how accumulated cultural resources translate into what economists call “amenity value.” As Leïla Kebir and Olivier Crevoisier’s work on the cultural geography of Swiss watchmaking shows, such inherited cultural resources continue to shape contemporary production. Simply by carrying a Milan address, a new fashion label can command an instant premium, as the location itself signals heritage, taste, and authenticity.

The distinction between stock and flow economies has significant implications for the productivity-measurement debate. Because national accounts record both actual and imputed rents as output, part of what both Krugman and Aghion treat as productivity gains reflects returns on inherited assets rather than newly created wealth.

The productivity gap, in other words, reflects not only varying levels of dynamism but also the extent to which output comes from inherited assets rather than new wealth creation. A study of the economic impact of UNESCO World Heritage designations in Italy found that listed localities experienced faster growth in both resident populations and the share of high-income taxpayers, fueling demand for luxury housing. Strip away those passive legacy rents, and Europe's dynamic core might look thinner than either Krugman or Aghion acknowledges. Viewed this way, Europe is less an economy in decline than one living comfortably off a remarkable inheritance while struggling to convert it into new growth.

Nowhere is the distinction clearer than in each economy's signature industries. Europe's defining global industry is luxury: a stock-based sector in which heritage and reputation become more valuable with time. America's economic flagships are software and, increasingly, AI, where value depends on pushing the technological frontier.

The limits of the stock economy become apparent when firms try to scale. While Europe is home to more than 35,000 startups and many world-class companies, scaling is fundamentally a flow process. Europe's capital is abundant but rooted, its talent is embedded in existing institutions, and its markets remain fragmented.

As a result, European savings are largely invested abroad. According to the European Parliament, roughly €300 billion ($343 billion) in savings leave the EU each year, much of it funding American innovation. In his 2024 report on European competitiveness, former Italian Prime Minister Mario Draghi reached a similar conclusion: Europe struggles to translate its scientific excellence, vast savings, and industrial depth into rapidly scaling firms.

Yet Europe has several institutional mechanisms for turning stock into flow. The first is the corporate spin-off, which allows incumbents to serve as incubators. ASML, the Dutch maker of the advanced lithography machines essential to semiconductor manufacturing, emerged as a joint venture between Philips and ASM International before becoming an independent company. NXP and Signify were spun off from Philips, and Infineon from Siemens. Each converted accumulated capabilities into firms built for a new technological cycle.

The second mechanism is the joint venture, which pools established capabilities into a new industrial champion. Airbus, created by combining Europe's national aerospace champions, became Boeing's only serious rival. The creation of STMicroelectronics through the merger of French and Italian semiconductor firms followed the same logic.

Last but not least is the recycling of accumulated wealth into patient capital. The Novo Nordisk Foundation, for example, channels the returns from one generation's success into the next generation of research and firms.

These mechanisms are not European versions of the Silicon Valley playbook. They represent Europe's own way of turning inherited assets into new growth engines. Europe's mistake over the past few decades has been trying to graft a venture-capital-driven flow economy onto a stock-based socioeconomic architecture built around powerful incumbents, stable rents, and incremental change. The result has been a series of sporadic VC booms that failed to transform the broader economy.

Rather than imitating Silicon Valley wholesale, Europe's challenge is to build institutions capable of unlocking trapped resources: incumbents that spin off new firms, national champions that pool capabilities, and foundations and family capital that support startups as they scale.

Seen through this lens, the Krugman-Aghion debate is less about choosing the right productivity metric than about what those metrics leave out. Although they do a good job of measuring productivity at the technological frontier, they do not capture how much of Europe's apparent performance rests on inherited assets whose productive potential remains unrealized.

3. Oligarchy's Ancient Origins

Author: Matt Simonton **Published:** Jul 1, 2026 **Link:** View Original

PRINCETON—In the autumn of 403 BCE, democracy triumphed in Athens. It was a hard-fought victory. The 27-year conflict with Sparta known as the Peloponnesian War had ended the previous year with the besieged Athenians capitulating. An authoritarian regime called the Thirty then took control of the city and, despite their claims of "virtue" and "justice," soon executed more than 1,500 people.

This paroxysm of violence inspired a democratic resistance movement, comprised in part of working-class resident foreigners and slaves. After nearly a year of civil war, the rebels had won—a remarkable moment of democratic restoration that still resonates today. To celebrate, they offered a sacrifice on the Acropolis to the city's patron goddess, Athena.

But far from the festivities, a very different kind of commemoration was taking place. Remnants of the Thirty were setting up a monument to their fallen leader, Critias. An older relative of the philosopher Plato, Critias was an intellectual, poet, and political theorist who virulently opposed the city's democracy. He had spearheaded the Thirty until his death in battle earlier that year.

To pay tribute to Critias and the entire anti-democratic movement, his fellow partisans erected an elaborate marble gravestone. A carved relief showed a fierce young woman brandishing a torch and setting another woman on fire, with the epitaph: "This is the memorial of good men, who for a brief time restrained the hubris of the cursed Athenian people." According to an ancient Greek commentator, the woman holding the torch is Oligarchy personified. Her victim is Democracy.

No trace of Critias' gravestone survives, and the only reference to it is in the marginal note of a manuscript. Some scholars have understandably doubted its existence. Surely, they argue, such a subversive object would have been built in secret, raising the question of how anyone could have recorded its content. Perhaps it is a bit of ancient fan fiction.

Still, real or invented, the monument encapsulates a major political phenomenon of classical Greece: oligarchy, or "the rule of the few." Oligarchs viewed themselves as a rarefied minority set apart by their breeding, wealth, manners, and superior education, which rendered them fit to rule. They were, in a word, the "good" of Critias' epitaph, as opposed to the unwashed majority—the demos—who lacked the training and discernment necessary for politics, and whose misplaced priorities could result only in hubris. It was the duty of every right-thinking member of the elite to hold back the tide of ignorance by whatever means necessary. (In ancient sources, the demos is often compared to a rushing river or inundating wave; the torch imagery of the tombstone, opposing fire to water, may therefore be deliberate.)

If the oligarchic sentiment embodied in Critias' monument seems extreme, that is because it reflects the bitterness of the struggle between democracy and oligarchy in classical Greece. It is well known that, beginning in the fifth century BCE, Greek thinkers devised a simple yet ingenious method for classifying constitutional types based on number. States could be ruled by the one (tyranny), the few (oligarchy), or the many (democracy). What is less understood is that democracy and oligarchy quickly became the two most common—and most violently opposed—forms.

Writing in the fourth century BCE, Aristotle observed in The Politics that "most constitutions are either democratic or oligarchic." It would not be an exaggeration to say that the choice between the two nearly tore the Greek world apart. Columbia University historian John Ma, in his recent history of the ancient Greek polis, refers to the period between about 460 and 360 BCE as a "Hundred Years' War" between democracy and oligarchy. Much more than tyranny, oligarchy was the great nemesis of popular government.

But oligarchy, no matter how ubiquitous, never had widespread appeal. Oligarchs were not a political “party” who alternated with democrats through peaceful transfers of power. Most constitutional changes were the result of a coup d’état. That was true even for the establishment of democracies. But whereas democracies, almost by definition, enjoyed the support of a majority of citizens, oligarchies often managed to persist in spite of their unpopularity.

Ancient Greek oligarchies are a case study in how skillfully designed institutions can preserve even the most authoritarian regimes. On the surface, oligarchy relied on a property requirement to ensure that only a minority of the population, perhaps the wealthiest 10–15% of the male citizen population, had access to political office. But oligarchy had a strong ideological class component, too. As Aristotle rightly observed, oligarchy and democracy refer to number, but actually entail the rule of the rich and the poor, respectively.

To maintain power, the oligarchic “gentlemen’s club” employed a classic strategy of divide and rule. Leading lights from the opposition were co-opted into the regime. Publicly posted rewards for informants sowed doubt and division among would-be conspirators. Movement in the central spaces of the polis, where protest could spiral into revolution, was heavily regulated. And if the domestic scene grew turbulent, international allies stepped in to restore “order”: the Spartans in particular were notorious for intervening to help shore up oligarchies.

One set of institutions thus dealt with the restive demos; another maintained tolerable relations within the ranks of the oligarchs themselves. Cooperation among these outsize egos could not be taken for granted, even though their survival depended on it. (If that sounds far-fetched, just imagine a government composed exclusively of the billionaires who flanked US President Donald Trump at his second inauguration. Mark Zuckerberg, Jeff Bezos, Tim Cook, Sergey Brin, and Elon Musk may benefit from the current order, but it is far from clear that they could cooperate long enough to sustain it.)

Equipped with this institutional order, oligarchy had a decent run. In the end, however, it could not withstand the spread of democracy. This may come as a surprise: a common narrative—promoted by, among others, the framers of the US Constitution—holds that the tumultuous direct democracies of antiquity inevitably succumbed to demagoguery and disorder. The history of Athens itself, as told by the historian Thucydides, has been used to bolster this story.

But contemporary scholars, drawing on new literary, inscriptional, and archaeological discoveries, increasingly agree that democracy did not begin and end with classical Athens. In fact, between the third and second centuries BCE, democracy may have been the most common form of government in the ancient Greek world. It was celebrated in painting, coinage, sculpture, and everyday discourse as the best way to secure freedom and equality for the free male citizen (slavery and gender-based exclusion being notorious features of the ancient Greek regimes that identified as “democracies”). Then as now, hardly anyone spoke well of oligarchy in public—in fact, Critias’ tombstone, if it existed, would represent the sole attested instance of oligarchia depicted in art.

After some time in abeyance, the word “oligarchy” has come roaring back in the United States. It first reappeared on the political agenda in the 2010s, with the Occupy Wall Street movement and Bernie Sanders’s 2016 presidential campaign, and gained wider currency in January 2025, when former US President Joe Biden warned in his farewell address of “an oligarchy … of extreme wealth, power, and influence that literally threatens our entire democracy.” When people hear the term now, they are more likely to think of American tech bros than the Russian super-rich who accumulated their wealth by appropriating state assets in the 1990s.

In many ways, American society is ill-prepared for this moment. Despite the importance of oligarchy in Greek antiquity, where so many of the United States' political ideas originate, the issue was largely sidelined in constitutional debates of the early modern period. That is partly because the US Constitution's framers shifted the terms of discourse away from "democracy vs. oligarchy" and toward a contrast between the rule of law and the tyranny of the majority.

The Federalists, in particular, sought to downplay the loss in democratic power that might come with the incorporation of the separate states into the strong federal union they envisaged. As numerous scholars have pointed out, the proposed Constitution of 1787 was far less democratic than many state politicians and constituents preferred. But in the first of the Federalist Papers, Alexander Hamilton assured readers that "a dangerous ambition more often lurks behind the specious mask of zeal for the rights of the people than under the forbidden appearance of zeal for the firmness and efficiency of government." In other words, it was an excess of democracy, rather than its deficit, that would lead to political instability.

As a result, the Federalists were somewhat on the defensive when it came to touting the popular bona fides of the Constitution. James Madison admitted in Federalist 38 that the most common charges against the document were that it would end in monarchy or aristocracy; there was little danger, it seems, that it was too democratic.

But we can still draw on the Federalists for rhetorical ammunition against the idea that the US Constitution was not meant to be democratic at all. The claim that the United States is a "republic, not a democracy" continues to circulate, with the understanding that a majority vote should not necessarily prevail. As Madison explained in Federalist 10 and 14, however, what "republican" means in practice is primarily the use of representative, rather than direct, voting on legislation. In both cases, the method for tallying votes is majoritarian.

In fact, in an indirect allusion to oligarchy, Madison stated that "[i]f a faction consists of less than a majority, relief is supplied by the republican principle, which enables the majority to defeat its sinister views by regular vote." Madison seems incapable of imagining that a majority could be held hostage to a stubborn minority holdout.

Hamilton, while not necessarily a friend of democracy, also had sharp words for super-majoritarian, as opposed to bare majority, voting rules. "To give a minority a negative upon the majority," he wrote in Federalist 22, "(which is always the case where more than a majority is requisite to a decision), is, in its tendency, to subject the sense of the greater number to that of the lesser." Such a system aims "to substitute the pleasure, caprice, or artifices of an insignificant, turbulent, or corrupt junto, to the regular deliberations and decisions of a respectable majority."

And yet, the process that Hamilton disparaged is precisely how the US now regularly formulates policy, through the use of the Senate filibuster. Two-fifths of the Senate, potentially representing only about 10% of the total US population, can stymie legislation through its de facto veto. So long as this continues, America is effectively governed by an oligarchy, against the express intentions of the Federalists—men who were not all that enamored of democracy to begin with.

The US faces unprecedented challenges. In addition to Trump's daily attacks on the rule of law, American society must decide how to navigate the rise of AI, climate change, and runaway inequality, among many other issues. Progress will require, at a minimum, insisting on the basic rights of democratic majorities as guaranteed by the Constitution. To maintain the status quo is to do the oligarchs' work for them. In antiquity, oligarchy was imagined as actively setting fire to democracy. Today, as the meme goes, democrats sit in a burning building of their own making and declare, "This is fine."

4. 250 Years of American State Capitalism

Author: Shang-Jin Wei **Published:** Jul 2, 2026 **Link:** View Original

NEW YORK—As the United States marks 250 years since the signing of the Declaration of Independence this summer, there is no better time to reckon with one of the great myths of American economic life: that the country's prosperity was built on laissez-faire capitalism. From its very founding, the US has had a hybrid model in which the state directs, subsidizes, and occasionally bails out private enterprise in the service of national priorities. While the prevailing narrative has often extolled free markets, policymaking itself has been more pragmatic.

This story begins not with Barack Obama's health-care program, or even with Franklin D. Roosevelt's New Deal in the 1930s, but with the very first US administration, under George Washington. In 1791, Secretary of the Treasury Alexander Hamilton submitted to Congress what was arguably the first government document in world history to lay out a systematic, intellectual case for industrial policy. In his Report on Manufactures, he noted that infant industries in the US, particularly textiles and garments, could not compete effectively against established British manufacturers without government protection. He proposed the use of tariffs and subsidies to nurture the industries of the future.

Hamilton lost the immediate battle when a still agrarian-minded Congress tabled his report. But he ultimately won the war, because his ideas would go on to shape American economic policy for the next century. Henry Clay's "American System," along with the protective tariffs that helped industrialize the North and the federal land grants that built the transcontinental railroads, all bore Hamilton's intellectual fingerprints. Industrial policy, it turns out, was not invented in Brussels, Beijing, Tokyo, or Moscow.

This founding pragmatism never disappeared. During the 20th century, the Cold War forged the military-industrial complex. DARPA invented the internet, NASA developed and then spun off technologies that would shape entire industries, and federal procurement contracts sustained America's aerospace and semiconductor sectors for decades. The Interstate Highway System, built under Dwight Eisenhower, was not only one of the largest infrastructure investments in history; it was also a decisive federal subsidy to the automobile industry. And when the 2008 financial crisis hit, the government took equity stakes in banks and automakers, once again flouting free-market orthodoxy.

Yet the myth of laissez-faire America has proved remarkably durable, functioning almost as a national religion, even as the practice diverged from the creed. Moreover, the same orthodoxy, promoted through the US-dominated World Bank and USAID, sometimes served as a barrier to practical economic development in other countries.

In a recent research paper, "The United States as an Active Industrial Policy Nation," Jiandong Ju, Yuankun Li, and I document this gap between rhetoric and reality. We systematically analyzed all 12,167 congressional acts and 6,030 presidential orders issued between 1973 and 2022, using large language models to identify policies that deliberately altered the economic structure away from laissez-faire outcomes. The results are striking.

We identified 267 congressional acts and 187 presidential orders containing significant new industrial policies. That is more than nine new industrial-policy directives per year across a half-century period, and the pattern holds regardless of which party controlled the White House or Congress. Every president from Richard Nixon to Joe Biden promulgated new industrial policies. The difference between the two parties has been a matter of degree, not of kind.

Our research also uncovers some interesting features of US industrial policies. For example, we find that American policymakers have historically built guardrails into economic interventions. Some 59% of all industrial-policy laws and orders carry an explicit expiration date, with an average duration of roughly four years. Many are framed explicitly as pilot programs—experiments that can be wound down if they fail. Some include conditional triggers: “Buy America” procurement preferences, for example, apply only if the domestic price is no greater than 125% of the international market price. If the inefficiency becomes too large, the subsidy lapses.

As America turns 250, the pendulum has swung visibly back toward explicit state capitalism. The CHIPS and Science Act, the Inflation Reduction Act, and the aggressive tariffs deployed by both President Donald Trump and Biden do not represent major qualitative departures from American tradition.

But the current debate—between those who see creeping socialism and those demanding a more equitable distribution of the gains—risks overlooking a longer continuity. The US has never been a pure laissez-faire economy. From the very beginning, it has been a state that is willing to use its power strategically, what it regards as the failure of laissez-faire, while maintaining a competitive private sector as the engine of growth and innovation.

The real secret of American economic success over the past 250 years is not a dogmatic commitment to either markets or the state. It is a pragmatic willingness to use both. As the country looks toward the future, that pragmatism may be one of its most important inheritances.

5. Three Essentials of a More Equal World Order

Author: Jenny Ricks **Published:** Jul 2, 2026 **Link:** View Original

JOHANNESBURG—Brazilian President Luiz Inácio Lula da Silva, speaking at the first Global Progressive Mobilisation meeting in April, highlighted the connection between democracy and material dignity. If citizens do not believe that their lives will get better, democracy will continue to be challenged by populists and other authoritarians who falsely promise that only they can improve the lot of ordinary people.

There is likewise a growing awareness of the inequities embedded in the international order. Unless people who bear the costs of others' decisions and actions can influence the multilateral system and hold powerful actors to account, the international order will be viewed as unjust and illegitimate.

Fortunately, momentum is building for a global reordering. In May, United Nations Secretary-General António Guterres launched the Counting What Counts report, which addresses a long-standing blind spot in measuring progress. While acknowledging that GDP is still an important metric, Guterres underscored the need for a more sophisticated and humane accounting system that "consciously aligns metrics with our actual goals—not proxy measures that obscure or hide the challenges our world is facing."

But some worry that efforts to design a multilateral system around the global majority will end up preserving the existing architecture, just with new figureheads. To avert this outcome, the international community must focus on building enforceable mechanisms that can provide countries with greater fiscal autonomy.

What would that look like in practice? For starters, a binding UN framework for sovereign-debt restructuring would move rule- and decision-making from behind closed doors to rooms where all sit around the table. The current debt architecture leaves countries like Malawi spending 43% of its revenue on interest payments. That would change if debtors had a seat at the table.

Unlike the Paris Club of sovereign creditors, which China has not joined, or the G20's Common Framework for Debt Treatments, which has stalled because private bondholders' participation is voluntary, a UN mechanism could impose requirements that effectively bind all creditors to a single process. These could include automatic standstills on payments once restructuring negotiations begin, comparable losses across public and private creditors, and an independent debt sustainability assessment that counts borrowers' spending on health and climate as a senior, rather than subordinate, claim.

On the matter of taxation, negotiations on the UN Framework Convention on International Tax Cooperation are an important opportunity to set global rules. (While the OECD/G20 Inclusive Framework on Base Erosion and Profit Shifting made progress on adopting a global minimum corporate tax, American multinationals have since been exempted.) An ambitious convention would set a minimum effective corporate tax rate that counteracts profit-shifting and require all countries to exchange financial information automatically.

The convention should also establish a coordinated tax on extreme wealth of the kind Brazil proposed as part of its G20 presidency in 2024. A 2% annual levy on the world's billionaires would raise hundreds of billions of dollars for public investment. The tools exist; the problem is establishing who would control them.

Lastly, the international community needs a standing mechanism to test the legitimacy of sovereign claims before populations are forced to repay them. When a fund like Malaysia's 1MDB is looted of billions of dollars with the help of leading banks, which collect exorbitant fees for managing bond issues and don't look back, the loss falls on citizens. A UN-anchored process to identify and void debts contracted through fraud or against the public interest would shift the risk back to where it belongs: reckless lenders, not the people who were robbed.

None of this gets built from the top down. The same governments that advocate wealth levies in the global arena often impose austerity or avoid taxing the rich at home like India, Brazil, and France. A new international order must rest on efforts to close that gap, which require governments that lead with their principles, and citizens who shape those promises and hold their leaders accountable for meeting them.

Domestic movements also force governments to behave differently on the global stage, and the commitments made there stay confined to paper until there are constituencies at home to enforce them. Therefore, citizens must organize in capitals and conference halls at the same time, because an order that answers to them can be won only on both fronts.

The cleaner paying over half her wage to reach work, the farmer who cannot afford fertilizer, and the care worker whose labor is never reflected in national accounts are now recognizing that their seemingly disparate problems are a symptom of a structural flaw. The international order has devolved into a system that asks the global majority to pay for a set of rules they did not write. Designing a new one requires handing them the pen.

The choice is not between the old order and chaos, but between a new order built around the global majority and one that simply swaps in a slightly different set of figureheads. Citizen movements are not peripheral to this more equitable order; they are its driving force. These groups grasp the true dynamics of the world economy. The challenge now is to ensure that the people designing new international institutions do as well.

6. The US as the World’s Robber Baron

Author: Dani Rodrik **Published:** Jul 2, 2026 **Link:** View Original

CAMBRIDGE—In a remarkable commentary published at the end of June, a former leading economist in the Trump administration acknowledges (and endorses) what many have suspected: The function of Trump’s foreign economic policy is to act like a 21st-century robber baron.

The original robber barons were greedy industrialists who grew rich through monopolistic practices in the United States during the Gilded Age. In the late 19th century, men like John D. Rockefeller and Andrew Carnegie built massive fortunes by suppressing competition and charging exorbitant prices in industries such as oil and steel.

They were called robbers because exploiting your consumers to enrich yourself is probably the most denigrated business practice in the world. Yet that is precisely what the US has been doing over the past year and a half, boasts Stephan Miran, chair of President Donald Trump’s Council of Economic Advisers until February 2026, who now serves on the board of the US Federal Reserve. Miran applauds this approach, arguing that it is working wonders for the US (never mind foreigners!).

Miran does not state his case this clearly, of course. Couching his argument in technical terms that obfuscate the full implications of his argument, he appeals to economists’ idea of the “optimum tariff,” which states that a country can make itself better off by applying protective import levies. Of course, such a strategy works only if a country is large enough to wield market power in the world economy—that is, if it acts as a monopolist. An optimum-tariff policy is the country-level equivalent of the strategy perfected by Rockefeller’s Standard Oil in the 1880s.

By reducing demand for the goods sold by its trade partners (and equivalently reducing the supply of its own exports on world markets), the optimum tariff shifts world market prices in favor of the home economy, essentially making foreigners pay a large chunk of the tariff. When the tariff is set at the right level, whatever the country loses on the gains from trade is more than made up for in monopoly rents. The losers are the country’s trade partners (and the world economy as a whole).

Although this is the archetypal beggar-thy-neighbor dynamic, Miran thinks it is a great deal for the US, because it kills two birds with one stone. Aside from the monopoly rents, the policy allows the federal government to reduce the inefficiencies associated with domestic taxes. Tariffs generate revenues for the treasury, which can be used to offset the revenue losses from reducing other taxes, such as those on income. The economic logic, in his mind, is impeccable.

One difficulty is that despite its size and apparent market power, the US may not have as much ability to make foreigners pay the tariffs as Miran thinks. Recent evidence suggests that the bulk, if not all, of US tariffs are passed on to domestic consumers.

But the real problem with Miran’s argument lies elsewhere. It beggars belief to suggest that, in this day and age, it makes sense for a major power to extract tribute from other countries so blatantly. In offering his cold calculus, Miran seems not to have considered the loss in reputation and credibility that the US has suffered by acting like a robber baron. The fall in stature to international pariah may not be easy to price in dollars and cents; but it is substantial, nonetheless.

Miran may not care about America's standing in the world, but his economic argument is also ultimately self-defeating. When economists discuss the optimum tariff, they typically hasten to add that it does not work in the long run. After all, more than one country can play the same game. The European Union and China each account for roughly similar shares of world trade as the US. When the US jacks up its tariff to improve its terms of trade, the world's other trading powers can do the same. And since retaliation offsets the terms-of-trade effects but magnifies the loss in the gains from trade (leaving all countries—including the US—worse off), it can be an effective deterrent.

Miran claims that there was no retaliation when Trump first imposed his tariffs, which he sees as a strike against those economists who claimed the optimum tariff would fail. But while it is true that the European response was muted, China did in fact retaliate against the "Liberation Day" tariffs. Vowing to match every further tariff increase on the US side, the Chinese ministry of commerce said: "China will fight till the end if the US side is bent on going down the wrong path." The US and China eventually lowered their tariffs.

Ironically, Miran's willingness to say the quiet part out loud virtually ensures that others, including the EU, will choose to retaliate if the US persists with its optimum-tariff logic. It is one thing to claim that you are raising tariffs because of national-security concerns or because you want to reinvigorate domestic manufacturing. These are plausible domestic-policy objectives, even if one may disagree about the usefulness of import tariffs in achieving them. But it is quite another thing to say, as Miran does, that the goal is to squeeze monopoly rents out of foreign countries by manipulating their terms of trade. When that is so clearly presented as the objective, others will respond accordingly.

I was among those who argued against retaliation a year ago, because I believed Trump to be impervious to the damage high tariffs (at home or abroad) would do to the US economy. The logic of retaliation works only if political leaders understand the economic consequences of high tariffs and care about the gains from trade. The paradox is that by replacing Trump's illogic with an economic logic that now fully justifies retaliation by other countries, Miran's argument undermines itself.

A trade policy based on the optimum-tariff argument amounts to a naked assertion of economic power designed to harm others, including long-term allies in Europe and East Asia. Such an approach provides, at best, short-term gains at the expense of soft power and global leadership. It is also economically self-defeating and will inevitably backfire.

7. How Safe Are Today's Blockbuster Tech Stocks?

Author: Barry Eichengreen **Published:** Jul 3, 2026 **Link:** View Original

DARTMOUTH, UK—Questions about the financial implications of radical new technologies—AI, space travel, and their associated infrastructures, to pick a few—have led to a veritable analogy-fest. Is this a replay of the railway boom of the 1870s, which came to grief in the 1880s? A repeat of the electrification boom of the 1890s, which unfolded smoothly but took three decades to play out?

No analogy is perfect. Nor should we seek one: the most valuable insights often derive from how precedents differ from the case being considered as much as from their similarities.

In that spirit, an especially apposite case is Nippon Telegraph and Telephone's February 1987 initial public offering. In terms of its financial footprint, NTT's IPO put SpaceX's in the shade, amounting to 7–10% of then-existing Japanese stock-market capitalization (depending on what's counted), compared to SpaceX's 2.5% of current US stock-market capitalization. Take that, Elon Musk! Even if one adds the forthcoming OpenAI and Anthropic IPOs, the footprint of NTT's late-1980s offering remains overwhelmingly large.

Yet Japanese stock markets digested NTT's IPO with nary a hiccup. Not only were initial price expectations met, but NTT shares rose strongly from there, doubling in the first two months of trading.

One reason for investors' enthusiasm was that NTT was the dominant company in the Japanese telecom sector. It symbolized the country's transformation from a manufacturing powerhouse to an information society. It effectively monopolized telecom networks, data transmission, and digital connectivity. It was seen not just as a source of monopoly rents but as a bet on information technology generally. Even if fax machines and dial-up modems fell out of fashion, the company was well positioned to capitalize on what came next.

There was also pressure for institutional investors to load up on NTT shares. Just as managers of index funds today are compelled to buy SpaceX when the company is added to indices they are mandated to track, Japanese banks and insurance companies were obliged to buy NTT shares or be seen as taking a bet against Japan's information society. And, given the weight of NTT in the Nikkei, that meant betting against the Japanese stock market and the Japanese economy generally. In an environment where managers were punished for conspicuous losses and only mildly rewarded for successful bets, contrarian positions were taken at personal and institutional risk.

NTT shares benefited from a supportive macroeconomic and financial environment as well. Economic growth had slowed from the miracle period in the third quarter of the 20th century, but Japan was still regarded as a formidable competitor. It was less than a decade since the Harvard sociologist Ezra Vogel's bestseller Japan as Number One, a title not yet regarded with irony. The Nikkei Stock Average rose by 14% in 1985 and an astounding 43% in 1986. The Bank of Japan halved its policy rate from 5% in early 1984 to just 2.5% in early 1987, leading investors to seek alternatives to Japanese government bonds.

We now know that investor enthusiasm was overwrought. The Bank of Japan began raising interest rates in May 1989, in an effort to lean against financial excesses. The Nikkei peaked in December, and it was all downhill from there. Notably, however, NTT shares had already peaked in April 1987. By April 1988 they were down by 25%, and by April 1989 they had fallen by another 37%. In the 1990s, NTT shares hovered at around one-third to one-half of their bubble-era valuation.

The irony was that NTT performed well over this period. In the 1990s, it continued to expand into new forms of telecommunications and data services. But its business model was more capital-intensive than investors, envisaging disembodied digital technologies, had assumed.

Over time, moreover, the company faced new competition. Mobile telephony lowered entry barriers by eliminating the need for telecom firms to own the entire “digital stack” (physical as well as technological infrastructure). Thus, positive productivity performance did not automatically deliver super-profitability. And NTT shares had been priced for perfection.

There are several notable implications for today. First, a favorable macroeconomic and financial backdrop can support investor sentiment for a time, but that context can change abruptly—along with the sentiment. This observation is timely today, given how the Fed is poised to raise interest rates.

Second, institutional factors, such as the need for fund managers to track equity indexes, can reinforce market momentum. But momentum runs in both directions: it can perpetuate share-price increases but also reinforce share-price declines once the latter are underway.

Third, technological and market dominance is not forever. As technology continues to evolve, a first mover can experience competition that squeezes profits and investor returns in a manner incompatible with rich share valuations.

Again, no analogy is perfect. But this does not weaken their value as warning signs.

8. Europe’s AI Dolce Vita?

Author: Kenneth Rogoff **Published:** Jul 3, 2026 **Link:** View Original

PARIS—In many respects, the European Union appears likely to become one of the AI revolution’s biggest losers, with China and the United States leaving its economies in the dust. Even if European energy policies were not already making a massive data-center buildout prohibitively expensive, its fragmented capital markets would make raising the necessary financing extraordinarily difficult.

Europe’s high tax burden, in particular, makes it harder to cultivate and retain AI superstars, much less attract them from abroad. Meanwhile, its ever-expanding regulatory state discourages business formation and entrepreneurship.

But even without the AI boom, Europe’s aging welfare states look increasingly unsustainable. Economic growth has been glacial—Germany, the continent’s largest economy, has effectively stalled—while rearmament is placing ever greater demands on public finances. Compounding these problems is a shortage of centrist political leaders capable of containing populist movements on both the left and the right, both of which would likely favor higher public spending if they gained power. As a result, a major crisis seems inevitable.

And yet, Europe does have one decisive advantage: its societies are far further along than those of the US and Asia in adapting to a world of abundance. Thanks to generous welfare states and tax systems that encourage individuals to seek refuge in non-market activities, Europeans are generally less career-oriented than most Americans or Asians, placing greater value on leisure, community, and culture. They take longer vacations, work fewer hours, and spend more time with family and friends—though this has not spared the continent from the global collapse in birth rates.

To be sure, the EU is currently pursuing abundance while sapping its economies of the dynamism needed to achieve it. If global real interest rates remain elevated for a prolonged period, its heavy debt burden will continue to act as a drag on growth. Given their strained public finances, it is far from clear how Europe’s economies could absorb a major shock—whether cyberwar, conflict over Taiwan, or something else—without triggering another debt or financial crisis.

The good news is that debt crises eventually end. If AI ultimately delivers extraordinary productivity gains without giving rise to any of the catastrophic scenarios predicted by tech skeptics, Europe could emerge as the world’s premier lifestyle destination. People may travel there not only to buy luxury goods, but also to learn how to make the most of their newfound free time.

If Europe can teach the world how to live in an age of abundance, it may have just as much to teach policymakers about governing one. Its value-added tax (VAT) system, for example, looks increasingly like a tax structure designed for a post-work economy—or at least for one in which consumption is taxed more heavily than labor income. Consumption taxes are generally more efficient and less distortionary than income taxes, and encourage saving, even if they can be somewhat more difficult to administer.

Moreover, VATs are more politically feasible than wealth taxes yet achieve many of the same objectives by reducing the purchasing power of capital. While a VAT can have regressive effects, these become much less concerning when the revenues are used to finance large transfers to low- and middle-income households.

Europe's long-standing political consensus in favor of income and wealth redistribution may prove an unexpected strength. If AI significantly reduces labor's share of income, societies already accustomed to redistributive policies may adapt more easily than those built around work as the primary source of income.

Immigration, however, remains a major challenge. Europe's relatively generous welfare states have found it much harder to integrate large migrant inflows than America's market-oriented system. In the US, many immigrants understand that they need to find work, as access to federal benefits is generally contingent on immigration status. In much of Europe, by contrast, asylum seekers and recognized refugees receive publicly funded housing and benefits, adding strain to increasingly overburdened welfare systems. With more time on their hands and fewer economic outlets, citizens may become even more resentful of perceived competition from immigrants, creating fertile ground for increasingly noxious politics.

For all of Europe's current energy problems, the picture could look very different in another decade or so. Assuming green technologies continue to improve, the continent may ultimately find itself on the right side of energy history. Conversely, America's renewed emphasis on fossil fuels under President Donald Trump could leave it with comparatively high energy costs, rather than the cost advantage it has long enjoyed.

Europe has another, subtler political advantage: it has not spawned the same class of tech oligarchs that the US has. That, along with the absence of a Trump-like political figure, may be one reason it has been somewhat more successful at preserving democratic norms.

None of this diminishes the formidable challenges facing Europe in an AI-centric world. Its relative economic decline may continue for years to come. Still, if AI lives up to its promise and ushers in an age of material abundance, Europe may discover that its greatest comparative advantage lies not in building the most advanced systems, but in demonstrating how to live well in the world they create.

Unfortunately, as chess players like to say, before the endgame, the gods have placed the middlegame. Europe may have compelling ideas about how to live in an age of abundance, but it must first find a way to get there.

9. From the American Revolution to Universal Suffrage

Author: Danielle Allen **Published:** Jul 3, 2026 **Link:** View Original

CAMBRIDGE—October 1765 found 30-year-old Charles Lennox, the Third Duke of Richmond, serving as Britain's ambassador to the Court of Versailles. Largely unknown to contemporary scholars, Richmond was already five years into a bitter feud with King George III and in his first major post, though one beneath his abilities and ambitions.

Within a few years, Richmond's political trajectory would intersect with that of Thomas Paine. By 1768, he had become Paine's first patron, when Paine was working as an excise officer in southern England and secretly writing radical political tracts. A decade later, Paine was in America, having written Common Sense, while Richmond had emerged as one of the most outspoken defenders of the American cause in the House of Lords and the first member of Parliament (MP) to recommend recognizing American independence.

On June 3, 1780, Richmond introduced what is widely considered the first bill proposing universal manhood suffrage. While the origins of that proposal lay in his earlier work in Paris, it was the American Revolution that made it necessary —not as a solution to the war itself, but as an answer to a deeper constitutional issue the war had exposed. Universal suffrage arrived on the world stage as a remedy for domestic tensions generated by Britain's imperial expansion.

Richmond's path to universal suffrage invites a reconsideration of how we understand the relationship between empire and popular sovereignty. While in Paris, he was tasked with resolving lingering issues from the Franco-British Seven Years' War: disputes over fishing rights in Nova Scotia, compensation for British merchants left holding now-worthless French currency, and, most importantly, the governance of the newly acquired Canada.

Richmond carried this work into 1766, when he briefly served as secretary of state responsible for parts of Europe and the American colonies. In that role, he advanced religious toleration of Canadian Catholics—the first such policy in British colonial history. At the same time, he began to consider how to link the colonies to the English government through the King, with support from local assemblies.

A serious student of political philosophy—especially Montesquieu—Richmond was a Whig in the sense that he treasured British liberties and believed British subjects deserved to have a voice in government through a legislature acting in conjunction with the King. For Canadians, that meant religious toleration and political representation.

With remarkable acuity, Richmond was sketching the principles that would later become the 1774 Quebec Act, which granted Canadian Catholics freedom of religion and restored French civil law in the colony. Although the Act alienated many American colonists, who saw the toleration of Catholicism as a betrayal of their British liberties, it also marked the emergence of the British Empire's defining strategy: governing through accommodation of local customs.

Yet the Quebec Act departed sharply from Richmond's vision in one critical respect. By 1774, he was in opposition, and Lord North's government had placed Canada under the control of a "governor-in-council," vesting authority in a governor and an appointed advisory body without an elected legislature. While supportive of the Act's toleration of Canadian Catholics, Richmond opposed the arrangement, arguing that it created an executive with unchecked power. In Parliament, he rebuked the government for repeatedly invoking "immediate necessity" to justify its constitutional innovations and allowing those emergency measures to become what he called an "engine of oppression and tyranny."

As conflict intensified in the colonies south of Canada, Richmond grew increasingly sympathetic to the colonists' claim that Parliament should not exercise legislative authority over them. While he still believed that the American colonies should remain within the British Empire, he was no longer convinced that Parliament held sovereignty over them. In his view, the Americans needed their own legislatures, much as the Canadians did. They should recognize the King as their sovereign, but not Parliament as their representative body.

In this issue of PS Quarterly—available exclusively to Premium subscribers—Danielle Allen, Sarah M.S. Pearsall, Steve Pincus, and other leading thinkers examine the impact, limitations, and legacy of America's founding document, and consider where US democracy is headed 250 years later.

This created a constitutional puzzle. In 18th-century Britain, sovereignty was understood to lie in the combined authority of the monarch and the legislature, an arrangement known as "King-in-Parliament." The Crown did not act independently of Parliament, and the idea that it might govern the colonies on its own did not fit within that framework.

By early 1775, even the parliamentary opposition agreed that the American conflict had triggered a constitutional crisis. Members of the opposition, however, were deeply divided. Richmond, for his part, decried "the desperate temerity of the Ministry" and wished that "all the real friends of England and of America" would "heartily unite to save the Nation."

Seeking to unify his faction, Richmond helped advance an expansive bill calling for the withdrawal of standing armies from the colonies, a promise not to tax subjects without their consent through provincial assemblies, and the restoration of trial by jury in civil cases. It was a serious attempt to avert war, one that might have laid the foundation for something like the modern British Commonwealth. But the King and his ministers adamantly opposed this solution.

The summer of 1775 brought one final attempt at reconciliation. At the urging of John Dickinson, the Continental Congress sent its Olive Branch Petition directly to the King, bypassing Parliament and asking him to dismiss his cabinet and repeal the laws to which they objected.

The Americans had concluded that George III was the true source of authority. But the King rejected that notion, declaring the petition an unconstitutional request to overrule Parliament. The laws in question had been passed by the legislature, and he was merely executing its will. The Privy Council soon issued a proclamation declaring the colonies in "open and avowed rebellion" and pledging to use "utmost endeavours" to suppress them.

For most Whigs, the King's supposed submission to Parliament was a farce. They believed influence ran in the opposite direction, as the Crown invested in elections to secure supporters in the Commons and dispensed lucrative "places" as patronage. By 1780, the government commanded the loyalty of about 200 of the House of Commons' 558 members. This arithmetic explained why the opposition seldom prevailed: it was consistently outspent.

When the King opened Parliament on October 13, 1775, he again insisted that the Americans must be suppressed. Reports from across the Atlantic, he claimed, gave him "the strongest Hopes of the most decisive good Consequences." Richmond rose to object, arguing that the policy of punishing the Americans had merely introduced "a new Cause of War and Revolt."

Turning the King's own language against him, Richmond invoked the phrase "bloody and expensive," which George III had once used to describe the war with France that he inherited in 1760. Now, it was applied to the civil war his ministers had provoked, in which Britain was "almost inextricably involved." The war, he warned, would exhaust the country's resources, leave it vulnerable to France and Spain, and bring "the most deplorable Calamities to the whole British Race."

He then pressed the constitutional point. The government's strategy left only two options: the complete subjection of the Americans or their independence. Each new measure stripped colonial liberties, and every military action destroyed the colonists' sentimental bonds with Britain.

Yet the British, as Richmond saw them, were defined by a spirit of liberty. Attempting to “break the Spirit of any large Part of the British Nation” should therefore provoke “Shame and Horror.” The colonies, he argued, should be preserved as societies of free people: British because they were free, and free because they were British.

A shift in policy was required. No legislation had ever described the relationship between the British Empire and the American colonies in positive terms, as one grounded in connection and freedom. But that was precisely what was needed. As he had once sought to clarify Canada’s place within the imperial system, Richmond now sought to clarify America’s. The Crown’s policy, he maintained, should be “to regulate, not to destroy.” Any victory achieved by stripping subjects of their constitutional liberties opened the door to the same degradations at home. The treatment of the Americans risked “establishing Precedents the most dangerous to the Liberties of this Kingdom.”

Richmond did not yet have a solution to this puzzle. He had, however, brought the problem into sharper focus. Given the structure of British constitutionalism, the war seemed to demand the subjection of the Americans to the authority of Parliament. But what the Americans wanted most was their own legislature. Preserving that constitutional order would paradoxically require limiting Parliament’s power over the colonies while giving the King a more direct relationship with them.

This, in turn, raised another conundrum. If Parliament gave up control over the colonies, what would prevent the King from overpowering its two Houses? Would maintaining America within Britain’s orbit unduly strengthen the monarch? Such an outcome would be unacceptable. Richmond needed to find a way to preserve, or even bolster, Parliament’s strength and independence from the Crown even while limiting the scope of its authority over the colonies.

In the summer of 1779, Richmond’s thinking began to crystallize. We know this from the marginalia in the books he was reading. These notes, which have never been published, capture the moment at which a modern conception of representation was born. Richmond was reading a remonstrance against George III that observed: “It is the misfortune of your majesty; it is the misfortune and grief of your People; to have a Grand Council [Parliament] and a Representative under an undue and dangerous Influence.”

He marked the sentence with an asterisk and wrote: “This is the real source of all the evils and danger with which the Nation is at present afflicted; no Remedy, therefore, can be so efficacious as a Reformation in that very point. There cannot be a legal government in this kingdom, without a due Representation of all the People.”

Only one in 75 people had the right to vote, Richmond noted, and not all who held that right exercised it. Parliament had become “rather a misrepresentation than a Representation of the People.” Every individual, he wrote, “ought to be esteemed in the State, what he is in the Christian church; viz a Member of it; because no inheritances of Land, Houses, etc., are to be esteemed so valuable as that common inheritance in the Laws, to which everyone is entitled.” On the next page, he added: “There can be no constitutional Authority without the free and uninfluenced assent of the Majority of the People.”

With that, Richmond arrived at a reconceptualization of the foundations of the British political system: the surest way to secure Parliament’s independence from the King was to extend the franchise. If every adult man could vote on behalf of his family, and if each MP owed his seat to a broad constituency rather than to a narrow, patronage-driven one, MPs could no longer be bought. Popular sovereignty would thus make it possible to bind a monarch to multiple legislatures across his realm without weakening them, while universal manhood suffrage offered a way to preserve British liberty at home amid imperial expansion.

Prompted by the American Revolution, Richmond gained insight into how executive power could be restrained. The broader the electorate and the more competitive the elections, the less likely corruption and authoritarianism are to take hold. Having reached this conclusion, Richmond introduced his bill for universal manhood suffrage in the House of Lords on June 3, 1780. In it lay the first conception of what would eventually become the modern constitutional monarchy.

Popular sovereignty, then, did not arise as the antithesis of the British Empire but as its foundation and anchor. By providing a means of checking executive power, it made imperial rule compatible with liberty. Paradoxically, the Empire became the vehicle through which popular sovereignty spread around the world.

10. The Putin Escalation Risk

Author: Ian Bremmer **Published:** Jul 3, 2026 **Link:** View Original

NEW YORK—With Russia under pressure on multiple fronts, President Vladimir Putin finds himself in a tighter spot than at any other moment of his quarter-century in power. Putin remains firmly in charge of the Kremlin, but there is a growing risk that he will try to escape his current predicament by escalating his conflict with the West.

Putin's first problem is that his war in Ukraine has no momentum. Recent territorial gains have come slowly and at the cost of enormous loss of life (some 450,000 killed, almost eight times the US body count in Vietnam) and economic damage. After four years and four months, Russian forces control about 20% of Ukraine's territory—the same percentage they held three years ago. Ukraine, meanwhile, continues to demonstrate its determination to win, its resilience in the face of Russian missile and drone attacks, and its remarkable capacity for innovation in weapons and battlefield tactics. Its successes have emboldened it to go on offense.

Most notably, Ukraine has successfully brought the war to the Crimean Peninsula, which Russia has occupied for a dozen years. Crimea is a crucial arena for both strategic and symbolic reasons. It was there, in 2014, that Russia began its war on Ukraine.

Putin has treated the territory as the crown jewel of his "New Russia" and invested heavily in its development, both to connect it to the Russian mainland and to make it an attractive place for Russians to live and visit. Crimea is also strategically vital for Ukraine's continued access to the Black Sea, an economic lifeline.

In recent weeks, Ukraine has sent swarms of drones to attack military sites, power plants, and railway stations on the peninsula. It has struck Crimea-bound Russian trucks traveling through occupied eastern Ukraine and across the expensive Kerch bridge that Putin built after illegally annexing the peninsula. And it has hit Russian cargo ferries resupplying the region by water. As a result, Crimea's residents face shortages (particularly of gasoline to fuel their cars) and frequent power outages.

But Putin's greatest frustration is Ukraine's success in striking deep inside Russia itself. It was embarrassing enough that fears of a Ukrainian attack kept Russia from rolling its arsenal through Red Square during this year's Victory Day parade, which is supposed to be a celebration of Russia's greatest military achievements.

But even more humiliating was Ukraine's use of missiles and drones to attack energy facilities and other sites in Moscow and St. Petersburg, as well as additional targets hundreds of miles from the war's frontlines. Ukraine has shattered the illusion for many Russians that the war could never arrive on their doorstep.

Ukraine's successes have become so obvious that, on June 28, Putin was forced to acknowledge them on Russian state television. He admitted that the recent strikes, which he referred to only as "terrorist attacks on our territory," have created shortages that force the government to import more fuel as repairs are made. He is publicly signaling that he knows Russians face hardships, which are compounded by internet disruptions stemming from the Kremlin's attempt to force the public onto state-controlled sites.

Russia's broader economy, now heavily focused on supporting the war effort, faces headwinds, too. The central bank has warned that growth in 2026 could fall to as low as 0.5%.

Yet Putin still hopes Russia can win a war of attrition. In recent days, state media has made much of military advances on the city of Kostyantynivka, which might serve as a gateway to broader territorial gains in eastern Ukraine. Putin is still betting that US President Donald Trump will actively undermine the resupply of Ukraine's military and further disrupt NATO, and perhaps hoping that elections next year in France, Britain, Italy, and some key German states could upend European support for Ukraine as well.

But Russia's battlefield performance over the past several years suggests that any further gains will continue to come slowly and at a high human and economic cost. Russian casualties (killed and disabled) now outnumber new recruits. And Trump seems to have lost interest in helping Russia, particularly as successful Ukrainian strikes have changed the war.

Moreover, Europeans have become more serious about longer-term investments in their own defense. Although big elections loom across the continent, they remain many months away, and populist victories that reduce support for Ukraine are no sure thing.

Despite the setbacks and embarrassments, there is scant evidence that Putin is in trouble at home. Some Russian media have hinted at growing public frustration with the war, but there remains no alternative to Putin's leadership, and he still appears uninterested in peace talks.

Thus, Europeans and Russia's nearest neighbors worry about what Putin might do were he genuinely backed into a corner. We are sure to see a continued expansion of Russian missile strikes at Ukrainian cities—like the major July 2 drone and missile attack that killed at least 27 people in Kyiv. We can also expect more military provocations involving NATO countries, particularly with drones that Europeans remain unprepared to handle. Last year's arson attacks against property linked to British Prime Minister Keir Starmer, and last month's episode in which a Russian warship fired warning shots at a British yacht in the English Channel, offer hints of what may be coming.

If Ukraine can continue to disrupt Crimea, strike more targets in the heart of Russia, frustrate Russia's frontline forces, and pile more pressure on Russia's hobbled economy, an isolated, aging, and frustrated Putin may decide he needs a game-changing attack.

The use of a tactical nuclear weapon in Ukraine, a direct frontal assault on the former Soviet republics of Latvia and Estonia (now NATO members), and major cyberattacks on European or American targets remain extremely unlikely for now. But aggressive provocations against NATO countries, even if they fall short of clear acts of war, can still create serious security, economic, and political risks. And if Putin concludes that his political or physical survival are in danger, his willingness to gamble will grow quickly.

11. The Real Threat to NATO

Author: Ahmet Davutoğlu **Published:** Jul 6, 2026 **Link:** View Original

ISTANBUL—As NATO prepares for its July 7–8 summit in Ankara, the alliance faces a bigger challenge than either Russia or China: its members no longer share a coherent understanding of the values, economic order, geopolitical vision, and legal principles it was created to defend.

Every enduring military alliance ultimately hinges on a deceptively simple question: What is it defending? Without a clear answer, it becomes reactive, defining itself by its adversaries rather than by a common purpose.

When NATO was founded in 1949, that purpose was clear. Emerging from the devastation of World War II, the alliance was established to defend what its founders called the “free world” against Soviet expansionism. More fundamentally, it sought to preserve a liberal international order built on four mutually reinforcing pillars: democratic governance, economic openness, the West’s geopolitical primacy, and international law based on the United Nations Charter.

Today, each of these foundations is under strain. Nowhere is this more evident than in the alliance’s political identity, weakened by democratic backsliding and rising authoritarianism. NATO may remain the world’s most powerful military bloc, but its moral legitimacy depends on whether its members continue to embody the democratic values they espouse.

The response of many NATO governments to Israel’s military campaign in Gaza has exposed the widening gap between the alliance’s stated values and its members’ policies. While the International Court of Justice and the International Criminal Court continue to examine allegations of genocide and other grave violations of international law, several leading NATO members—most notably the United States—continue to provide the Israeli government with political support and political cover.

But an alliance whose historical legitimacy is rooted in the postwar rejection of fascism and genocide cannot afford to appear selective in its defense of universal humanitarian principles. Moral consistency is not an ethical luxury; it is a strategic asset that NATO abandons at its peril.

The liberal economic order is also under growing pressure. Ironically, its greatest challenge has come not from NATO’s adversaries but from its own members, as protectionism, tariff wars, and the politicization of international trade have undermined the rules-based system that Western countries spent decades building and sustaining after 1945.

Meanwhile, the global economy’s center of gravity has shifted decisively toward Asia. When NATO was established, its members accounted for roughly two-thirds of world GDP. Their share has since fallen to less than half as Asia has emerged as the global economy’s principal growth engine.

The third pillar of the postwar order—geopolitical leadership—has become equally fragile. The Cold War provided NATO with a clear strategic framework. After the Soviet Union’s collapse, however, the assumption that US predominance would endure became conventional wisdom, underpinning successive rounds of NATO enlargement and reinforcing the belief that military superiority alone could shape international outcomes.

The war in Afghanistan exposed the limits of that assumption. Following the September 11, 2001, attacks on the US, NATO undertook the largest and longest military operation in its history. Yet despite two decades of overwhelming military and technological superiority, the Taliban returned to power. The lesson was not that force had become irrelevant, but that battlefield success cannot substitute for political strategy. Lasting security requires diplomacy, institution-building, regional engagement, and long-term political vision.

That lesson is even more relevant in today's multipolar landscape. While deterrence remains indispensable, Cold War frameworks no longer fit a world shaped by economic coercion, migration, energy insecurity, technological competition, and cyber warfare. NATO must therefore complement military strength with geopolitical foresight and sophisticated statecraft.

Europe's own strategic contradiction has become increasingly difficult to ignore. Ukraine, the Black Sea, and the Middle East now form a single, interconnected zone of instability, yet the European Union continues to exclude the one country positioned at the crossroads of all three: Turkey.

A Europe seeking strategic autonomy cannot afford to remain strategically fragmented. Finland and Sweden's accession strengthened NATO's northern flank, but Europe's southern security architecture now depends on integrating Turkey into the EU's political institutions as well as its security ones.

Lastly, the international legal order is increasingly giving way to great-power politics. The credibility of any alliance rests on its willingness to uphold the norms it proclaims. Yet US President Donald Trump's threats to take over Greenland—an autonomous territory of Denmark—challenged one of the UN Charter's core principles: the territorial integrity of sovereign states. When NATO's leading power threatens the sovereignty of one of its own members, the alliance's commitment to international law rings hollow.

These structural challenges are compounded by a widening rift over NATO's strategic purpose. To be sure, disagreements among allies are not new. The Iraq War, for example, deeply divided the US and its European partners, but both sides continued to regard NATO as indispensable for transatlantic security. Today's disagreements are more fundamental. Under Trump, the US has increasingly treated NATO as a transactional arrangement, making major foreign-policy decisions without consulting key allies.

The Iran war is a case in point. The conflict, which could reshape the regional security landscape and has profoundly disrupted the global economy, carries profound implications for every NATO member, yet the alliance itself appears to have played no role in the decision-making process. An alliance whose members can be drawn into a regional conflict they neither collectively chose nor politically endorsed risks undermining the mutual trust required for security cooperation.

Given that NATO's crisis is one of identity rather than capability, revitalizing it requires more than higher defense budgets or stronger deterrence. NATO needs a renewed normative foundation grounded in democratic legitimacy and human rights, a recommitment to international law, and an economic vision suited to an era of shifting global power.

These must not be regarded as separate agendas. Without a coherent strategic philosophy centered on democratic legitimacy, human rights, and the rule of law, NATO risks becoming little more than an instrument of shifting national interests. The alliance's future ultimately depends less on the external threats it confronts than on its ability to redefine what the transatlantic community stands for and what, ultimately, it seeks to defend.

12. There Is Only One Acceptable Path for Designer Babies

Author: Daron Acemoglu **Published:** Jul 6, 2026 **Link:** View Original

BOSTON—Designer babies who are genetically engineered for desirable health, physical, and intellectual features are now within reach using existing technologies, a prospect that raises far-reaching societal and ethical questions not unlike those associated with advances in AI. One difference, though, is that the institutions needed to open an ethical path for gene editing—by treating the technology as a public-health measure that should be available to everyone—may be easier to conceive than in the case of AI.

The big breakthrough for gene editing is no longer so recent. The outlook changed fundamentally back in the 2000s, and especially the early 2010s, with the development of CRISPR-Cas9 technology, which enables high-precision genetic engineering. The technique uses a guide RNA to locate a specific sequence in the genome of a living organism, where the Cas9 enzyme makes a cut for disabling or editing a gene.

The applications are vast. The technique can be used to turn off a disease-inducing gene, modify seeds and agricultural products, or design custom-made medicines and vaccines. It holds the potential to tackle inherited genetic diseases such as sickle cell anemia, as well as later-in-life, disease-inducing somatic mutations like those involved in cancer. It also raises the possibility of adding or removing genes at the embryonic stage, in vivo or in vitro, which is where the issue of designer babies comes in. Human genetic engineering could be purely somatic (affecting individuals during their lifetimes) or it could take the form of germline editing, altering the genome in ways that would be passed on to offspring.

AI itself is technologically complementary to gene editing, because it can sift through massive amounts of data to find gene combinations capable of changing not just disease potential, but looks, physical strength, and various dimensions of cognitive ability. But this potential raises obvious ethical issues. As in Aldous Huxley’s Brave New World, designer babies could bring us closer to a genetically tiered society, where only the wealthy have the means to improve their and their progeny’s cognitive and physical performance and lifespans. In this scenario, those with the money today could grow even richer and more genetically superior with each generation.

This scenario is not merely hypothetical. Embryo-selection services based on polygenic screening are already sold commercially to IVF patients, and advances in AI have made them even more enticing to those who can afford them. If current trends continue, we could end up with a cadre of billionaires and trillionaires who are intent on cementing their economic privileges with biological ones; worse, this could happen just as many other people are facing the prospect of AI-driven job displacement.

To prevent such a future, most people’s first instinct is to ban germline editing and designer babies altogether. But this may not be the right response. After all, we already “design” our bodies and our children by means of vaccines and operations. Parents-to-be in the industrialized world (and increasingly in emerging economies) test for a variety of diseases, such as Down Syndrome, and can opt to terminate the pregnancy. The line between these interventions and genome editing is not hard and fast. Would editing genes to build natural immunity against smallpox be so different than injecting children with a vaccine?

The issue isn't so much about "interfering with nature" as it is about two other considerations. First, the implications of germline editing are poorly understood. Living organisms are constantly attacked by pathogens, and some genetic changes, especially those passed from parents to offspring, can create unforeseen vulnerabilities.

For example, the Chinese scientist He Jiankui created the first designer babies by editing the CCR5 gene to confer HIV resistance. But the same edit appears to increase susceptibility to other infections, such as West Nile virus and influenza. We know what smallpox vaccines do, both because of their simplicity and because we have more than two centuries of experience. But the same cannot be said of the far more complex and intrusive process of genome editing.

Second, vaccines are a public-health intervention, whereas genome editing, at least in the foreseeable future, will be available only to the privileged, who will propagate their advantages in ways that we have not yet imagined.

These two issues point to a clear set of guidelines for how we should approach germline editing. First, we must make certain that unforeseen consequences are limited in number and scope. This requires not just research by individual scientists and labs, but also public infrastructure to provide a rigorous testing and permission process that is even more stringent than what the US Food and Drug Administration (FDA) requires for drugs and vaccines.

Second, we must legislate and enforce the norm that germline editing should be treated solely as a public-health measure. No germline editing services should be purchasable in the private market, and any well-tested, fully understood genome-engineering intervention that does prove beneficial should be made available to all.

Implementing such guidelines isn't pie in the sky. We already have highly respected institutions with the relevant expertise, and norms within the scientific community are aligned with these bodies. The US National Academies of Sciences, Engineering, and Medicine and the FDA have both already published widely circulated reports and guidelines for research and practice in this area. Moreover, the 2015 International Summit on Human Gene Editing—which was convened by the US, British, and Chinese academies—adopted a hard line against germline engineering, especially the alteration of gametes and embryos that would generate heritable advantages for the privileged few. Subsequent summits in Hong Kong (2018), where the He case broke, and London (2023) then reaffirmed and refined that stance.

The fact that such bodies exist and have taken a proactive stand helps to explain why I see the challenge posed by designer babies as being somewhat more manageable than those associated with AI. The tragedy with AI is that we are on the cusp of similarly transformative developments, but with no equivalent bodies. Recently established AI safety institutes and European Union bodies lack the authority to influence the industry, and many individual scientists and labs remain oblivious to the societal effects that they may unleash.

We urgently need to build an ethical consensus on AI, not least because doing so could help us deal with the various symbiotic challenges that genetic engineering brings. Failing that, we will have traded future generations' inheritance for a mess of pottage.

13. The Democratic Turkey NATO Needs

Author: Özgür Özel **Published:** Jul 6, 2026 **Link:** View Original

ANKARA—When NATO leaders arrive in Ankara for their annual summit on July 7–8, they will be meeting in a country whose strategic importance is unquestioned, but whose democratic foundations are fracturing. Recep Tayyip Erdoğan has governed Turkey for more than two decades—longer than any elected leader in the history of the Turkish Republic.

Today, Turkey stands at an inflection point. Given the country's increasingly centralized and personalistic rule since 2003, the question is no longer whether change is needed, but whether citizens will be allowed to pursue it freely and fairly through democratic means.

With Turkey's immediate region riven by wars and instability extending from Ukraine to the Middle East, it is clear to almost every Turkish citizen that their country's future matters not only to them, but to global security. At the same time, many people in Turkey are fearful of their future, having lost confidence in a government that has struggled to provide economic stability, predictable governance, and confidence in public institutions. Inflation has devastated household incomes. Young people increasingly see limited opportunities. Foreign policy has become more transactional and less predictable. Confidence in the judiciary, the rule of law, and public institutions has steadily eroded.

The key question confronting Turkey today is one of legitimacy. Governments can sometimes survive economic downturns. But they struggle when citizens stop believing the political system is fair. Rather than competing on a level playing field, Erdoğan has increasingly relied on state institutions, particularly the judiciary, to weaken political rivals and preserve his hold on power.

Voters in Turkey have already signaled their desire for change. In the 2024 local elections, our party, the Republican People's Party (CHP), emerged as Turkey's leading political force. Rather than accepting the message delivered by voters, the government intensified pressure on its political opponents.

Our party's presidential candidate, Istanbul Mayor Ekrem İmamoğlu, who has defeated Erdoğan-backed candidates repeatedly in Turkey's largest city, has been imprisoned. More than 30 opposition mayors remain behind bars in pre-trial detention. Prosecutors are seeking a cumulative sentence measured not in years but in millennia. The government has even attempted to invalidate our party convention years after it was held in an effort to reshape the leadership of the main opposition. The distinction between legal process and political intervention has become increasingly difficult to discern.

In the days preceding the NATO summit, the government's increasingly defensive posture has been obvious. Authorities detained hundreds of innocent people in Ankara in sweeping operations ahead of the gathering. Officials describe these as anti-terrorism measures. Yet in a country where judicial independence has been severely weakened, such claims inevitably invite scrutiny. Reports indicate that those detained include activists, lawyers, journalists, academics, environmentalists, and elderly citizens.

The effort to manage appearances extended beyond arrests. Screens and barriers erected along parts of the route from the airport to the city center, reportedly to obscure visible signs of economic hardship, reveal a government more concerned with controlling perceptions than addressing underlying problems.

Erdoğan seeks to portray Turkey as stable, confident, and essential to Western security. At the Ankara summit he will emphasize Turkey's geopolitical importance while presenting himself as indispensable in navigating an increasingly turbulent region. Yet governments secure in their legitimacy rarely feel compelled to treat peaceful dissent, civic activism, or the possibility of protest as threats to public order.

Merely holding power does not confer legitimacy. Erdoğan retains control of the state and its machinery, but his increasing reliance on judicial pressure, administrative coercion, and the seizure of businesses, institutions, and assets rather than democratic consent has cost him the confidence of millions of citizens.

This model of rule cannot be sustained indefinitely. Turkey has become deeply polarized and increasingly exhausted—socially, economically, and politically. The demand for democratic accountability has not disappeared. It has merely been deferred.

Turkey's strategic importance is not in dispute. Its importance, both to NATO and within its region, stems not from its ability to solve every crisis, but from its position at the center of many of them—from Russia's war against Ukraine to the instability stretching from Syria to Iran.

For that reason, Turkey's political trajectory is not merely a domestic matter. A country of nearly 90 million people, a major military power, and a pivotal NATO member cannot indefinitely separate political legitimacy from national stability. Repression may create the appearance of order, but it cannot produce durable security.

Turkey's allies must learn to look beyond the current government and the disorder it has caused, and engage not only with those who hold power today but also with the democratic future they no longer credibly represent. Governments and leaders come and go. Turkey and its people endure. And Turkey's people are determined to build a country that is free and democratic at home, reliable abroad, and fully committed to the rule of law. That is the Turkey we are preparing to build: prosperous, confident in its institutions, and a strong, constructive actor in international peace and security.

14. How the EU Can Lead the Rest of the West

Author: Daniel Gros **Published:** Jul 6, 2026 **Link:** View Original

MILAN—At the World Economic Forum's 2026 meeting in Davos, Canadian Prime Minister Mark Carney described a "rupture" in the world order and called on middle powers to "act together." Whereas great powers can afford (for now) to "go it alone" in this new Hobbesian world, he warned, middle powers must come to the table or risk being "on the menu." But while some might see the European Union as a natural partner for such efforts, it appears to view itself as something more.

Rather than rallying partners from around the world, the EU has spent recent months asserting its economic might, which is formidable: though the European economy is somewhat smaller than those of the United States and China, it is several times larger than those of Japan, the United Kingdom, and India. Moreover, it is seeking to strengthen its own sovereignty, from the digital sphere to defense. This is not a bloc that is eager to settle for "middle power" status.

This response is wrongheaded. While Europe is not just another middle power, nor is it a "great power," which Carney defines as having the "market size, the military capacity, and the leverage to dictate terms" on the global stage, particularly when dealing with an extractive US and a coercive China. But Europe is the ideal candidate to lead the group of like-minded middle powers that Carney envisioned, not as a US-style hegemon, but as a primus inter pares (first among equals).

The list of potential partners is long. The closest ones are Switzerland, Norway, and the UK. But Canada and, farther away, Australia, Japan, and South Korea are also good candidates, as they are high-income, stable democracies that are typically aligned with the EU on issues related to multilateral rule-setting, supply-chain resilience, and digital governance. A group comprising these countries and the EU would boast a GDP larger than that of the US and combined manufacturing output close to that of China.

But such a group cannot spontaneously organize itself. The EU should thus act as a catalyst and leader of a Compact for Open and Resilient Economies (CORE). The first step is to convene a summit in Brussels focused on producing a pledge (a formal treaty is unnecessary to start) to consult one another before taking trade or industrial-policy decisions that might have a significant impact on other CORE countries.

The EU, in particular, would commit to solicit feedback from its partners before enacting relevant legislation. Moreover, it would allow CORE countries to participate (without voting) in some of the many working and expert groups that hash out the details of legislative and other proposals. The EU would make final decisions independently, according to its own internal procedures.

The EU's structure can accommodate such an informal and flexible arrangement. As Article 217 of the EU Treaty states, the "Union may conclude with one or more third countries or international organizations agreements establishing an association involving reciprocal rights and obligations, common action and special procedure." Agreements with close EU neighbors, such as Switzerland, reflect this principle. A more formal, albeit narrower, precedent exists in the field of research, with a number of non-EU countries participating in Horizon Europe as “associate members,” which contribute funding and help to design research programs.

Nonetheless, to make the CORE work, the EU would have to change some of its policies. Consider the Industrial Accelerator Act (IAA), proposed by the European Commission this past March. The IAA calls for giving preferential treatment to goods made in the EU—following the lead of China and the US—in order to avoid losing its industrial base to predatory competition. But the bloc’s share of global industrial output amounts to only about 15% (and declining), meaning that reshoring entire supply chains will be next to impossible.

A “made with Europe” approach, which treats inputs from CORE countries as equivalent to European goods, avoids this problem. After all, the CORE not only covers a much larger economic area; its potential members possess capabilities and resources the EU lacks. Australia and Canada have raw materials; South Korea produces chips; and Switzerland is a leader in biotech. A made with Europe strategy would also strengthen goodwill among partners whose combined markets remain vital for EU exporters.

One might argue that inputs from within the EU will always be more reliable than those coming from third countries. But the risk of supply interruptions from like-minded partners is minimal. The CORE countries would be aligned with the EU economically and geopolitically, recognizing that, acting alone, their leverage at the global level is minimal.

Another issue the EU would need to address is its new, highly restrictive regime for steel imports. As it stands, the new rules, which cut the quotas for tariff-free imports by half and double the tariff to 50%, apply even to like-minded trading partners with which the EU has free-trade agreements (except Norway). This should change, with CORE countries exempted from the new regime.

More broadly, the CORE would avoid such disruptive unilateral action by ensuring that consultation begins in a policy’s design phase. At the very least, this would help to minimize any decision’s disruptive effects on other CORE economies, whose goodwill is important for Europe. It might even open the door for more effective joint action that benefits all parties.

Europe faces a choice: either narrow its ambitions to a limited notion of sovereignty and an impossible vision of a solitary industrial revival, or lead the way in building a community of open, resilient, and like-minded economies. The goal is not to replace the US as global hegemon—an outcome that is neither possible nor desirable for the EU. Rather, it is to offer something our world of extractive superpowers badly needs: leadership without domination.

15. Europe Must Face the World on Its Own

Author: Joschka Fischer **Published:** Jul 6, 2026 **Link:** View Original

BERLIN—As the United States withdraws from Europe under President Donald Trump's second administration, it is not only reducing its military presence and casting doubt on its security guarantees, but also renouncing its de facto (but never formally declared) leadership of the geopolitical West. That means the US is shedding a political leadership role it has exercised within Western Europe since 1945, and within Europe overall since 1990.

The obvious corollary is that Europe will be on its own, left to resolve its geopolitical problems and challenges by itself. Yet providing its own geopolitical leadership is not something Europe has done since the beginning of the 20th century. Its efforts to rise to the occasion therefore merit close attention.

"Europe" does not mean only the European Union. The EU undoubtedly plays a central role in economic affairs, underpinning a common market and customs union, a shared currency and central bank, a supranational legal and regulatory framework, and, above all, robust external trading relationships. But NATO, even in its European and Canadian dimension alone, also remains indispensable to the continent's security—even if it will be far weaker without the participation of the world's premier superpower.

A big question remains, however: Who is supposed to lead this fragile, politically unfinished entity? No single European power has the means to do so on its own. None has the necessary scale in terms of territory and population, financial strength, or technological and economic potential.

Moreover, two other intangibles are required for effective governance: a long historical tradition of providing regional leadership and a population that is broadly committed to the European project. As matters stand, only France and Germany can be said to check these boxes. Most other member states might be able to check one, but not both. Without the Franco-German partnership, the idea of European leadership is dead on arrival.

But America's withdrawal from Europe poses a particular challenge for Germany, especially in the context of today's military buildup and the strengthening of neo-nationalist forces across Europe—including in Germany itself. For decades, the US military presence reassured many Europeans, not least Germany's former wartime adversaries, who feared a resurgence of German power. This factor, too, will be absent in the future, requiring Germany to show even greater sensitivity toward its own history. Leading without dominating will mean striking a careful balance.

Europe's progress has always been driven by joint initiatives, most of which were developed by France and Germany. Under pressure from Russian aggression—which has reached its full expression in the ongoing war against Ukraine—and an increasingly hostile US administration, the immediate priority is to create a European Defense Union. Yet given this need, and the indispensable role of Franco-German leadership in meeting it, the breakdown of the joint Franco-German Future Combat Air System (FCAS) project should be treated like a five-alarm fire. If that failure is a preview of what is to come, Europe is already doomed.

Competition is often said to be good for business. In the context of the Franco-German relationship, however, this is true only if competition is grounded in a solid foundation of mutual trust. Otherwise, it can all too easily become mutually destructive. Given the current geopolitical and strategic environment, that is the last thing Europe can afford.

Unfortunately, we now have politically weak governments on both sides of the Rhine. French President Emmanuel Macron has only about a year remaining in office, after which France may well elect a far-right Euroskeptic from Marine Le Pen’s National Rally party. And no one can say with confidence how long German Chancellor Friedrich Merz will remain in office, given his government’s dismal approval ratings and Germany’s equally troubling economic indicators.

Yet this is precisely the moment when Europe needs strong leadership in both Paris and Berlin. It will take ambitious, clear-eyed, proactive, and civic-minded politicians to launch and sustain the initiatives that this moment demands—starting with a defense union.

We Europeans have been at peace for more than 80 years. But we ought to have learned by now that history can be cruel and unforgiving. No one is coming to our rescue this time. We will have to save ourselves.

16. The World Cup as It Should Be

Author: Ian Buruma **Published:** Jul 6, 2026 **Link:** View Original

NEW YORK—With the 2026 FIFA World Cup, cohosted by Canada, the United States, and Mexico, in its knockout rounds, it's now win or go home. But as more teams are eliminated and the field narrows, the tournament looks increasingly like a success, despite many dire predictions.

There were good reasons to be pessimistic at the tournament's start. The prices for tickets—which swelled to more than $1,000 on average for group-stage matches in some cities and are substantially higher for prime knockout games—are beyond the reach of most soccer fans. The Trump administration has treated some competing countries with utter contempt. The Iran team was forced to go back to Mexico after every game. Omar Artan, a top referee from Somalia, was refused entry to the US. Many fans were denied visas.

Moreover, FIFA President Gianni Infantino is a megalomaniac who has put his face on global soccer in much the same way Donald Trump has done on US politics and the Washington skyline. The two men are kindred spirits with a weakness for hyperbole. Infantino declared this year's World Cup to be "the greatest event in human history." Not the French Revolution, Waterloo, or D-Day—no, a soccer competition. He also lobbied hard for Trump to receive the Nobel Peace Prize and, when that didn't happen, presented the US president with the inaugural FIFA Peace Prize.

Infantino, like Trump, also has a weakness for dictators and autocrats: Just look at the infamous photograph of Infantino grinning like a schoolboy with Russian President Vladimir Putin and Saudi Crown Prince Mohammed bin Salman at the 2018 World Cup in Moscow. But Trump appears to be his biggest catch. On one of his visits to the White House, Infantino said he felt "happy to be here, at home, if I can say that," to which Trump replied: "You are home." After attending Trump's pre-inauguration victory rally, Infantino exclaimed: "Together we will make not only America great again, but also the entire world."

The worry that this year's World Cup would be a Trump-Infantino clown show, with the US president hogging the limelight, or a festival of the oligarchs, with corrupt strongmen and their cronies enjoying soccer as US Immigration and Customs Enforcement agents rounded up the riffraff, was not ill-founded. But so far, this has not happened.

Yes, Infantino still flies around North America in a private jet to be in full view of the television cameras at almost every game. But Trump has not been seen at all (although he is scheduled to attend the final on July 19 in New Jersey and present the trophy to the winning team). And small US cities have been turned into venues for nonstop soccer parties, with fans from all over the world mixing with locals.

Players and fans from Algeria, Egypt, and Jordan, many of whom are of Palestinian descent, have also brandished symbols of Palestinian nationhood—something for which student protesters at US universities have been arrested. This points to another aspect of national soccer teams that is very much on display. Most of the best European teams, such as France, Spain, England, and the Netherlands, contain large numbers of immigrants or children of immigrants. Zion Suzuki, Japan's goalkeeper, has a Ghanaian father and was born in the US. The superb Morocco team, which recently beat Canada to reach the quarterfinals, consists mostly of players born abroad. If ever there was an example of the positive influence of immigration, soccer at the top level of clubs and national sides is it.

The “diaspora World Cup,” as Guardian sports writer Barney Ronay has called it, is on full show in middle America. And the local people, who otherwise may not have paid much attention to the tournament, seem to have embraced the event with gusto. People in Chattanooga, Tennessee, welcomed the Spanish team with pitchers of sangria and plates of tapas, while those in Lawrence, Kansas, greeted the Algerian team with cries of “Viva l’Algérie!”

Just as it is easy to get carried away and attach too much importance to who wins or loses the games, the consequences of these periodic international jamborees might be overstated. But the impact of the World Cup on the US is not insignificant. Most Americans have no experience of global sports—the baseball World Series is a US-Canadian affair. The intense but still entirely festive patriotism of Norwegians, Moroccans, Japanese, and many other nationalities has never been so visible to many Americans. This alone should make a slight dent in provincial American attitudes.

Then there is the sight of American minorities—Mexicans, Haitians, Ecuadorians, Senegalese, and many others—partying in huge numbers. Even if Trump wanted to get attention, this is not his scene. It is the very opposite. FIFA may be a corrupt moneymaking machine that is only too happy to sportswash authoritarian regimes. But that hasn’t stopped this year’s World Cup fiesta from going against everything Trump’s MAGA movement stands for. The tournament does not belong to Trump, or Infantino, but to the masses from all corners of the world who have claimed it as their own.

17. The Missing Ingredient for European Tech Sovereignty

Author: Giorgos Verdi **Published:** Jul 7, 2026 **Link:** View Original

BRUSSELS—In early June, the European Commission unveiled its Tech Sovereignty Package, a new policy agenda designed to strengthen Europe's strategic autonomy through investments in AI, domestic semiconductor manufacturing, cloud infrastructure, and open-source software. While ambitious, the package is not enough. To ensure that AI and digital technologies advance the European Union's economic and security interests requires confronting the root causes of Big Tech's dominance over Europe's digital economy.

The plan's objective—to reduce the EU's dependence on foreign technologies and, in turn, its vulnerability to external coercion—is laudable. Today, roughly 80% of the bloc's digital technologies are imported, primarily from the United States. This has created a power imbalance that US President Donald Trump's administration has not hesitated to exploit in pursuit of its political interests.

Yet the Commission's plan is unlikely to shift that balance. Consider one of the package's main goals: tripling the EU's data-center capacity over the next 5–7 years. While expanding computing capacity is important, it will do little to foster a competitive domestic ecosystem unless Europeans capture a greater share of the economic value generated by AI.

Three American companies—Amazon, Google, and Microsoft—currently control 70% of Europe's cloud market, while AI development is dominated by a handful of trillion-dollar US firms, including OpenAI and Anthropic, whose partnerships with Big Tech give them unparalleled access to capital and computing power. Without a concerted effort to tackle industry consolidation, most of the value created by Europe's data-center buildout will ultimately flow back to the US.

Even if the Tech Sovereignty Package succeeds beyond expectations and helps create a new generation of fast-growing European startups, Big Tech could still use its market dominance to acquire or otherwise eliminate these challengers. Between 2010 and 2023, Big Tech companies acquired nearly 100 AI startups. Among them was DeepMind, whose 2014 purchase by Google has been widely viewed as a strategic loss for the United Kingdom, where the company was founded.

Acquisitions are only one mechanism through which dominant firms protect their position. Self-preferencing, tying, and restricting access to critical digital infrastructure can be just as effective in suppressing potential rivals. Meta's recent attempt to block competing AI providers from accessing WhatsApp—a move that the European Commission swiftly reversed—illustrates how easy it is to undermine promising European alternatives.

The good news is that Europe already has many of the tools it needs to prevent these outcomes. The EU's Digital Markets Act (DMA), for example, prohibits gatekeeper platforms from engaging in unfair practices that stifle competition from European innovators.

But the DMA has not kept pace with developments in cloud computing and AI, and political pressure from the Trump administration has discouraged robust enforcement against US firms. As long as the law is enforced only half-heartedly, European innovators will continue to compete on an uneven playing field.

Merger control is another underused instrument. Existing competition rules and national-security screening regimes already allow EU governments to prevent acquisitions that undermine strategic autonomy. In May, for example, the Netherlands blocked IBM spinoff Kyndryl’s takeover of Dutch cloud provider Solvinity, citing risks to the public interest.

Other EU member states—and the European Commission—should follow this example and scrutinize acquisitions that risk absorbing Europe’s most promising tech companies. Last year, Apple reportedly considered acquiring the French AI startup Mistral. Although the deal never materialized, it served as a reminder that the EU must be prepared to intervene when takeovers threaten not only competition but also its technological sovereignty.

At the same time, the Tech Sovereignty Package itself should be more ambitious. Its centerpiece, the Cloud and AI Development Act, seeks to ensure that sensitive public-sector functions—particularly those related to national security and defense—rely on European providers. But its strongest requirements apply only to a narrow range of activities, while member states retain considerable discretion over implementation. Given many governments’ reluctance to provoke the Trump administration, this framework is unlikely to generate sufficient demand to foster a globally competitive European cloud industry.

Critically, Europe should also have the confidence to pursue a different innovation path from Silicon Valley’s highly centralized and resource-intensive model. A growing number of experts argue that today’s dominant AI paradigm may be approaching its limits, making it unwise for Europe to devote all of its resources to replicating it.

Instead, the EU should invest more heavily in areas such as physical, spatial, and so-called “frugal” AI, which aims to design systems that maximize impact while minimizing computational and energy requirements. Rather than simply imitating the American model, Europe must develop technologies that generate economic value, improve citizens’ lives, and align with its sustainability goals.

By recognizing that dependence on US tech giants is both an economic challenge and a strategic vulnerability, the Tech Sovereignty Package marks a welcome shift in the EU’s approach. But without equally ambitious efforts to curb market concentration and break Big Tech’s hold on Europe’s digital economy, it is bound to fall short.

18. In Praise of the World Cup's Little Guys

Author: Andrés Velasco **Published:** Jul 7, 2026 **Link:** View Original

LONDON — The inevitable was about to happen: Argentina would dispatch Cape Verde. But then, deep into extra time, wonder struck: Sidny Lopes Cabral, aged 23 but looking 17, took a pass on the left flank and, instead of lobbing the ball in search of a header, shifted direction (sending the defender skidding the wrong way) and let fly a curling wonder of a shot that ended in the farthest and most unreachable corner of the Argentine goal.

A tiny island state of around a half-million people, pitted against the world champion. A player who a few years ago was trundling the soggy fields of Germany's fifth division, now making football history. Even the most hard-bitten of Albiceleste fans had to admit it was a moment of beauty.

This World Cup began with a grudge: by expanding the field from 32 to 48 teams, too many minnows had been allowed in, muttered old-time football hands. Cape Verde? Curaçao? Haiti? Uzbekistan? Who had ever heard of these teams?

Yet Cape Verde was unbeaten in the group stage. Curaçao drew against an Ecuadorian squad led by Chelsea star Moisés Caicedo. The Democratic Republic of the Congo (a vast country but a minnow in football terms) managed to tie Cristiano Ronaldo's Portugal and gave England a run for its money.

And that was far from the end of it: Paraguay sent mighty Germany home; Morocco disposed of the Netherlands' clockwork orange; and Norway, which may be filthy rich but is still tiny, eliminated five-time winner Brazil. So far, this has been the little guys' World Cup.

In a world of great-power rivalry and hyper-scaling tech behemoths, you would be forgiven for thinking that the bulky bully always has the edge. But you would be wrong.

Start with business. A quarter-century ago, Google was a minnow; Meta and Tesla were yet to be born. One-third of the 100 largest Nasdaq-listed firms were not publicly traded in 2000. As the players sweat in the American heat, new companies are no doubt being launched that will one day displace today's hyper-scalers.

Which countries have been wild economic successes in that quarter-century? Little guys Singapore, Botswana, and the Republic of Ireland surely belong on the list. Relax the definition of wild success, and New Zealand, Panama, and Uruguay make the cut. Relax the definition of minnows (it has nearly 15 million people), and Rwanda earns the right to be included. And don't forget tiny Guyana, which, thanks to oil, has been growing at over 35% per year since 2020!

Small countries have the same advantages as small companies: they can be nimble and bold. In a world of polarization and political divisions, they often find it easier than the big guys to agree on common goals and adopt reasonable policies —especially when next door lie countries that are both large and threatening.

On the little guy's fate depends another crucial feature of life: uncertainty. We tend to think uncertainty is bad, with predictability implying serenity. But, again, that is not so. Uncertainty turns out to be like perfume: a little bit is often necessary, though too much courts disaster.

Imagine learning on the day you turn 12 that decades later you would be awarded the Nobel Prize. Would you still strive sufficiently to make the prophecy come true? Or imagine that on the same day you were told that at 15 you would be struck by an incurable disease. Would those three years be more enjoyable than if you had remained uncertain about your prospects?

As every student of game theory knows, nuclear deterrence is predicated on the existence of uncertainty. It is the chance, however small, that the other side will be crazy enough to press the nuclear button that keeps my side from threatening to do the same thing.

Competition in business operates on the same logic. A large incumbent firm may have the run of the market. But as long as there are few barriers to entry and the market remains what economists call contestable, the small probability that a small new firm will challenge keeps the incumbent from raising prices too much or becoming flabby and inefficient.

Successful democratic politics is also built on the chance that the little guy may beat the odds and succeed. If an incumbent party is doing so badly in the polls that the chances of reelection are nil, then its incentives to govern well become vanishingly small. If put in that position, more than a few politicians will choose to loot the state coffers and run.

A similar logic applies to those out of power. If I belong to a minnow opposition party, the small chance that we will be in power soon is what keeps me from proposing popular yet stupid policies that would bankrupt the state and wreck the economy. Should our party surprisingly find itself in office, we would have to deal with the consequences.

In the end, Cape Verde did not prevail. Another miracle of a shot gave Argentina the final lead. But never mind. Cape Verdeans had exulted in their two hours of hope. And so had the world. There is joy—and profit—to be had in the thought that the little guy can win.

19. Inside Ukraine's Game-Changing Drone Industry

Author: Yuriy Gorodnichenko **Published:** Jul 7, 2026 **Link:** View Original

BERKELEY/KYIV—If necessity is the mother of innovation, Ukraine's military technology industry, particularly drone production, is Exhibit A. When Russia first attacked Ukraine in 2014, drones were used mostly for reconnaissance. Ukrainian firms developed many models, but production was limited and mainly geared to the civilian sector. Today, Ukrainian drones are central to the country's ability to hold off a much larger aggressor, and Ukraine's development and procurement processes may hold lessons for NATO's leaders as they discuss rearmament at their Ankara summit this week.

The rapid development of Ukraine's defense industries since Russia's full-scale invasion in 2022 was an adaptation to chronic shortages of munitions and other matériel. In 2022, Ukraine produced barely a thousand drones (volunteers imported about 9,000); by 2024, output had skyrocketed to 1.7–2.2 million. Another three million were produced in 2025, and seven million are planned for this year. There are now over 500 domestic drone producers. Some can produce roughly 1.5 million drones per year, and three are among the top 100 producers in the world.

The supply of drones to the army and the training of drone operators initially depended entirely on volunteers, such as Victory Drones. Even now, volunteers play a major role in providing drones and other supplies to the armed forces. For example, the Come Back Alive foundation plans to procure 16,500 long-range drones this year, worth $34 million.

The industry is highly decentralized and extremely heterogenous. Some producers are huge. The long-range Liutyi strike drone was developed by Antonov, the company that produced the world's largest aircraft. Other producers assemble drones in kitchens and garages from components purchased on AliExpress and use 3D printers to make spare parts. Soldiers often update or repair drones themselves.

The products range from small reconnaissance devices and first-person-view (FPV) drones carrying the equivalent of a hand grenade, to large machines that can deliver several hundred kilograms of cargo to the frontlines or "sanction" Russian oil infrastructure, logistics, and military assets. Ukrainian firms also produce drone detectors, electronic warfare systems, and other anti-drone devices—from simple net throwers to automated systems that can locate and intercept enemy drones with little or no human intervention.

The spectrum of products meets diverse needs, from patrolling the kill zone at the frontline—currently about 50 kilometers (31 miles) wide—to destroying Russian supply lines (100–300 kilometers from the frontline) to hitting production facilities more than 1,000 kilometers inside Russian territory. Production of middle-range strike drones, interceptor drones, and land drones increased significantly in 2025 (during the first six months of 2026, Ukraine's army implemented over 50,000 logistic and evacuation missions with land drones).

The industry is highly dynamic: constant communication between producers and army units means that prototypes are tested and deployed in a few months or even weeks. Although Russia often reverse-engineers Ukrainian technologies and starts producing drones at scale, Ukrainian military leaders claim to have 50% more FPV drones than the Russians.

That is no accident. Although the industry's initial growth spurt was truly grass-roots, government policies have since provided significant support. In 2023, the government created the Brave1 cluster, which unites producers, researchers, military personnel, and investors in order to streamline the production and delivery of equipment needed at the frontlines. The government provides seed grants to innovative projects, helps Ukrainian producers to register their innovations, and connects them with users of their products. Producers can also report bureaucratic obstacles.

In June 2025, the government launched the DOT-Chain procurement platform. Army brigades can place orders for munitions there, and the State Logistics Operator (DOT, which runs military procurement) can fill the orders. The platform includes a reward program: the more enemy targets a brigade destroys, the more additional drones it can receive from the government. As of February 2026, DOT-Chain offered some 470 products from 135 producers, including drones and electronic warfare systems.

A few months later, the government launched a special tax regime for defense producers called Defence City, offering tax breaks, support for relocation or protection of premises if needed, and a simplified export procedure. By June 2026, 31 companies with total revenue of about $2 billion had registered.

Restarting weapons exports, a step announced early this year, could also help Ukraine's military technology industry. Exports effectively stopped in February 2022, but in 2024 weapons producers started lobbying for reopening. With the government unable to procure everything producers can manufacture, exports would provide additional revenues to scale up production to meet Army demands.

Returning to the international market would also allow joint ventures with European producers to be established in Ukraine. To leverage Western capital and access to safe production, Ukrainian firms already have joint ventures with enterprises in Germany, Canada, the United Kingdom, and elsewhere. Localizing such ventures would keep human capital and technology at home.

This is especially important given the domestic industry's shortage of qualified personnel, particularly engineers. And localization is needed to address another major problem facing drone producers: reliance on imported components, which are sourced mostly from China. According to research by the Lviv-based IRON defense technology cluster, localization currently stands at 85% for frames and structural components, 14% for cameras, and 12% for engines. Some producers within the Brave1 cluster have started manufacturing cameras to replace Chinese products, while other firms produce drone-borne munitions.

The bigger problem is that drones are not a panacea. While a special army branch, Unmanned Systems Forces, has destroyed Russian assets worth $40 billion since it was established about a year ago, drones cannot replace personnel and do not make "traditional" weapons obsolete.

But even if drones are not a magic bullet, they have transformed geopolitics. When Russia uses drones to test the defenses of Poland or Romania, or fly over critical German infrastructure, neither NATO nor individual countries respond for fear of escalation. Similarly, Iran has demonstrated how low-cost drone-based warfare can upend conventional tactics.

Ukraine's rapid emergence as a leader in drone technologies can help NATO and Gulf countries defend themselves against Russia and Iran. But Ukraine urgently needs help, too. Drones are no substitute for the air-defense systems, long-range missiles, and other conventional weapons Ukraine needs to end the war.

20. Just Say No to Remote Work

Author: Michael R. Strain **Published:** Jul 7, 2026 **Link:** View Original

WASHINGTON, DC—My advice for the two million young people who graduated with bachelor’s degrees over the last few months and are just starting their careers: Go to work—not just figuratively, but literally. If you have a job that allows hybrid work arrangements, do not use them. Instead, be at your desk five (or six!) days per week. And if your job is fully remote, start looking for a new one.

I was giving the same advice back in 2021, when millions of white-collar workers had decided that remote work was one feature of the COVID-19 lockdowns they wanted to keep. At the time, we didn’t have much evidence on the labor-market effects of working from home. But we do now.

In a new study, economists Natalia Emanuel and Emma Harrington, the authors of In Person: How Working Together Fuels Creativity, Productivity, and Growth, and Harvard economist Amanda Pallais calculate that the unemployment rate among college graduates under 29 years of age was 1.3 percentage points higher in 2025 than in 2019 (just before the pandemic and the four-fold increase in people working remotely). Among older college graduates, the unemployment rate increased by 0.4 percentage points over the same period.

To explain this divergence, the authors compare the unemployment rates of workers in jobs that are easily done remotely (for example, software engineers) with jobs that are hard to do remotely (such asmechanical engineers). They find that remote work is responsible for nearly two-thirds of the unemployment gap between college graduates under 29 and older graduates. Moreover, their results hold up even when they control for each occupation’s exposure to automation by generative AI tools.

These findings jibe with a second new study. Economists Peter John Lambert and Yannick Schindler examined four Anglophone countries, including the United States, and found that the rise of remote work after the pandemic led to a shift in both hiring and vacancies that favored more senior workers over those with just a few years of experience. Moreover, they show that the arrival and increased use of AI tools have had no effect on the decline in the demand for junior talent.

I hope these findings will serve as a source of motivation for young, college-educated workers. It is very much in their interest to go to work—physically. Employers are increasingly turning away from inexperienced workers for remote roles because such arrangements require relatively more supervision and greater effort to build new knowledge and skills. Meeting these needs is much harder—and therefore costlier—when a newly hired worker is at home on the couch, interacting with colleagues over Zoom.

With an in-person setting, by contrast, newly minted graduates will be faster to develop their emotional intelligence, which is crucial for success in many occupations. Reading body language and changes in facial expressions and tones of voice are crucial skills that cannot be easily learned over Zoom. Collegiality and group cohesion is best created through repeated physical interaction. For inexperienced workers trying to build professional networks and learn about new opportunities for advancement, unplanned meetings at the espresso machine or in the parking lot can be invaluable.

Yet many people in their early professional years are depriving themselves of these advantages. Some are doing so to maximize their leisure time or out of an exaggerated sense of the value they provide to their employers. But I suspect that the trend can largely be explained by something more prosaic: Employers often offer hybrid work as a benefit, so young workers take it. They should resist this temptation. Just because remote work is on offer doesn’t mean it has to be used.

What about workers with more than a handful of years of experience? Here, the right solution for most may not be to revert to the world of 2019. In my judgment, the costs to workers of a hybrid arrangement can be substantially mitigated by strong existing workplace relationships built on sustained in-person interactions.

Unlike workers in their early 20s, more experienced workers often have actual responsibilities in their personal lives—caring for children or aging parents, for instance—that they must balance against their professional responsibilities. This is partly why people value remote work in the first place.

From the perspective of employers, hybrid work does seem to damage productivity less than fully remote work; and in some circumstances, it may even boost productivity. Remote work also has been very beneficial for people with disabilities. Employment rates for this group are much higher than in the years prior to the pandemic. The economists Nicholas Bloom, Gordon B. Dahl, and Dan-Olof Rooth find that the post-pandemic increase in work from home explains over two-thirds of the increase in full-time employment for people with disabilities. The rise of remote work is analogous to the adoption of a new technology that allows businesses to benefit more fully from the creativity, effort, and skills of people with disabilities.

Still, even for more experienced professionals, remote work has gone too far. The balance will shift back toward in-person arrangements if the labor market softens and the unemployment rate starts to rise.

Given the many risks and drawbacks, the message younger workers need to hear is not nuanced: Be physically present. Work hard. Knock on doors. Get to the office before your supervisor arrives, and don’t leave work before he or she does.

First impressions matter, and like the background on a Zoom call, they can be blurred and distorted unless you are standing face to face.

21. Ruling Class Clowns

Author: James Livingston **Published:** Jul 8, 2026 **Link:** View Original

GAUCÍN—“Oligarchy” is by now a familiar name for the billionaire brethren who freely acknowledge the difference, indeed the conflict, between their interests and the general welfare, at least to the extent that the general welfare is assumed to derive somehow from political equality, itself a dividend of democracy. They and their accomplices drop any pretense to leadership in society or culture, notwithstanding their purchase of votes, gowns, galas, and news outlets. A century from now, most people will remember them as sociopaths whose claims on the future were both ridiculous and ephemeral—childish, in a word—because they wanted power, but not responsibility.

Our would-be overlords are quite candid in explaining how and why their great wealth entitles them to a higher standing and a louder political voice than citizens with less spending power. Having decided that political equality threatens their liberty, they are also plain-spoken in claiming that the consent of the governed—the principle of political obligation specific to modern forms of government—is an impediment to progress as they understand it. And if we are to take them at their word, progress for them means the socioeconomic and technological development permitted and required by “free markets.”

These oligarchs are often compared to the United States’ robber barons of the late-19th-century Gilded Age, who supposedly swashbuckled their way to vast fortunes by bribing public officials and exploiting workers, widows, and orphans. By inventing large corporations, the robber barons replaced healthy inter-firm competition with rent-seeking monopolies—“the trusts,” in the contemporary vernacular—like Standard Oil, American Telephone and Telegraph, General Electric, or US Steel.

But the comparison with the Gilded Age is unfortunate, even misleading, because the late-19th century was not, in fact, a moment of increasing inequality. Nor was it a moment of triumph for “big business”—or, to put it in the broader terms on offer from the late historian Howard Zinn, a moment of “the people’s” inevitable defeat at the hands of the powers that be. To be sure, the Gilded Age was a period of epic class conflict which sometimes devolved into violent armed struggle between capital and labor; but more often than not, from around 1880–1900, when only 10% of the labor force was represented by trade unions, workers emerged victorious in these confrontations. In fact, by every relevant measure, workers were winning the class struggle of this formative moment, at least until the very late 1890s.

According to the official reports of the US Commissioner of Labor, for example, labor prevailed in a majority of the strikes and lockouts between 1881 and 1905. Meanwhile, skilled industrial workers retained their control of machine production despite the best efforts of management to replace them. As a result, a remarkable shift in income shares from capital to labor took place—non-agricultural real wages increased as profits declined—over the furious objections of management. This shift of income shares is the exact opposite of what has taken place in the US and elsewhere in the age of neoliberalism (1973-present.)

But perhaps the most important difference between that period and ours is the outlook, the emergent world view, of the Gilded Age capitalists. Unlike today’s tech bros, they recognized that their profits were not self-evidently justifiable as the product of hard work, shrewd calculation, risk-taking, or superior intelligence. They understood, accordingly, that the question was not whether but how to reconstruct the market, which meant, they believed, how to regulate markets so that they would serve the general welfare. They had stopped assuming that their freedom was reducible to the natural right of property; as a result, the manipulation of market forces—whether by state regulation or workers’ organizations—no longer appeared to them as an infringement on liberty of contract, thus as a mortal threat to freedom as such.

In this issue of PS Quarterly—available exclusively to Premium subscribers—Danielle Allen, Sarah M.S. Pearsall, Steve Pincus, and other leading thinkers examine the impact, limitations, and legacy of America's founding document, and consider where US democracy is headed 250 years later.

This emergent worldview didn't amount to a new enlightened altruism, or "compassionate conservatism." By the mid-1890s, when farmers and workers seemed to have agreed that the capitalists in charge of "the trusts" were parasitic growths on the body politic, they could reach no other verdict. Enough capitalists understood that unless they conceded, then acted on, the insight animating the revolt of the masses—that the surpluses generated by modern industry should be shared by all social strata—they would forfeit any claim to legitimacy, and thus leadership, on economic, social, or political matters.

Again, the new dispensation was not altruism enabled by moral epiphanies or new philanthropic urges: it was a realistic assessment of what made for social mobility, and thus social stability, political consensus, and economic predictability, each a crucial component of rational market behavior in the long run. It was also a realistic assessment of who would win the class struggle in the short run. By the end of the 19th century, it was clear to all interested observers that market power did not automatically or even easily translate into political capital and cultural authority.

Unlike the oligarchs of our time, then, certain Gilded Age capitalists learned to become a ruling class. To borrow the lexicon of E. Digby Baltzell, they learned how to extrude from the ranks of both big and small business a trustworthy "goal-integrating elite" that in turn recruited intellectuals, journalists, academics, farmers, and trade unionists to its cause, thereby becoming able to mediate between social classes.

Their cause was "reform" in the broadest sense, because it began but could not end with the reconstruction of markets and the reorganization of the labor process, both made possible by the invention of new corporate legal forms. The cause of reform in this sense was social, ideological, political, even cultural, not merely economic, and was understood that way by all parties to the cross-class coalition responsible for the achievements of the Progressive Era during the first two decades of the 20th century. It entailed a renegotiation of class relations, a redefinition of work, a reorientation of liberalism, a realignment of parties, and a revision of gender roles (to begin with, a shift from the woman movement to feminism as the name of observable or desirable changes in women's social roles and standing).

The administrative state that was the legacy of this era (now sentenced to death by both the enemies of expertise and the friends of "free markets") was predicated on the shared assumption that markets were not self-regulating and that, if left unattended, market forces would destroy a society held together by commodity production and exchange. These unruly forces would be regulated, or managed, therefore, in the name of the general welfare.

The new institutions that served this purpose included the Federal Reserve System, the Federal Trade Commission, and the Food and Drug Administration. They were not subject to "elite capture" because they were, in part, the handiwork of a new goal-integrating elite that had a vested interest in the general welfare.

The ruling class that came of age in the Progressive Era was up against the robber barons of the Gilded Age. Like the oligarchs of our time, the robber barons understood market society as the site of plunder. The enlargement of their fortunes—and with it, their freedom—would, they believed, require the extraction of wealth from the majority, globally as well as locally, and would almost certainly mean the demise of democracy as the servant of the general welfare. Their reincarnation appears in the Patagonia-vested form of Silicon Valley oracles like Marc Andreessen, the billionaire venture capitalist who plagiarizes early 20th-century fascist manifestos because, as he gladly explains, he prefers not to inspect the contents of his own cranium.

The capitalists who understood that the promise of American life was not written on the bottom line knew what they were up against in the Gilded Age. Henry Lee Higginson, the Civil War veteran, investment banker, and tireless philanthropist, summarized that knowledge in 1915: “From 1868 until 1898 there were these constant frights and uncertainties, which gave gamblers a great chance if they could guess right, and which kept decent men in doubt and often in agony. They could not do business in a proper way, and I look back on all those years with horror.”

The evident yet unacknowledged truth residing in the idea that we inhabit a new Gilded Age is not that the capitalists have again convened an all-powerful oligarchy bent on plunder, or that we, the people, are bound to lose to this malevolent cabal, in accordance with the iron historical logic espoused by leftist stalwarts like Zinn and the economist Thomas Piketty. It is that the robber barons of our time—“broligarchs” like Peter Thiel, media moguls like David Ellison, useful idiots like Curtis Yarvin, or omnicompetent buffoons like Elon Musk—now face the kind of anger, derision, and contempt that discredited the oligarchs of the Gilded Age and permitted the achievements of the Progressive Era.

The polling around the issue of AI is only the latest indication of contemporary revulsion against what today’s robber barons say they want—more money, more power, more respect, and, ultimately, enough resources to secede from planet Earth. In fact, every poll taken since 2016, when US Senator Bernie Sanders entered the presidential primary, indicates that a cross-class, multiracial majority of Americans favors what Sanders himself calls democratic socialism. That majority is still too centrifugal to recognize itself as containing the elements of a new progressive coalition, but it is the unmistakable reality of our time.

This state of public opinion and electoral possibility would suggest the need for a new goal-integrating elite representing this variegated majority. It would proceed on assumptions similar to those that grounded its predecessor from the Progressive Era: that the general welfare is best served by a more generous democracy; that the conflict between oligarchs’ interests and the requirements of the general welfare is therefore irrepressible; that markets are not economic externalities to which we must adjust our lives, but are rather cultural constructs subject to our social goals; that the question before us is not whether but how to reconstruct markets so that they allocate goods efficiently and equitably; and that the surpluses generated by such markets should be shared by all social strata.

At a time of unprecedented wealth concentration—when a single person’s assets equal 1% of world GDP—providing for the general welfare becomes impossible. But the growing electoral salience of “affordability” reflects a widely shared concern that cannot be addressed without enlarging the scope of democracy. For that to happen, the new oligarchs will have to go the way of the robber barons—quietly or not.

22. How Vulnerable Are US Financial Markets?

Author: Dambisa Moyo **Published:** Jul 8, 2026 **Link:** View Original

LONDON—Despite heightened geopolitical tensions and growing economic uncertainty, US equity markets continue to reach new highs while defying historic valuation norms. At 41.97, the Shiller cyclically adjusted price-to-earnings (CAPE) ratio is near its record highest and well above its long-run median of roughly 16.

At the same time, the Buffett Indicator—the ratio of total US stock-market capitalization to GDP, widely regarded as a barometer of overall market valuation—is flashing red. A ratio of 75–90% is generally considered reasonable, while readings above 120% suggest the market is significantly overvalued. It currently stands at more than 230%

While sophisticated investors may not rely directly on these metrics, indicators like these nonetheless fuel growing concerns that financial markets have entered bubble territory. And elevated valuations are only part of the story: a range of debt indicators suggests that leverage across the financial system could have economic repercussions that have yet to be fully appreciated.

Current estimates, for example, suggest that the US stock-market rally is being fueled by more than $1 trillion in borrowed money. According to the Financial Industry Regulatory Authority (FINRA), US margin debt—the money investors borrow from brokerages to buy securities—rose by 54% over the past year, to a record $1.4 trillion. This leverage buildup is comparable in size to each major category of US consumer debt, including auto loans, student loans, and credit-card debt, leaving an already heavily indebted economy increasingly vulnerable to a severe market correction.

Alarmingly, many investors in leveraged exchange-traded funds (ETFs) may not fully understand that these products' daily rebalancing effectively leaves them with significant short-volatility exposure. In other words, they are implicitly betting that market volatility will remain low or even decline.

Should markets experience sharp price swings, however, leveraged-ETF investors could suffer heavy losses, forcing funds to rebalance in ways that amplify selling pressures. Leveraged ETFs could therefore exacerbate market instability in the event of a broader sell-off.

Private credit represents another major source of vulnerability. Outside the traditional banking system, a modern variant of what John Kenneth Galbraith called the "bezzle"—undetected fraud within the financial system—may be steadily expanding. Since much of the private-credit market remains outside the purview of regulators, the true scale of leverage and the associated risks are difficult to assess.

As a result, it is impossible to determine whether sufficient capital has been set aside to absorb losses stemming from growing leverage outside the traditional banking system. In his 2025 letter to shareholders, JPMorgan CEO Jamie Dimon noted that non-bank institutions now account for 64% of leveraged lending, up from 54% in 2010. Their share of mortgage originations has risen from just 9% to 77% over the same period.

As governments—including those of the United States, the United Kingdom, and Japan—increasingly rely on shorter-term financing, risks are mounting in fixed-income markets as well. In the US, roughly 20% of outstanding federal debt consists of short-maturity Treasury bills. Although this strategy reduces borrowing costs in the short run, it also exposes governments to greater refinancing risk if interest rates remain elevated or rise further.

Meanwhile, pension funds and insurers have reduced their purchases of long-term government bonds, with hedge funds taking their place. Because hedge funds tend to trade their positions more actively, this shift could fuel market volatility.

At least two developments could trigger a sharp market correction, with potentially damaging spillovers into the real economy. The first is a rise in interest rates. Although inflationary pressures stemming from the Iran war appear to have eased, considerable uncertainty remains over whether the interim US-Iran ceasefire and ongoing negotiations will ensure the uninterrupted flow of energy supplies through the Strait of Hormuz.

More fundamentally, the recent decline in oil and other commodity prices may not be enough to bring inflation under control. Notably, Minneapolis Federal Reserve President Neel Kashkari recently said he expects one additional interest-rate increase this year, citing inflationary pressures beyond oil and gas.

The second potential trigger is the concentration of risk in US equity markets. Given that expectations for US investment, economic growth, and equity valuations are increasingly tied to AI, disappointing quarterly earnings or guidance from a major AI company could spark a market-wide sell-off. The fact that Apple, Alphabet, Amazon, Meta, Microsoft, Nvidia, and Tesla—the so-called “Magnificent Seven”—now account for nearly one-third of the S&P 500’s total market capitalization has created a financial-market vulnerability.

To be sure, the Magnificent Seven alone are expected to spend $725 billion on capital expenditures in 2026, primarily on data centers and AI infrastructure—equivalent to more than 2% of US GDP. But while this investment drive is likely to boost US growth, it also carries significant downside risks. Should these plans be scaled back—or should AI fail to deliver the productivity gains investors expect—the resulting shock could be difficult to contain.

23. Mamdani's American Dream

Author: Slavoj Žižek **Published:** Jul 8, 2026 **Link:** View Original

LJUBLJANA—Francis Fukuyama's 1990s end-of-history thesis was the last big narrative that united the liberal-democratic West. Western liberal-democratic welfare-state capitalism, he argued, was the best possible social system. The only remaining question was empirical: Precisely when and how would other parts of the world arrive at the same model?

This narrative disintegrated after 2001, and we gradually entered the era of brutal pragmatism. The only consistent narrative was provided by Trumpian and European racist nationalists: The developed Christian West is an historical exception, a wealthy, freedom-loving civilization whose survival is under permanent threat from immigrants, "cultural Marxists," LGBT+ partisans, and self-blaming Europeans.

Of course, the "woke" narrative that nationalists reject is even narrower in its appeal than their own. It focuses on a single racist/sexist enemy and doesn't even try to mobilize the majority, because it is concerned with elevating select groups, like trans people, to the exemplary status of the oppressed. Since most people are not trans, this narrative offers the majority only guilt, rather than a broadly appealing positive vision.

But something new has emerged with the rise of so-called democratic socialists in the United States. In an address marking the 250th anniversary of the Declaration of Independence, one of their leading exponents, New York City Mayor Zohran Mamdani, offered a radically different narrative about what the US is and could be. Mamdani won his office not by promoting academic woke purism but by focusing on local issues and the underprivileged, with calls for free childcare and buses, rent control, and accessible health services. And in his July 4 address, he translated his politics into a global vision:

"We are told that America is exceptional because we are richer, stronger, more powerful than everyone else … The truth, my friends, is that America is exceptional because here, nothing is fixed into place. The frontier may be closed, we may have walked on the moon, but the work of fulfilling the values first enshrined in the Declaration of Independence—that work endures, my friends, and it belongs to us all. It belongs too to our newest Americans, those standing here with me today, all of whom were recently naturalized. Nearly a decade ago, I too felt what you feel—the joy of no longer being just a New Yorker, but an American too. You each hold a special power. The power to determine what America means."

Mamdani's vision is, of course, ideological. It presents a simplified picture, not the unvarnished truth. What matters most is that it challenges the populist narrative head-on, as evidenced by the right's hysterical attacks on Mamdani. In his own July 4 address, President Donald Trump was obviously thinking of the New York mayor when, making a hash of history, he claimed that: "Communism is a mortal threat to American liberty. It is the greatest threat to our country, including World War I, World War II, Pearl Harbor, or even 9/11."

But equally notable is that Mamdani has also drawn fire from some radical leftists. In response to his praise of the Declaration of Independence and the US Constitution, Jacobin published a commentary with the headline: "Burn the Constitution Once Again." As the tagline explained, "The Constitution didn't stop Trump—it made his reign possible."

There is obviously merit to such arguments. As the Federalist Papers show, the founders' greatest concern was to curtail popular influence. That is why the Constitution established an Electoral College and other institutional impediments to political majorities.

America's founders were the oligarchic elite of their day. George Washington was one of the wealthiest men in the colonies. In the first couple of elections after the founding, only a small fraction of citizens voted. A decidedly WASP (white Anglo-Saxon Protestant) document, the Constitution protected slavery. Even Irish-Americans were long excluded from sensitive posts in the state administration.

For a certain brand of leftist, however, even the Frankfurt School was a reactionary plot. The dominant right-wing populist narrative blames woke ideology on Antonio Gramsci and especially on Herbert Marcuse and Theodor Adorno. Yet some on the left, such as the Villanova University philosopher Gabriel Rockhill, dismiss Western cultural Marxism as a CIA-backed anti-Communist movement designed to discredit "actually existing socialism." In both cases, one should heed Jean-Paul Sartre's observation that a text attacked by both sides—whether the US Constitution or One-Dimensional Man—is probably on the right track.

In this context, Mamdani's address was a perfect example of ideology in the positive sense of that term. It overturned the rightist vision of the US as an elite bastion that is threatened by outsiders, and presents it instead as a place that is strong enough to accept and give a chance to the world's poor, exploited, and oppressed. Mamdani sees the very feature that rightist populists perceive as a threat to American identity—openness to outsiders—as the source of American exceptionalism. The US is a wealthy symbol of hope because it has given generation after generation of immigrants a chance to succeed.

Some leftists would, of course, claim that this dream is a lie, that the oppression of the lower classes, racial minorities, and newcomers has never let up. But issuing that charge is like firing a blank round: it has no force beyond fueling a form of self-criticism that leads nowhere. Mamdani's vision may not reflect the full, unvarnished truth, but it is truer than the Trumpian alternative, and it has the potential to mobilize millions—as has already happened since his election.

Such is Mamdani's genius. He has made the poor and tired newcomers the only authentic agents of the American dream. Trumpian populists are primitive provincials and happy slaves to mega-corporations. Today, it is democratic socialists who embody the emancipatory core of the American dream. They are the true American patriots.

24. Reinventing Development Finance

Author: Yusuf Murangwa **Published:** Jul 8, 2026 **Link:** View Original

KIGALI—Developing economies face a confluence of pressures, each of which implies large investment needs. They must create jobs for rapidly expanding populations, boost resilience to external shocks and the effects of climate change, and build the infrastructure required for long-term growth. And yet, with concessional finance shrinking, borrowing costs ballooning, and international capital markets remaining volatile, funding these investments is harder than ever.

To pursue ambitious development agendas with limited fiscal space, developing economies must borrow more strategically. Rwanda's recent financing partnership with the World Bank Group shows what this could look like. Instead of relying solely on traditional concessional loans, Rwanda has worked with the Bank to leverage policy-based concessional finance and risk-sharing instruments to unlock private capital at scale and on affordable terms.

Rwanda has forged a development path few thought possible. Over the past two decades, its annual GDP growth has averaged more than 7%, owing to prudent macroeconomic management, long-term planning, and sustained, well-executed reforms. Looking ahead, the government seeks to create 250,000 quality jobs each year, accelerate industrialization, and modernize agriculture.

Achieving these goals requires substantial long-term finance. That led the World Bank Group and Rwanda to turn conventional thinking on its head by using scarce concessional resources to catalyze private investment through a policy-based guarantee provided by the International Development Association (IDA), the World Bank's concessional lending arm. This structure helps lower financing costs by reducing risk for investors and extending maturities.

Rwanda further strengthened this mechanism by combining the IDA first-loss guarantee with a second-loss guarantee from the World Bank's Multilateral Investment Guarantee Agency. Taken together, these innovative instruments cover 95% of debt-service obligations on the underlying commercial loan, significantly lowering perceived risk and crowding in private lenders and reinsurers.

The result is private financing on close to concessional terms, an arrangement that preserves limited public funds. In April, Rwanda secured a €213 million ($243 million) commercial loan from Société Générale and Standard Chartered with a 15-year maturity and six-year grace period. At a time of heightened global volatility, this guarantee-backed financing package reduced borrowing costs by roughly 300 basis points compared to prevailing market conditions. Equally important, principal repayments begin only after Rwanda's existing 2031 Eurobond matures, reducing refinancing pressures and helping improve the country's debt profile.

This affordable capital has enabled reforms that will strengthen the Rwandan economy's foundations and enable private-sector growth and job creation. They include measures to bolster fiscal sustainability, modernize frameworks for public-private partnerships, lower the costs of doing business, improve labor-market matching and skills development, and spur growth in sectors such as agriculture, livestock, and sustainable land management.

The first transaction may be followed by a second one to mobilize the remainder of the approved $450 million financing envelope. For Rwanda, accessing the total amount would pave the way for even more investment in infrastructure, health, education, agriculture, social protection, and industrial development—all of which would have a positive impact on people's livelihoods and living standards.

But the significance of this pioneering approach extends beyond one country—in fact, it has now been used in Angola, Argentina, Côte d'Ivoire, and Panama, as well as Rwanda. Many developing economies are similarly grappling with limited access to capital markets, shrinking fiscal space, and lower levels of concessional financing. In such an environment, mobilizing more money requires policymakers to make better use of available resources.

Development finance must evolve from a model centered primarily on direct public lending to one that leverages public funds to reduce risk, attract private investment, and improve financing terms for countries undertaking credible reforms. This is particularly important for countries seeking to manage their liabilities and debt-service obligations more effectively, and to reduce their exposure to refinancing risks.

Rwanda's experience shows what is possible when sound economic management and strong institutions are coupled with innovative financing. Of course, no single model will work for every country. But the underlying idea is broadly applicable: when concessional resources are used strategically—and paired with sound economic policies—they can have a significantly greater impact. To transform their economies and fulfill their development ambitions, low-income countries must embrace innovative financing solutions that can do more with less.

25. How Argentina Can Protect Its Resource Wealth

Author: Conrado Tenaglia **Published:** Jul 8, 2026 **Link:** View Original

BUENOS AIRES—Argentinian President Javier Milei has launched a reform program inspired by the free-market economist Friedrich Hayek, at the heart of which is the development of Argentina's vast energy reserves. Milei and his supporters hope that this will reverse almost a century of economic decline. But while translating natural-resource wealth into long-term prosperity is certainly possible, it is not easy, as the many countries that have fallen victim to the "resource curse" can attest.

Argentina is home to Vaca Muerta, which holds the world's second-largest shale-gas reserves and fourth-largest shale-oil reserves. It also sits, with Bolivia and Chile, within the "lithium triangle," which contains roughly 60% of the world's known reserves of a critical input for the batteries needed to power electric vehicles, enable large-scale grid storage, and more.

These resources are not controlled by the federal government. Instead, they belong to the provinces where they are located, per a 1994 constitutional amendment. The constitution, modeled largely on that of the United States, also states that any power that is not explicitly delegated to the federal government belongs to provincial governments. This means that provincial governments can collect royalties on the extraction of oil, gas, lithium, and other resources from their territories.

The resulting revenues are becoming substantial. Neuquén, where most of Vaca Muerta is located, currently collects approximately $350 million per month in royalties, and provincial authorities expect that figure to rise to $500 million once Argentina's liquefied natural gas export infrastructure is fully developed—as early as 2031. That would amount to roughly $6 billion annually for a province of just over 700,000 inhabitants.

Similarly, Catamarca, home to some of Argentina's largest lithium deposits and just 430,000 people, expects royalty revenues to reach approximately $350 million annually by 2031.

To translate these windfalls into sustained prosperity, Argentina's provinces should look to the examples set by Alaska, Chile, and Norway, all of which created a sovereign wealth fund (SWF) to manage their resource revenues.

Alaska offers perhaps the most instructive model. When it became the 49th US state in 1959, the magnitude of its oil wealth remained unknown. The discovery of oil at Prudhoe Bay in 1968 transformed the state's finances almost overnight, with lease sales generating hundreds of millions of dollars. But the revenues were spent quickly, raising fears that the bonanza would be squandered.

The solution came in the form of the Alaska Permanent Fund. Established through an amendment to the state constitution in 1976, the fund kept a significant portion of the state's oil revenues beyond the reach of day-to-day budgetary spending. Alaskan law requires that 50% of mineral royalties be deposited into the fund, and its principal cannot be spent without the direct approval of voters. Since the first dedicated deposit was made in 1977, the fund has amassed nearly $90 billion in assets.

Norway's experience is also worth revisiting. Its SWF is often presented as a model of careful planning, but the reality was more complicated. In the decades after one of the world's largest offshore oilfields was discovered off Norway in 1969, the country grappled with many of the institutional and political challenges typically associated with resource booms.

Norway's SWF was established in 1990 to shield petroleum revenues from short-term political pressures, protect the economy from price fluctuations, and ensure that future generations would benefit from the country's resource wealth. Oil revenues would be channeled directly into the fund and, crucially, the money would be invested exclusively abroad. Moreover, spending would be subject to strict parliamentary oversight. Today, 30 years after the first deposit was made, Norway's SWF is the world's largest, with assets of roughly $2.2 trillion.

Chile—one of the world's largest copper producers—similarly struggled with volatile commodity revenues. In 1987, it created the Copper Stabilization Fund to serve as a kind of buffer, accumulating funds when prices were high and closing gaps when they were low. Twenty years later, this was replaced by the Economic and Social Stabilization Fund—a comprehensive SWF, rather than a commodity-focused buffer.

All these efforts reflect a commitment to converting today's resource windfalls into enduring financial assets. Alaska, Norway, and Chile recognized the dangers of Dutch disease, whereby commodity booms drive up the currency's exchange rate, undermine competitiveness, and ultimately leave economies poorer. Argentina should learn from their experience, rather than from its own mistakes.

In his 1941 short story "The Garden of the Forking Paths," Jorge Luis Borges imagined a garden in which infinite futures coexist, each accessed through a different choice. Argentina's provincial governments must now make their choice: leverage today's resource wealth to strengthen institutions and deliver lasting prosperity, or squander their windfalls. As in Borges' garden, once a path is chosen, changing course is not easy, if it is possible at all.

26. Concessional Finance Is Needed More Than Ever

Author: Muhammad Al Jasser **Published:** Jul 8, 2026 **Link:** View Original

JEDDAH—The global development landscape is under severe strain. Aid flows are tightening, financing gaps are widening, debt pressures are mounting, and climate shocks are hitting vulnerable economies with growing intensity.

For many of the Islamic Development Bank's 57 member countries, these converging forces are limiting investment in resilience, human development, and long-term growth. The challenge is particularly acute for our 27 least-developed members and those affected by conflict and institutional fragility.

With heavy debt burdens eroding fiscal space for spending on health, education, and infrastructure, governments are forced to divert scarce public resources away from development priorities. The consequences extend far beyond national borders, threatening the prosperity and stability of our entire community.

At a time of shrinking aid budgets and rising vulnerability, the case for concessional financing has never been stronger. International research has consistently shown that investments in resilience generate significant long-term economic and social returns by reducing the human and financial costs of future shocks, which in turn enables countries to protect hard-won development gains and invest in the future. Yet concessional finance has not kept pace with rapidly growing needs, particularly in countries grappling with debt distress and climate-related risks.

Meeting this challenge requires more than additional resources; it calls for sustainable, predictable financing mechanisms capable of mobilizing collective support. The Islamic Development Bank recently took a vital step in that direction by establishing its IsDB Concessional Fund (ICF). Launched at the second AlUla Conference on Emerging Market Economies in Saudi Arabia in February, the ICF was created as a means to respond more effectively to the evolving financing needs of our least-developed members.

The ICF provides an institutional framework for South-South solidarity within a member-owned, multilateral development bank. Its distinctiveness lies in its governance—it is Shariah compliant—and burden-sharing model, through which members with greater financial capacity support those facing severe development constraints, thereby promoting stability, opportunity, and regional cooperation.

But such a model is viable only when underpinned by institutional commitment. For that reason, the IsDB pledged to allocate 10% of its annual financing approvals to concessional operations and 20% of its annual net income to the ICF through 2030. By investing its own resources alongside member contributions, the Bank has established a credible, replenishable platform that expands the fiscal space available to our least-developed members while creating a stronger foundation for collective action.

The value of this approach is already becoming evident. For many low-income countries, high debt burdens mean that ordinary lending terms are not suitable for financing urgent development priorities. Concessional finance helps bridge that gap. The IsDB's inaugural portfolio of more than $137 million illustrates how concessional finance can support investments in climate resilience, social infrastructure, and human development.

But no replenishment mechanism can succeed through institutional commitment alone. It also depends on the willingness of member countries to invest in a shared future. Notably, the ICF's early progress has been made possible through the support of member countries, including Algeria, Kuwait, Saudi Arabia, and Qatar. Their contributions signal confidence in the ICF as a transparent and accountable platform for channeling concessional resources where they are needed most.

That same spirit of solidarity also shaped the discussions at the IsDB's annual meetings in Baku, held in June under the theme "Regional Integration for Sustainable Prosperity." Participants repeatedly highlighted a simple yet critical point: investing in the resilience of our least-developed member countries is not only a development imperative but also a prerequisite for regional stability, connectivity, and shared growth. As the ICF enters its first replenishment cycle, that principle must continue to guide our collective efforts.

The creation of the ICF builds on the IsDB's longstanding commitment to development cooperation by becoming a platform for concessional support. Against this backdrop, the first replenishment cycle represents an opportunity to turn a shared understanding of member countries' interconnected challenges into concrete, sustained action.

At a time of rising development pressures and scarcer concessional resources, the need to scale such mechanisms is clear. All IsDB member countries should support the replenishment effort now underway. By doing so, we can expand the ICF's reach, strengthen climate resilience, and help place vulnerable economies on a firmer path toward stability, sustainable development, and lasting prosperity.

27. Postmodern Economics

Author: Angus Armstrong **Published:** Jul 9, 2026 **Link:** View Original

LONDON—If it is true that art imitates life, works of imagination can reflect underlying truths about our own experience. The English artist David Hockney, who died last month, certainly understood that. In reflecting on his brilliant and endlessly joyful work, even the most dismal-minded economist might learn something about how to interpret reality.

Hockney saw that art comes not just from the mind but, more precisely, from memory. Like memory, art is always necessarily interpretative—never a perfect copy—and different artistic schools and movements reflect different ways of interpreting reality.

Modernists, for example, consider the world to be generally knowable as a domain where structure is roughly stable and scientific discovery always leads to progress. Such a perspective is rather idealistic, relying on minimal principles to reveal an inherent order, as in Piet Mondrian's mesmerizing abstract lines and blocks of bright color.

Modern macroeconomics is similar. On the basis of a few simple axioms about human decision-making and an assumption about how we form consistent expectations, economists have developed a grand theory of how the economic system works. With the right parameters, the thinking goes, we can study the workings of the economy with confidence that we have the right representation of reality.

The validity of this approach goes back to 1954, when the discipline developed a formal proof of the existence of a perfect equilibrium under ideal economic conditions. This work elevated the profession to the "queen of the social sciences," thanks to its quantitative rigor and application to related disciplines.

For policymakers the message could not have been simpler: Fashion the world in the image of economists' ideal conditions and you can be free of messy normative or political judgments about the distribution of resources. Yes, reality is a bit more complicated, but complexities can be ironed out by using inflation targets and fiscal rules to head off any wandering expectations.

We have now seen six British prime ministers in the past decade set out their economic strategies using almost exactly this framework. It has not gone particularly well, but we seem to be trapped in the same way of thinking.

Hockney had a different sense of reality. Eschewing the idea of a single truth, he showed that the world unfolds before us in ways we cannot fully understand. We have different perspectives on reality, which is itself indeterminate.

The actual economy is not some isolated knowable system of causal relations that are occasionally perturbed by an external shock. Economist Armen Alchian reminded us long ago that our axioms are not a description of human behavior and decision-making processes, only a simplification.

Yet uncertainty need not leave us paralyzed. On the contrary, Frank Knight suggested a century ago that intelligent life probably would not even exist without uncertainty, and George Shackle maintained that living with uncertainty is the price we pay for having an imagination. We don’t just rationally choose between existing products. We create knowledge for ourselves by seeking to harness the inherent uncertainty of experience.

We all must plan ahead. But if the future cannot be known, the question is how we approach forecasting. Former US Federal Reserve Chair Ben Bernanke recommended that the Bank of England consider “alternative modeling frameworks,” even heterodox models. This is consistent with Hockney’s insight. If economic forecasting is to be a useful practice, it must account for different perspectives.

If economists were to reduce the weight on equilibrium models, we could then explore other potential outcomes. Doing so might call our attention to parameter values where dynamics change, causing cascades of economic activity (or tipping points) that are much more important for decision-makers to be aware of. It may well reveal areas where the economy is developing serious problems—a truly worthy contribution to the debate.

Since a single model tells only a single story, those who cling to it can easily end up trapped in TINA (there is no alternative) thinking—as British prime ministers have done. The only logical response is to use alternative models. When these contradict one another, we can still make decisions on the basis of John Maynard Keynes’s “balance of evidence,” rather than sticking to the pretense of knowledge.

Even in the messier world of fiscal policy, we continue to estimate the precise long-term impact of public investment by using a very conventional production function. Alfred Marshall may have established organization as a fourth factor of production, but since such functions ignore any change in organizations, alternatives are never considered. Robert Solow was right to caution that production functions are only illuminating parables.

Accepting radical uncertainty means accepting that knowledge is always fallible and incomplete, even with all the information that could possibly be gathered. This distinction will matter more and more as we deploy AI. Corporate board members still will need to “feel” satisfied—rather than simply being told—that all reasonable eventualities have been considered. That requires human involvement and knowing where outputs come from.

We will eventually follow Hockney’s footsteps into a world of postmodern macroeconomics, with uncertainty at its core, rather than an exogenous shock to an otherwise stable equilibrium. This economics will invite different perspectives and experimentation, and different institutions will support the creation of new knowledge. Our challenge will be to find the right structures, and to make way for a world in which crude utilitarianism gives way to justice, dignity, and fairness—values to which Hockney was deeply committed.

28. Should the Bank of Japan Raise Interest Rates?

Author: Koichi Hamada **Published:** Jul 9, 2026 **Link:** View Original

TOKYO—In my early years as an economics professor, I was occasionally asked to present my work to a group of international economists, and several times I was lucky enough to do so at a beautiful site overlooking Lake Geneva. One economist—quiet, thoughtful, not at all antagonistic—always appeared at those presentations, and even met me for breakfast in New York City. His name was Scott Bessent, currently Secretary of the United States Treasury under President Donald Trump.

Bessent began his career managing the hedge fund owned by George Soros, and when I was appointed as an adviser to Japanese Prime Minister Abe Shinzō, they came to see me at Yale University. As Bessent recounted in his book, I (with my Japanese accent) described to him and Soros (with his Hungarian accent) our early plans to reinvigorate Japan's economy, including through looser monetary policy. He found those plans "inspiring," he wrote. Yet, today, he is recommending the opposite.

Trump, Bessent's current boss, could not have less in common with Soros. But Bessent appears to be moderating, to some extent, Trump's irrational tariff policies. Meanwhile, he is recommending a measure that, unlike tariffs, actually could help US industry: higher Japanese interest rates. The Japanese yen has sunk to a 40-year low against the US dollar. Raising interest rates would strengthen the yen, increasing the competitiveness of US exports.

The question is whether this would be good for Japan, which benefited from a weak yen throughout its postwar economic recovery. That was ended by the 1985 Plaza Accord, under which France, West Germany, Japan, and the United Kingdom agreed with the US to intervene in currency markets to weaken the dollar against their respective currencies. The stronger yen sharply undercut Japan's economic dynamism, and, together with population aging and a rigid kaisha (company)system that struggles to adapt to new technologies, contributed to decades of chronic economic malaise.

But this does not mean that a weaker yen is always better. One way to assess whether a currency is over- or undervalued is to compare the actual exchange rate to the purchasing-power-parity rate compiled by the International Monetary Fund. If the actual yen-per-dollar exchange rate is higher than the PPP rate (which accounts for price levels within each country), then the yen is undervalued. If it is lower, the yen is overvalued.

At the beginning of 2013, when Abenomics was rolled out, the actual dollar exchange rate was ¥83, and the PPP rate was around ¥127, meaning that the yen was more than 50% overvalued. This generated powerful headwinds for Japanese producers and deflationary pressures for the entire Japanese economy.

Today, the opposite is true: in April 2026, the actual dollar exchange rate was around ¥160, while the PPP rate was only about ¥93. The yen was thus some 70% undervalued. Foreigners are well aware of this: Tokyo has been experiencing a tourism boom, as visitors seek to take advantage of low prices.

Were Bessent still a fund manager, he would probably be taking advantage of this situation, borrowing yen at lower interest rates, converting them into higher-yielding US dollars, and investing in riskier assets. The interest-rate differential

—which now exceeds two percentage points—would deliver significant profits upon loan repayment.

But instead of engaging in this speculative carry trade, Bessent is rightly encouraging the Bank of Japan to raise rates. Whether he will show the same integrity at home, defying Trump by recommending higher interest rates to rein in rising inflation, remains to be seen.

As for Japan, the case is clear. When I was Abe’s adviser, I strongly advocated monetary easing. But I would not give the same advice today. Japan’s circumstances have changed, so my recommendation has, too.

29. An Athenian View of American Democracy

Author: Yanis Varoufakis **Published:** Jul 9, 2026 **Link:** View Original

ATHENS—On the heels of America's 250th anniversary, I felt the curious need to resist my usual penchant for economic and geopolitical analyses of claims made for or against the United States. Instead, I surrendered to an emotional, personal, indeed an Athenian, take on the global hegemon whose development and actions have shaped us all.

My earliest memory of America as a factor in my life harks back to a hot afternoon in early June 1968. A little more than a year after a CIA-backed coup had placed Greece under a fascist dictatorship, my mother and I were strolling outside the revamped ancient stadium where the first modern Olympic Games had been held in 1896. A newsboy suddenly broke the calm, announcing, at the top of his voice, that some American was dead. My mother's eyes filled with tears. "He was our last chance," she said.

The dead American was Robert F. Kennedy, on whom my mother had, rightly or wrongly, pinned many hopes, not only for our liberation here in Greece but also for world peace. It would be my crash course in America's significance to us all, as well as to its internal contradictions.

There had, of course, been previous news flashes of soul-crushing American murders, particularly those of Martin Luther King, Jr. and Malcolm X. And in the years that followed, the news featured daily horrors from Vietnam and the intricacies of Watergate. Yet these were balanced by the poignant, nuanced, and aesthetically sophisticated American critiques of it all.

Is there a better way to grasp the criminal insanity of the Vietnam War than Francis Ford Coppola's Apocalypse Now? Or a better exposé of endemic corruption in California than Roman Polanski's Chinatown? Or of Watergate than Alan Pakula's All the President's Men? Or a better depiction of the CIA's weaponization than Sydney Pollack's Three Days of the Condor? Or a better portrayal of the country's dangerous underside than Coppola's The Godfather or Martin Scorsese's Taxi Driver?

As I got older and began to read difficult books, it was American authors that opened windows from which I could glimpse America's exhilarating vistas of contradiction. Thorstein Veblen's The Theory of the Leisure Class gave me a better understanding of American capitalism than any economics text, conventional or polemical. John Steinbeck's The Grapes of Wrath impressed upon me the dreadfulness of the Great Depression, and an appreciation of the subsequent New Deal, in ways that no economist ever matched.

Turning to music, rock 'n' roll was my gateway into rhythm and blues, which was my tutor into what American freedom —or lack thereof—was all about. Could there be a better summary of how Hegel's dialectical concept of freedom was fused into the American South than the line from that splendid blues song originally performed by Ray Charles and later by Solomon Burke, "None of us are free, if one of us are chained"?

Years later, the sculptures of Donald Judd in Marfa, Texas, helped me realize the importance of manufacturing in fashioning America's cultural imprint. It was there that I first recognized how the artefacts of American industry—the unadorned facticity of its industrial materials—had shaped our understanding of our surroundings and the interplay of light and volume, even here in Europe.

Those were the times when a communal creative introspection swept across America, redolent of the possibility of catharsis. As Aristotle explained in his Poetics, tragedy was never about entertainment; it was a civic courtroom.

This is what America's authors, musicians, and filmmakers were doing: they were putting their deepest anxieties on trial. They recognized that authentic tragic heroes—such as Oedipus, Antigone, and Prometheus—are not inherently good or bad; like most Americans, they acted according to their own profound sense of justice, to a "truth" they felt bound to uphold.

Their tragedy was that the universe, or more likely the polis, turned their actions into opposing, crushing forces. Through witnessing the resulting suffering, the audience's own pent-up pity and terrors are purified and drained away. That is the moment of catharsis that America, in the end, was denied.

What robbed Americans of their catharsis was the economy's violent switch from surplus producer to deficit generator, symbolized by the Nixon Shock of 1971, which killed the Bretton Woods system. By the 1980s, the films and books I loved were replaced with paragons of crass jingoism like Rambo, Top Gun, and Francis Fukuyama's The End of History.

Of course, the capacity for self-reflection was not entirely lost. America's cathartic moment was snuffed out because its elites succeeded in turning US deficits into a source of immense, uncouth strength. As foreign capital enthusiastically poured profits and rents into New York City, Oliver Stone's Wall Street captured the resulting rise of the Gordon Gekkos.

Stone's film came at the start of an era in which the stability of American power has been accompanied by steadily expanding economic precarity—a process that has impoverished many in the US and the rest of the West while enabling owners of substantial dollar-denominated capital to become fabulously wealthy. For more than four decades, a global class war has been waged against working people everywhere, and in the US in particular, preventing a purifying resolution of America's tragedy.

Quite the contrary. Financialization and, more recently, the rise of cloud capital, Big Tech, and AI, are solidifying the schism within American society that eventually begat Donald Trump's presidency. Consequently, America is now producing a mindless, raw power and exponentially growing instability. The possibility of catharsis that characterized America at its bicentennial is hard to envisage a half-century later—to the detriment of us all.

30. Low-Cost Solutions to Maternal Mortality Already Exist

Author: Ifeanyi M. Nsofor **Published:** Jul 9, 2026 **Link:** View Original

SILVER SPRING—In early June, Melinda French Gates pledged $215 million to improve women's health globally, with a focus on underfunded areas such as maternal care in Africa. The announcement comes at a critical moment. Every day, more than 700 women die during and following pregnancy and childbirth, despite the fact that many of the leading causes of maternal mortality are preventable with affordable, evidence-based interventions.

These maternal deaths are not evenly distributed. Roughly 87% of them occur in Southern Asia and Sub-Saharan Africa, with the latter alone accounting for nearly 70%. By contrast, high-income countries experience far lower rates, although stark inequities remain. In the United States, for example, Black women are more than three times as likely as white women to die from maternity-related causes.

Declining foreign aid has exacerbated the crisis. As calls for local resource mobilization grow louder, the focus should shift to cost-effectiveness. Instead of investing in expensive hospital-centered models, policymakers should scale up funding for affordable interventions that address the leading causes of maternal mortality, which include postpartum hemorrhage, hypertensive disorders such as pre-eclampsia, unsafe abortion complications, obstructed labor, and sepsis. The challenge is no longer identifying solutions, but rather ensuring that proven interventions reach every woman in need, especially in resource-constrained settings.

While working in Nigeria on a project aimed at preventing postpartum hemorrhage—the leading killer of women during childbirth—in communities and at health facilities, I saw firsthand how simple, affordable interventions saved lives.

For starters, active management of the third stage of labor can reduce severe postpartum hemorrhage by approximately 60-70%. This involves administering medicine that helps the womb contract after childbirth, at which point health-care workers can actively control the delivery of the placenta and assess the mother's uterine tone. While oxytocin is the preferred drug, proper storage can be challenging in low-resource settings; misoprostol is an effective and affordable alternative that is heat-stable and can be given orally.

Accurately measuring blood loss is equally important. A simple plastic blood collection drape, placed under the woman immediately after delivery, helps collect and measure blood loss. For women who go into shock following postpartum hemorrhage, the non-pneumatic anti-shock garment, which applies pressure to the lower limbs and abdomen, can redirect blood to vital organs and help stabilize them while awaiting a blood transfusion or surgery.

Pre-eclampsia, which affects 3–8% of women who give birth worldwide, also threatens the lives of mothers because, when left untreated, it can progress to deadly seizures. Fortunately, the best solution is one of the simplest: regular blood-pressure monitoring. Between 2014 and 2017, the Community-Level Interventions for Pre-eclampsia program trained community-health workers to visit pregnant women at home, monitor blood pressure, and identify warning signs using mobile tools and pictorial guides. The randomized controlled trial, designed by the University of British Columbia, improved early detection and management of pre-eclampsia in Mozambique, Pakistan, and India, with workers treating low-risk cases with antihypertensives and magnesium sulfate, and facilitating the urgent referral of high-risk patients to health facilities.

Complications from unsafe abortions are another prominent cause of maternal deaths, accounting for roughly 8% globally. Unsafe abortions are often the result of untrained providers or subpar medical standards, and can cause death through severe bleeding, infection, and injuries to reproductive and other internal organs.

The answer is straightforward: expand access to safe abortion services. Ethiopia liberalized its abortion law in 2005, making these services and crucial follow-up care available in public health facilities. Health-care workers were trained to provide women with treatment for severe bleeding and infections, and to remove pregnancy tissue left behind after incomplete abortions, with more complicated cases referred to hospitals. Within a decade, the share of maternal deaths linked to unsafe abortion fell from 32% to less than 10%.

Finally, obstructed labor, which occurs when a baby cannot pass through the birth canal even with strong contractions, can lead to severe bleeding, infection, uterine rupture, stillbirth, and death when not treated promptly. The solution to this problem, which accounts for about 2% of maternal deaths worldwide, is timely access to skilled birth attendants and emergency obstetric care, including cesarean sections when necessary.

Bangladesh achieved a rapid reduction in maternal mortality—including deaths from obstructed labor—through a multi-sectoral approach. It increased access to specialized emergency care for women with serious childbirth complications, allowed the growth of private medical facilities to meet demand for C-sections, and promoted early referral through community-based skilled birth attendants. Lower rates of adolescent pregnancy and improved maternal nutrition also contributed to the decline.

While Gates' funding commitment is both timely and welcome, the future of maternal health, particularly in countries that have long depended on foreign aid, cannot rest on philanthropy alone. It must be built on sustained investments in simple, proven, and scalable interventions that make better use of scarce resources to ensure that no woman dies while giving life.

31. Digital Public Infrastructure Is Now a Strategic Battleground

Author: Tariq Malik **Published:** Jul 9, 2026 **Link:** View Original

WASHINGTON, DC—Wars once destroyed ports, power grids, and railways. Today, they increasingly target something less visible and far harder to replace: the digital public infrastructure (DPI)—identity platforms, payment systems, and data exchanges—on which modern societies depend.

The war in Iran has exposed this fragility in ways few governments had anticipated. As the conflict spilled beyond conventional battlefields, attention quickly shifted from military assets to digital infrastructure such as data centers, cloud providers, and the tech platforms embedded in global supply chains. At the same time, the closure of the Strait of Hormuz has threatened supplies of aluminum, helium, and liquefied natural gas—critical inputs for semiconductor manufacturing—and, by extension, the cloud infrastructure that enables governments to deliver essential public services.

This structural vulnerability raises a fundamental question that policymakers are only beginning to confront: What does sovereignty mean in an era of geopolitical turmoil and concentrated digital power?

DPI lies at the heart of that debate. India, Brazil, and Estonia have demonstrated what well-designed digital systems can achieve: lower corruption, enhanced financial inclusion, and dramatic improvements in the delivery of public services. Yet owning the application is not the same as owning the infrastructure on which it runs. Governments that overlook that distinction expose themselves to four strategic risks.

The first risk is the illusion of control. Governments that build national digital services often believe they have secured strategic capability. In fact, the layers that matter most—cloud computing, semiconductor supply chains, AI model infrastructure, and telecom networks—are concentrated in the hands of a small number of private firms, most of them headquartered in just a handful of countries. When one of those firms changes its policies, revises its compliance requirements, or becomes subject to export controls, the consequences can extend far beyond what any affected government anticipated.

The dispute between Anthropic and the US government is a case in point. In early June, US President Donald Trump's administration directed the company to suspend access to its two most advanced models for foreign users, only to lift some of those restrictions two weeks later. Governments around the world that had integrated Anthropic's models into their own systems discovered that their digital capabilities were subject to decisions made in Washington.

Second, success itself can become a source of fragility. India's Unified Payments Interface and Brazil's instant payment platform, Pix, now process hundreds of millions of transactions every day. Remarkable as these systems are, they have become so deeply embedded in daily economic life that a prolonged outage would do more than inconvenience users. It would disrupt commerce, delay welfare payments, and trigger a governance crisis within hours.

To be sure, one could argue that the efficiencies such systems create outweigh the risks, that redundancy can be engineered into them, and that no government would deliberately disable its own infrastructure. But the question is not whether governments would intentionally disrupt critical systems; it is whether the deep technological interdependencies can trigger disruption without anyone intending it.

As these systems become increasingly integrated, failures are unlikely to remain isolated. In many countries, digital identity now underpins banking, elections, telecommunications, tax administration, and social protection.

Chart 1 illustrates how quickly a failure in the identity layer can cascade across interconnected systems. Authentication errors lock people out of bank accounts, leading to payment breakdowns that cut families off from vital cash transfers and render telecommunications, health care, and government services that rely on identity verification inaccessible. By the time engineers find the technical fault, the political crisis is already underway. The more tightly integrated the system, the more a single point of failure functions as a detonator.

The third risk is market concentration. The global digital economy now depends on a remarkably small number of cloud providers, AI foundation models, operating systems, chip designers, and undersea cable operators. This concentration has produced enormous efficiencies, but it has also created unprecedented systemic vulnerabilities. A geopolitical crisis, a cyberattack, or regulatory restrictions affecting just a handful of companies ripple through economies worldwide.

Regrettably, many governments have discovered this only after the fact. By building sophisticated digital public services and outsourcing the infrastructure on which those services rely, they have effectively digitized the public sector while offshoring its nervous system.

And then there’s the state itself. Digital identity systems and payment platforms do more than merely automate government. By concentrating information, decision-making, and operational authority, they redistribute power within it. Without robust legal protections and independent oversight, the same infrastructure that delivers welfare payments can become an instrument of exclusion, surveillance, and political control.

Trust, however, cannot be added to DPI after it is deployed. It must be built into the architecture from the outset. Governments that neglect these foundations do not simply ignore risk—they manufacture it.

None of this diminishes the case for DPI. But realizing its promise requires a broader conception of what a successful digital transformation entails. On the technical front, governments must build systems capable of withstanding the failure of any single component through federation, interoperability, redundancy, and offline resilience.

On the institutional level, the bodies governing DPI must be genuinely independent, transparent, and accountable. Advisory committees with no power to intervene are no substitute for meaningful scrutiny by legislatures, civil society, and external auditors.

The geopolitical developments of the past few years have transformed infrastructure into a domain of strategic competition, and digital systems are no exception. Built to deliver public services, they now underpin state power and geopolitical influence.

In building DPI, governments must recognize the dependencies they create and the vulnerabilities that accompany them. The digital foundations of the state are no longer simply an administrative concern. They are a matter of national security and must be treated that way.

32. What Is the Digital-Money Debate Really About?

Author: Lucrezia Reichlin **Published:** Jul 10, 2026 **Link:** View Original

LONDON—The debate over stablecoins and central bank digital currencies (CBDCs) may seem to be about technology, but it is actually about the architecture of money. It is thus not a new debate, but rather the reopening of an issue that most economists thought had been settled long ago. How this renewed debate plays out will have far-reaching implications—not least for determining whose money Europeans end up using.

Central to the debate is the question of whether the primary issuer of digital money should be the state (CBDCs) or private firms (stablecoins). The United States under President Donald Trump has, perhaps not surprisingly, embraced the latter: its 2025 Guiding and Establishing National Innovation for US Stablecoins (GENIUS) Act welcomes dollar stablecoins, lets non-banks issue them, and rules out a retail digital dollar.

By contrast, the European Union's Markets in Crypto-Assets Regulation (MiCA) marginalizes private euro stablecoins, obliging issuers to park their reserves largely in bank deposits and limiting the use of foreign-currency coins for payments. This would make the privately issued euro stablecoins on offer less attractive than the bank deposits Europeans already hold.

And yet, the same will be true of the public retail digital euro that the eurozone is planning, owing to strict limits on how much one may hold and a prohibition on interest payments. Although the GENIUS Act also bars issuers from paying interest, the exchanges that distribute the coins partly circumvent this rule by handing out "rewards," such as cashback options and loyalty points.

But why shouldn't digital money pay interest? After all, you earn interest on your deposits. As Milton Friedman observed, preventing money from bearing interest amounts to imposing a tax on holding it. In a forthcoming paper, Bruegel's Ulrich Bindseil, a former director general of market operations at the European Central Bank, shows that, across every modern form of money, the rules suppressing remuneration exist mainly to protect banks' "deposit franchise" (the cheap funding lenders enjoy), which is not necessary for stability. When such rules bind, they usually backfire. America's ban on interest created the Eurodollar market in the 1950s and money-market funds in the 1970s.

If interest is allowed to accumulate on digital money, the question becomes: Who pays it? To answer that question, we must consider the system's design.

In the two-tier system we have, banks are credit institutions: they create money by lending, they pay interest on the resulting deposits, and they alone hold reserves at the central bank. Money and credit are fused in a single institution, which enjoys exclusive privileges: deposit insurance and the backing of the central bank. Together, these privileges guarantee the "singleness of money": in any circumstance, a euro of bank deposits is worth a euro.

Stablecoins disrupt this arrangement, because they pull the two functions apart. A stablecoin issuer creates a means of payment but extends no credit. This is money unbundled from lending, issued by an institution that is neither a commercial bank nor a central bank. What stablecoin issuers lack in lending power they make up for in efficiency:

because a stablecoin is a bearer token that settles on a programmable network, it can move instantly, around the clock, and across borders at a fraction of the cost of the banks' correspondent chains. Coin issuers do not lend, but they may pay better than the banks do—and that is what worries regulators.

The issue comes down to credit. To the extent that stablecoins channel deposits away from commercial banks (disintermediating them), they reduce the funding on which bank lending depends, and thus potentially reduce the supply of credit itself. A retail digital euro raises the same concern: money that migrates from a bank deposit into central-bank money is money that is no longer financing loans. This explains the restrictions on both the digital euro and euro stablecoins: neither may pay interest, and stablecoin issuers are also kept away from the central bank's reserves. Regulators are attempting to contain the erosion of credit.

But the principle that ought to govern here is neutrality: the same rules and risks should apply, whatever the issuer's legal form. By that standard, withholding reserve access gets matters backwards, because reserve access is precisely what would make a stablecoin safe.

A stablecoin is only as sound as what backs it. Today's dollar coins are backed by Treasury bills and other short-term paper, which are safe enough in calm times, but liable to lose value in a crisis—exactly when holders rush to redeem. Only central-bank money holds its value with certainty in a crisis. So, if the EU wants a safe euro stablecoin, it should let the issuer hold its backing at least partly as reserves at the ECB. It should also give that issuer access to the ECB's lender-of-last-resort facilities—the backstop that safeguards the rest of the backing when markets seize.

A money issuer with an account at the ECB holds the public's money partly as central-bank reserves, on which the ECB pays interest. That interest is the issuer's income, part of which should be passed through to the people who hold its coins. The rate of interest it passes on may be capped below the policy rate—high enough that the coin is viable, but low enough that holding it never becomes more lucrative than a bank deposit (so that it serves payments without draining the banks). Such an issuer—one that creates money without extending credit—would be a "narrow bank."

Narrow banks have been unpopular. Nothing technically stops an ordinary bank from offering a fully backed account paying the central bank's rate. But banks do not do it, because this would cannibalize low-cost deposits and tie up capital. Moreover, central banks discourage it, as a reserve-backed account would be a magnet for deposits and a haven in a panic. When a firm called The Narrow Bank tried to offer such a service in the US, the Fed refused it a master account. That refusal is the (dis)proof of concept.

But concerns that such banks would depress the quantity of credit are overblown. After all, the funds that leave the banks do not disappear; they simply move onto the central bank's balance sheet. The central bank can thus immediately lend them back to commercial banks or other credit institutions. The new reserves the central bank issues are matched by new loans to the banks, and the banks' lost deposits are replaced by central-bank funding. The plumbing is different, but the results are the same.

Princeton's Markus Brunnermeier and Dirk Niepelt of the University of Bern made this point in 2019, noting that swapping private money for public money can leave credit and the wider economy undisturbed, so long as the central bank passes the absorbed funds back to intermediaries on equivalent terms. In principle, they argue, public and private money are interchangeable.

In practice, though, the swap is not perfectly clean. Banks are still losing a particular kind of funding—the cheap, granular, and dependable balances households leave in their current accounts—to be replaced by a potentially pricier alternative, which must be collateralized. While the quantity of credit is preserved, its cost, and the character of the funding behind it, is not. Nor is the power to decide where credit goes: the central bank can impose conditions relating to borrowers, collateral, and pricing.

That is not necessarily a bad thing. Cheap credit today is effectively paid for by savers, who earn nothing on the money in their current accounts. Ending the bank's deposit franchise simply means aligning the price of credit with its actual cost, while removing the burden on savers. Moreover, central banks already influence credit allocation through the collateral they accept, the assets they purchase, and the financing they issue to reward banks for lending. The proposed system merely enhances this influence, and the interest cap limits how much money migrates.

Ultimately, we face a choice among three institutional arrangements. The first is the one we have: money and credit creation combined in the commercial bank. The second makes money entirely public, with everyone holding central-bank money directly. But this would blow up the central bank's balance sheet and force it to decide how credit is funded, raising the specter of state-directed finance.

The third architecture permits the coexistence of different types of institutions: traditional banks (which still create both money and credit), other safe, reserve-backed institutions (which create money but do not lend), and separate, market-based institutions that also fund credit. A reserve-backed euro stablecoin would be a step in this direction—a competitor operating alongside the banks, not a means of destroying them. This is the core of what I have proposed with Bo Sangers and Jeromin Zettelmeyer: narrow banks issuing a reserve-backed euro stablecoin with access to the ECB's balance sheet and lender-of-last-resort backing.

This brings us to the final question: Who bears the risk when banks are no longer the only issuers of money? In the US, the answer is clear. The Fed backs the dollar; the Treasury backs the Fed; and the taxpayer backs the Treasury. In Europe, which has no single Treasury to fulfill this role, the risk is routed through the ECB.

To be sure, the ECB's balance sheet does not, on its own, ensure safety; the assumed backing of Europe's governments, and their taxpayers, is essential. In the absence of a common Treasury, it is Europe's banks that absorb a large share of their governments' debts, standing between sovereigns and savers. That quasi-fiscal role is a major reason why they occupy so privileged a position, and why the system guards them so jealously. The sovereign is already lodged within the banking system.

But the backing of governments and taxpayers is as necessary in the current system as it would be if a narrow bank issued a reserve-backed euro stablecoin. All that would change is the mix of institutions involved.

33. The Israel-Lebanon Recipe for Never-Ending War

Author: Shlomo Ben-Ami **Published:** Jul 10, 2026 **Link:** View Original

TEL AVIV—Late last month, Lebanon and Israel signed a framework agreement with the United States that Lebanon's chief negotiator, Nada Hamadeh Moawad, described as a "first step on the road to restoring Lebanese sovereignty and territorial integrity." But, as the agreement implicitly acknowledges, Israel is not the only threat to Lebanon's sovereignty. The departure of the Israel Defense Forces from southern Lebanon hinges on the "verified disarmament" of Iran's proxy, Hezbollah.

The terms of the framework agreement, negotiated with US Secretary of State Marco Rubio, contradict those of the latest memorandum of understanding US Vice President JD Vance concluded with Iran. That agreement, with Pakistan and Qatar acting as mediators, focused on the reopening of the Strait of Hormuz, and Iran has made clear that this is conditional on the unqualified end to Israel's war against Hezbollah and withdrawal from Lebanon.

The US thus negotiated parallel agreements based on two contradictory visions of Lebanon's place in the Middle East peace puzzle. Whereas the peace process Vance led, and which has now apparently collapsed, was shaped largely by Iran's demands for Lebanon, the Rubio-mediated track treated the Israel-Lebanon conflict as though it were none of Iran's business.

Vance is a political opportunist. He knew that President Donald Trump was desperate for a way out of the Iran war, and he wanted to deliver. As a result, he approached negotiations with Iran in almost the same spirit of surrender that then-US National Security Adviser Henry Kissinger brought to negotiations on America's withdrawal from Vietnam in 1973. As long as the result was not too conspicuously humiliating—"peace with honor," as Nixon put it back then—Vance was going to agree to it.

Vance may well have succeeded in pleasing Trump. "The Markets are loving what is happening," Trump bragged on social media. But some Republicans were less impressed, noting that the deal included too many concessions to Iran, including with regard to Lebanon. "I believe it would be an error to force Israel to stand down against Hezbollah," said Senator Roger Wicker, chair of the Senate Armed Services Committee.

For now, it seems that Rubio's diplomacy has prevailed over Vance's facile deal-making. Not long after Trump announced his expectation of a "complete ceasefire on all fronts, including Lebanon, Hezbollah, and Israel," Israel carried out a massive strike on Hezbollah's weapons stockpile in Lebanon—and neither US nor Lebanese officials protested.

But this does not mean that a new and promising chapter has opened in Israeli-Lebanese relations. In 1983, nearly a year after Israel invaded southern Lebanon, US President Ronald Reagan's administration managed to persuade Israel and Lebanon to agree to an ambitious peace treaty. But the deal collapsed almost immediately, because it ignored Lebanon's labyrinthine sociopolitical realities and the Israeli government's inability to compromise on the security of its northern border. The First Lebanon War continued for two more years before Israel retreated to a "security zone" in southern Lebanon, which it maintained until May 2000, when Israeli Prime Minister Ehud Barak led a unilateral withdrawal.

Today, Lebanon's political circumstances, together with Iran's strengthened regional position, make Hezbollah's complete disarmament highly unlikely. By conditioning Israel's withdrawal on this outcome—and including no provisions about cutting Hezbollah's Iranian lifeline—the Rubio-brokered agreement sets the stage for a permanent stalemate, continuous war, or even escalation.

Since the October 7, 2023, attack by Hamas, Israel's paranoia has been supercharged, and its expansionist ambitions unleashed. Now, security threats are interpreted broadly, as evidenced by Israel's relentless onslaught in Gaza and continued march into Syrian territory along the Golan Heights. Measured responses and calculated risks are no longer part of Israeli military doctrine.

Now, Lebanon has effectively granted Israel permission to continue fighting Hezbollah on its sovereign territory indefinitely. Where is the Israeli prime minister who would willingly withdraw from Lebanon when Hezbollah remains intact and supported by Iran, and Israel has political cover to stay there?

Hezbollah certainly has no plans to back down. Its leader, Naim Qassem, has vowed to continue fighting. "We did not leave the battlefield in the most difficult circumstances," he noted, "and we will not leave it." The speaker of Lebanon's parliament Nabih Berri—a representative of the Amal party, which has close ties to Hezbollah—described the deal as an "incitement to civil war."

Israel's military action is undoubtedly disproportionate, but it is a response to a real security threat, which the Lebanese Armed Forces do not have the proven ability to mitigate. The United Nations Security Council Resolution that ended the Second Lebanon War in 2006 called for the disarmament of "all armed groups"—meaning Hezbollah—but neither the Lebanese military nor UN forces, including the UN Interim Force in Lebanon, managed to enforce this international law.

Rubio is right that the disarmament of Hezbollah is the most desirable outcome. But, under current circumstances, it is also unrealistic. The US would have been better off leading an international effort to curtail Iran's hostile takeover of Lebanon. Cutting Hezbollah's Iranian lifeline is the only way to erode its military capacity, strengthen Lebanon's sovereignty, and establish an indisputable case for Israel to withdraw from the country.

34. China's Erasure of Tibet Is Accelerating

Author: Brahma Chellaney **Published:** Jul 10, 2026 **Link:** View Original

NEW YORK—The self-immolation of exiled Tibetan activist Lobga Rangzen outside United Nations headquarters in New York on July 2 was not an expression of personal despair. It was a desperate attempt to jolt the world out of its growing indifference to one of the most important international issues of our time: Tibet's systematic erasure.

China occupied then-autonomous Tibet shortly after the founding of the People's Republic. The occupation is often viewed primarily through the prism of human rights, and for good reason. But it should also be understood as an effort to lay claim to one of Asia's most valuable geopolitical assets: the vast, resource-rich Tibetan Plateau dominates the Himalayas, contains the headwaters of Asia's great rivers, and overlooks South, Central, and Southeast Asia.

In recent decades, China has invested heavily in the Plateau—building extensive military infrastructure, constructing mega-dams on Asia's great rivers, and expanding extraction of strategic minerals—while relying on surveillance, coercion, and security forces to suppress resistance. But physical control of Tibet is not enough for Chinese President Xi Jinping. He wants complete and lasting control over the entire Tibetan Plateau.

The best way to achieve that, Xi has concluded, is by erasing the identity of the people who inhabit it. The Tibetan people are a distinct ethnicity, with their own language, traditions, cuisine, and dress. Stripping Tibetans of their identity—ensuring that they no longer think of themselves as Tibetan—has one goal: to extinguish resistance to permanent Chinese rule over the "Roof of the World."

To this end, China has steadily expanded its system of state-run boarding schools, channeling Tibetan children there at younger and younger ages. China portrays these "residential schools" as engines of development. In fact, the curriculum is designed to erase children's Tibetan identity and replace it with allegiance to the Chinese state.

United Nations experts report that more than one million Tibetan children aged 6-18—about 78% of the total—attend these schools. They are separated from their families and cultures for most of each year, taught in Mandarin, exposed only to Han culture and experiences, and conditioned to view their own culture, religion, and language as inferior. In other words, China is raising a generation of Tibetans to assimilate to Chinese culture—and lose their own.

China has also taken other steps to erase Tibet. Since late 2023, China has systematically replaced "Tibet" with "Xizang" as the official English-language designation in its government documents, diplomatic communications, and state media. The name derives from the Manchu Qing dynasty's imperial terminology for Tibet. Its adoption is intended to buttress China's claim that Tibet is not a distinct historical entity, but merely an appendage of China.

The international community is making this erasure all too easy. Some museums, universities, and research institutions outside China have accepted this imperial renaming. The Musée du Quai Branly in Paris has labeled Tibetan artifacts as coming from "Xizang." The British Museum has referred to "Tibet or the Xizang Autonomous Region" in an exhibit on the Silk Road.

Now, China is taking this effort to the next level. On July 1, a sweeping new “Promoting Ethnic Unity and Progress” law took effect, codifying Xi’s drive to force the assimilation of Tibetans and other ethnic minorities to a single state-defined Chinese identity centered on loyalty to the Communist Party. By criminalizing broadly defined threats to “ethnic unity,” the legislation amounts to yet another weapon with which China can intimidate Tibetan activists, scholars, and diaspora communities. Families in Tibet already face retaliation for the activities of relatives overseas.

The timing of the new law is not a coincidence. The Tibet question has gradually faded from the global agenda in recent years. This partly reflects the international community’s preoccupation with the wars in Ukraine and the Middle East, tensions over Taiwan, and acute global economic uncertainty. But many governments are also reluctant to jeopardize their relations with China. So, while they rightly condemn cultural destruction elsewhere, they largely ignore the destruction of Tibetan identity.

But this calculation overlooks an inescapable reality: China’s assault on Tibetan identity is inseparable from its great-power ambitions. A permanently assimilated Tibet would consolidate China’s military advantage over the Himalayan piedmont, strengthen its control over Asia’s water resources, secure immense deposits of strategic minerals, and remove what China perceives as the last potential source of political resistance in the region. Such a China would be better equipped—and significantly emboldened—to assert more authority beyond its borders.

The international response need not be extreme. Democratic governments should sanction officials responsible for the forced-assimilation campaign, reject official pressure to refer to the region as Xizang, and expand support for Tibetan educational and cultural institutions in exile. These modest but meaningful steps would help to preserve one of Asia’s oldest civilizations while making clear that cultural erasure cannot become an accepted instrument of statecraft.

35. Why This Energy Shock Is Different

Author: Gene Frieda **Published:** Jul 10, 2026 **Link:** View Original

CANNES—The Gulf ceasefire lasted barely three weeks. After Iranian attacks on three commercial ships in the Strait of Hormuz, the United States struck more than 80 targets, revoked Iran's oil-sanctions waiver, and declared the memorandum of understanding "over." Yet the market response was telling: Brent crude rose to around $79 per barrel—a meaningful jump, but far below April's $120 peak, when the strait was closed outright. That gap between renewed war and restrained prices confronts policymakers with a key question: Is this the road back to blockade, or a violent renegotiation of the terms of passage?

Five months into the war, the severity of the underlying shock is not in doubt. This is not 2022, when Russia's invasion of Ukraine rerouted supply, and the world absorbed a costly but manageable adjustment. Today's shock is destroying supply rather than rerouting it, with lost oil output already exceeding that of the 1973–74 OPEC embargo. Once liquefied natural gas, fertilizer inputs, and freight are included, the global energy bill is at least twice the crude price quoted on trading screens.

There are two starkly different readings of Iran's intentions. According to the first, Iran is seeking full control of the strait. That path leads to a larger conflict, another blockade, and a return to the price dynamics of March, when oil prices spiked. Alternatively, Iran is behaving less like a blockader than a toll collector, maximizing the revenue it can extract from traffic through the strait. Sporadic attacks on shipping then keep the risk premium alive without choking off the flow; oil prices remain elevated and choppy rather than soaring.

The evidence so far points, tentatively, to the second reading. American strikes have deliberately avoided Iran's energy infrastructure; Iran's attacks on shipping have been demonstrative rather than systematic; its parliament has debated tolls on "hostile" shipping; and the MOU itself envisaged Iran's help managing strait traffic. None of this precludes escalation—miscalculation is the Gulf's default risk—but for now both sides appear to be contesting the price of passage rather than passage itself.

For central banks, the two paths lead to very different destinations. If Iran is collecting tolls, elevated but broadly capped energy prices act like a chronic tax: painful, but not a reason to restart aggressive monetary-policy tightening. Interest-rate expectations would settle roughly where they stood two weeks ago, with attention shifting to second-round effects—whether higher fuel, freight, and food costs fuel wage pressure. If Iran is reaching for the strait itself, central banks will be compelled to act forcefully to prevent a temporary shock from becoming embedded inflation.

That is why markets react so sharply to every headline. Investors are not refining a single forecast; they are toggling between two regimes, and each jump in oil poses the same question: Is this a move from toll collection to blockade?

As a result, interest rates are unusually sensitive to oil. Positioning, at least, is healthier than in the spring: in March, many investors had effectively sold insurance against large swings in interest rates, and when oil spiked they were forced to buy it back at any price, amplifying every move. That exposure has largely been cleared out, so the same headline still moves markets, but without the forced unwinding of March.

Neither scenario, however, resolves the underlying policy bind. With inflation above central-bank targets, and public finances under strain worldwide, none of the standard responses works. Aggressive monetary tightening—unavoidable in the blockade scenario—impedes growth and undermines debt sustainability. Expansive fiscal support fuels inflation and drives up borrowing costs, now that foreign central banks no longer buy government debt at any price. And doing nothing invites a procyclical adjustment, with financing costs rising even as the economy slows.

To navigate this treacherous economic terrain, fiscal and monetary policy must reinforce rather than offset one another. That means targeting support at the most exposed households and sectors, rather than conducting broad cash transfers, and issuing debt that resists the lure of cheaper short-term paper, which merely concentrates refinancing risk when the next shock hits.

It is in the blockade scenario that this logic reaches its unorthodox conclusion. With central banks tightening even as the shock deepens, rising government borrowing costs would crowd out the targeted fiscal support most needed—unless central banks cap increases in short- and medium-term interest rates. With such intervention remaining firmly under central-bank control, and with a clear exit strategy, this would not compromise central banks' independence, and the alternative—leaving them to bear the burden of adjustment alone—is worse. Recognizing the trade-off now, while the toll collector still holds sway, is preferable to confronting it in the middle of a blockade.

That option is not available to every country: success depends on fiscal starting points, institutional credibility, and investors' confidence that intervention will be temporary. The US has the most room to maneuver, thanks to deep global demand for Treasuries, even as the dollar's privilege gradually erodes. The Federal Reserve has held interest rates steady, and markets that began the year expecting cuts now flirt with hikes—the direction hinging on which Gulf scenario prevails.

The eurozone faces a more complicated trade-off. Its fragmented sovereign-debt markets mean that any conditional intervention immediately raises the question of which government is being supported, and why. The European Central Bank's recent 25-basis-point rate increase underscored the dilemma: the ECB has little choice but to tighten, yet helping the governments most in need of fiscal support would revive the fragmentation fears its 2022 Transmission Protection Instrument was designed to contain.

Japan is in a stronger position: its large foreign-exchange reserves let policymakers resist yen depreciation before energy costs feed into domestic inflation. In either scenario for the strait, the United Kingdom has the narrowest path: a limited fiscal cushion, a persistent external deficit, and inflation running above the Bank of England's projections point to a wider gap between UK and German government bond yields and a weaker pound.

Even the more benign scenario offers little comfort as winter approaches. European gas storage is at its lowest level for this time of year since 2011, while Qatar would require two months to restore LNG exports even after a durable reopening of the strait. Regardless of how the latest escalation is resolved, Europe's energy bill will not fall materially before winter.

That is why sequencing matters. The economies most likely to need this toolkit lack the institutional credibility to use it, whereas those with the greatest credibility are least likely to require it. And the path will not announce itself in advance: by the time markets know which one they are on, the room for a measured response will have narrowed—and ordinary borrowers and savers in the most exposed economies will bear the cost of the delay.

36. Judging the Enhanced Games

Author: Peter Singer **Published:** Jul 10, 2026 **Link:** View Original

MELBOURNE—The inaugural Enhanced Games, held in Las Vegas in May, allowed participating athletes to use performance-enhancing drugs. The Games' founder, Aron D'Souza, claimed before the start: "We're going to obliterate the world records … it will be a watershed moment in the history of humanity—a new generation of superheroes."

The Games failed to live up to D'Souza's hype. Only one participant broke an official world record: the Greek swimmer Kristian Gkolomeev, whose time for the 50-meter freestyle beat the mark by less than one-tenth of a second. Even then, it may not have been performance-enhancing drugs that made the difference, because Gkolomeev wore a high-tech swimsuit banned under World Aquatics rules. Three athletes who said they were not taking any performance-enhancing drugs won their events anyway.

One justification for the Enhanced Games was that we would learn how to surpass the biological limits of human performance. Ironically, the main lesson appears to be that the performance-enhancing drugs currently available make less difference than many people believe for the sports featured at the Enhanced Games—athletics, swimming, and weightlifting. The Games produced no superheroes, nor any watershed moment for our species.

The Enhanced Games do, however, raise serious questions about current rules for international sporting events. Why, exactly, are performance-enhancing drugs banned?

Statements from international sports bodies condemning the Enhanced Games tended to focus on the dangers they pose. For example, a joint meeting of the International Olympic Committee (IOC) Athletes' Commission and the World Anti-Doping Agency issued a statement saying that the use of performance-enhancing drugs can lead to "serious long-term health consequences—even death—and encouraging athletes to use them is utterly irresponsible and immoral."

Yet the Enhanced Games restricted the drugs that competitors could use to those that are approved by the US Food and Drug Administration and used under medical supervision. Prescriptions for one of these substances, testosterone, now exceed 11 million per year in the United States alone, and the extent to which medically supervised doses of testosterone are a health risk is unclear.

Perhaps the most intriguing issue raised by the Enhanced Games is that of personal autonomy. D'Souza regarded himself as liberating athletes from the paternalism of governments and sports federations: "My body my choice, your body your choice," he said, with the only qualification being that participants must be adults who give free and informed consent.

In contrast, the philosopher Byron Hyde has argued that the large cash prizes offered at the Enhanced Games risk coercing impoverished athletes, thus undermining rather than increasing their autonomy. Hyde quotes one athlete, Ben Proud, as saying that the first memory he has of learning about the Enhanced Games was that anyone breaking a world record would receive $1 million, which "just felt like too good an opportunity to turn down." Hyde claims that this is empirical evidence for his concern "that the Enhanced Games' financial incentives might have coercive effects on athlete autonomy."

If taken seriously, however, the leap from Proud’s statement to the implication of “coercive effects on athlete autonomy” would have bizarre consequences. Consider the career of the Nigerian soccer star Victor Osimhen, one of seven children born to an impoverished family in an area of Lagos known for its malodorous dumpsites. (It was from those dumps that Osimhen got his first football boots.)

Osimhen was good enough to play in the Under-17 World Cup, where talent scouts noticed him. Soon he was receiving offers from European clubs that he could barely have imagined as a young boy. Those offers were, no doubt, “too good to turn down.” Accepting them enabled him to provide for his entire family. Who would suggest that the European clubs should not have made those offers to Osimhen, because they would be coercive, and his acceptance could not have been an autonomous choice?

Paternalism can be justified. Laws requiring those traveling in a car to wear seatbelts prevent many tragedies, because we are so poor at taking precautions against very small risks of severe harm. But to say that fully informed adult competitors at the Enhanced Games were coerced by the substantial prize money on offer takes paternalism too far.

Finally, there is fairness. A spokesperson for the IOC said: “If you want to destroy any concept of fair play and fair competition in sport, this would be a good way to do it.” True, if costly drugs really do enhance performance, that would make the competition unfair to those who cannot afford them. But the same can be said of the Adidas running shoes that Sabastian Sawe used earlier this year to run a marathon in under two hours. They cost $500, and don’t expect them to be durable. Adidas’s Stephen Scholten acknowledged that the shoes can be used only for “a couple of marathons.”

If fairness in sports required a level playing field that all who wish to compete could afford, that would be a reason for banning expensive performance-enhancing drugs. But it would be a reason for banning expensive high-tech swimming suits and expensive high-tech running shoes, too.

37. A Japanese Wake-Up Call for America

Author: Desmond Lachman **Published:** Jul 13, 2026 **Link:** View Original

WASHINGTON, DC—Japan appears to be on the cusp of a full-blown currency and bond-market crisis. Although the Japanese authorities spent more than $70 billion in May to prop up the yen, the currency has slumped to a 40-year low and is estimated to be at least 15% undervalued against the US dollar. Meanwhile, Japanese long-term bond yields have surged to multi-decade highs following the end of the Bank of Japan's yield-curve-control policy. And with no signs of Japan addressing the underlying causes of its currency's downward spiral anytime soon, there is every reason to fear that the crisis will deepen.

Japan's current challenges should be a wake-up call for other countries that appear to be on unsustainable public-debt paths, not least the United States, as well as France, Italy, and the United Kingdom. After all, an economic and financial crisis in one country often draws the market's attention to other countries facing similar problems. That was certainly the case with the Asian currency crisis in 1997, when a Thai currency devaluation triggered similar devaluations in Indonesia, Malaysia, the Philippines, and South Korea. It was also the case with the eurozone crisis in 2010, when a Greek sovereign-debt crisis triggered similar crises in Ireland, Italy, Portugal, and Spain.

There appear to be two main drivers of Japan's currency and bond market woes: its unsustainable public finances and its relatively low interest rates (compared to the US). At 230%, Japan has by far the highest public debt-to-GDP ratio among G7 countries, and it still runs a primary budget deficit, which adds to the existing debt. Then there is Japan's declining and aging population, as well as a government that has shifted from targeting a single-year primary budget surplus to a vaguer medium-term debt stabilization policy. Is it any wonder that markets are growing uneasy about the country's public-debt trajectory?

It does not help that Sanae Takaichi, Japan's new prime minister, seems uninterested in putting the country on a sounder budget footing anytime soon. Among her first economic-policy moves was to adopt a supplemental budget that increased energy subsidies in response to the shock to international oil prices from the closure of the Strait of Hormuz.

Japan's large debt burden makes it difficult for the BOJ to raise interest rates even at a time when inflation appears to be accelerating. Tightening monetary policy would only exacerbate the country's public-finance problems by increasing interest payments. While the US Federal Reserve's short-term interest rate is at 3.5%, the BOJ's policy interest rate is at just 1%.

That spread continues to give investors an incentive to borrow cheaply in Japanese yen and lend in higher-yielding dollar-based assets (the "carry trade"). This will remain the case as long as the yen continues to depreciate.

But Herb Stein's famous aphorism bears repeating: If something cannot go on forever, it will stop. In principle, Japan could get off its unsustainable debt path in an orderly manner if the government made a preemptive and timely economic-policy U-turn to avert a currency and bond-market crisis. Or it could do so in a disorderly manner if a full-blown currency and bond crisis forced the government's hand. That is what happened in the UK in 2022 in response to Prime Minister Liz Truss's ill-advised budget measures. Unfortunately, all available signs suggest that Japan is heading in this direction.

A deepening Japanese currency and bond-market crisis is bound to draw attention to other countries with troubling public finances, and especially to the US. At around 100%, the US debt-to-GDP ratio is considerably lower than that of Japan; but the country is on track to maintain a budget deficit of more than 6% of GDP as far as the eye can see. That means its debt ratio will soon reach its highest level since the end of World War II.

Worse, additional factors are making the US more vulnerable to a bond-market crisis. Consider, for example, that foreigners own around one-third of all Treasury bonds outstanding, and that the government is increasingly reliant on hedge funds rather than on more stable bondholders (like insurance companies and pension funds) to meet its borrowing needs.

The bottom line is that highly indebted countries like the US, France, Italy, and the UK all have good reason to address their shaky public finances. The prospect of spillovers from an early Japanese currency and bond-market crisis have made the task only more urgent.

38. The Mother of All Economic Shocks Is Chinese Mercantilism

Author: Arvind Subramanian **Published:** Jul 13, 2026 **Link:** View Original

WASHINGTON, DC—In the long sweep of history, China's economic performance over the past 50 years will obviously stand out for the sheer scale and pace of quality-of-life improvements within that country. But China's impact on the rest of the world has still been underappreciated.

True, if the retrospective gaze were confined to global shocks in the post-World War II period, a few defining ones would be the 1970s oil embargos, which led to a large and permanent productivity slowdown in advanced economies; and the 2008 financial crisis, which brought globalization to a screeching halt and called into question the American model of finance-addled capitalism. The US Federal Reserve's policies have also had clear global effects. For example, Paul Volcker's tightening in the early 1980s precipitated a developing-country debt crisis, and the quantitative easing that began under Ben Bernanke ultimately fueled capital flows to emerging markets, thus sustaining high growth in the 2000s.

But Chinese mercantilism has arguably been even more consequential than any of these episodes. If it has not been recognized as such, that is because it has not been a one-off event, but rather a more persistent force that is often conflated with China's growth performance more broadly. The latent bias that leads analysts to place the United States at the center of the global economy has caused many to overlook just how game-changing Chinese mercantilism has been—in terms of both global public goods and global public bads.

On the asset side of the ledger, three entries stand out. The first is Chinese mercantilism's contribution to the Great Moderation. After the high inflation of the 1970s, global inflation declined and remained low until the COVID-19 pandemic. While sound monetary policymaking and central-bank independence were important factors, it was China's aggressive mercantilism that consistently supplied the world with low-priced manufactured goods. Low inflation resulted from a combination of substantially rising prices of non-tradable services such as health and education (where productivity growth is more elusive), and falling or stagnant prices of traded goods, courtesy of China.

Without China's contribution, central bankers' job in advanced economies would have been far more difficult. While serving as governor of the Bank of England, Mark Carney often spoke about the beneficial impact of "globalization" on the Great Moderation. But "globalization" abstracts from the real source.

The second global public good deriving from Chinese mercantilism concerns climate-change mitigation. The renewables revolution is mostly a solar one, and it has been made possible by the supply of low-cost Chinese solar panels and, increasingly, batteries (which provide power when the sun isn't shining).

Before the solar revolution, climate policy was stuck in the calculus of trade-offs—sacrificing current consumption via carbon taxes for future gains in reduced emissions. Since the politics of selling that to a present-oriented public proved impossible, serious progress on climate change stalled in rich countries. But now, Chinese mercantilism has rendered emissions reductions compatible with growth and dynamism, making the renewables revolution available to all countries. Future generations may well thank China for staving off, or at least delaying, dire planetary outcomes.

A third benefit followed. In large parts of the developing world where centralized domestic power systems are dysfunctional, cheap Chinese solar panels have broadened access to energy. Though not a permanent solution, Chinese-made solar panels and batteries are a substantial improvement on the status quo for the world's poor. In Pakistan, for example, solar accounts for up to one-fifth of grid-supplied electricity.

But now we come to the liability side of the balance sheet. As David Autor, David Dorn, and Gordon Hanson showed a decade ago, the first China Shock accelerated de-industrialization (without being the sole cause) in politically consequential parts of the US. And now, a second China shock is devastating the German auto sector, upon which the country's broader industrial ecosystem of small and midsize firms—the Mittelstand—depends.

Moreover, a third China shock—or what might be described more accurately as a squeeze—has arguably had even greater consequences in thwarting industrialization and development possibilities for a wide range of low- and middle-income countries, as my recent work with Shoumitro Chatterjee shows. Unlike the first two shocks, this one has been less visible. The impact shows up not in job cuts or factory closures, but rather in terms of factories never built, export markets never entered, capabilities never accumulated, and development paths never opened. That is the real toll of the China squeeze.

By quantifying the determinants of hard power, my 2011 book, Eclipse: Living in the Shadow of China's Economic Dominance, predicted that China's rise would occur sooner than the world expected. But even that analysis did not account for the extent to which China's relentless mercantilism would influence the world, for better and worse. Single-handedly consigning the global hegemon (America) to self-doubt and reduced potency, while also devastating Europe's largest power (Germany) economically, is an "accomplishment" with few parallels in history.

Chinese mercantilism has done more than US economic developments or Fed policies to change the world in this millennium. Though the unfolding Donald Trump shock may yet prove more consequential in the decades ahead, it will have none of the redeeming benefits of China's economic model—only liabilities as far as the eye can see.

39. What AI Governance Demands

Author: Ana Palacio **Published:** Jul 13, 2026 **Link:** View Original

MADRID—One way to represent the AI age is with a steep curve and a gradual slope. The curve rises almost vertically: models rapidly grow cheaper, more powerful, more accessible, and more deeply embedded in production, science, education, finance, administration, security, and war. Beneath it, the slope moves on a far shallower incline. This is the capacity of society to absorb change.

The slope encompasses updates to regulatory regimes, legal structures, and the competencies of public administrations. It also includes changes to school curricula, business models, workflows, and jobs. And it covers citizens' ability to function in this new landscape—including their capacity to distinguish truth from simulation, persuasion from manipulation, and assistance from dependency. It is the social metabolism through which a technological shock is integrated into a functioning order.

To be sure, previous technological and industrial revolutions could also be represented by such a curve and slope. Technologies advanced and spread faster than regulations, business models, education systems, labor markets, and lifestyles could adapt. Transitions were often painful and never automatic. But the gap between curve and slope was smaller: in speed and scale, the AI-driven transformation appears to be in a league of its own.

Discussion about how to manage this transition usually boils down to the question of how much regulation strikes the "right balance" between innovation and safety. We do not want to put a bureaucratic lid on progress any more than we want to leave societies to absorb, alone and at speed, the consequences of a technology that is transforming our most basic understanding of work, knowledge, power, accountability, and judgment.

But this question is too narrow. Regulation has a crucial role to play, but it alone does not amount to governance. For that, we must determine the conditions needed to enable societies to live with AI without being overrun by it.

The first step is to stop thinking of AI as intangible—some ethereal technology that exists in the "cloud" and delivers whatever the prompt demands. AI depends on tremendous quantities of capital, cutting-edge chips, cybersecurity systems, supply chains, and talent. It also relies on massive data centers, which emit noise, light, and heat, and require land and permits, as well as huge amounts of electricity and water.

The communities hosting the physical foundations of this supposedly weightless technology are now being forced to confront major disruptions and bear high costs, as their lands are bought, their grids are strained, and their water supplies are drained and polluted. Difficult decisions about zoning, electricity prices, and environmental protection must be made.

But AI governance is not just a community-level challenge. The technology is increasingly central to the infrastructure of national power: military targeting, cyber operations, intelligence analysis, scientific discovery, industrial automation, surveillance, financial modeling, and political influence. Whoever controls the most advanced models, chips, compute clusters, and talent holds not merely a commercial advantage, but a strategic one.

This is not lost on the United States and China, which are competing doggedly for AI leadership: each believes that falling behind would leave it militarily, economically, or politically vulnerable. Much like with nuclear weapons, the stakes feel existential. This is a recipe for secrecy, mistrust, pre-emption, and unchecked acceleration.

The risks are compounded by the fact that AI is more diffuse than nuclear technology, more commercially embedded, and more broadly applicable. Moreover, its output is hard to verify, and once capabilities are encoded in software, proliferation is easy.

AI governance must account for all of these factors, from the technology's material requirements to its effects on individuals, communities, businesses, labor markets, the environment, national security, and international strategic competition. To this end, a comprehensive architecture of verification-based trust—broader than national AI regulation and more flexible than a classic treaty—is essential.

The 2015 Paris climate agreement offers a useful model. It created a living framework encompassing voluntary commitments, mutual pressure, regular updates, reliable measurement, and broad participation. But an analogous AI agreement must also reflect a key lesson of non-proliferation regimes: where political trust is weak, it must be supplemented by testing, limits, and verification.

The resulting framework would combine the flexibility of climate diplomacy with the discipline of nuclear control. Evolving commitments would be matched by mechanisms for assessing the credibility and impact of those commitments. State action would be accompanied by responsibilities for corporations.

An "AI Paris Agreement" would provide common definitions for frontier models; thresholds for enhanced scrutiny; mandatory incident reporting; shared evaluation standards; protection of model weights; rules for deployment in sensitive sectors; and independent testing of systems that pose risks to cybersecurity, biological safety, critical infrastructure, or military decision-making. Each of these elements would be regularly reviewed and strengthened over time, by technical bodies that understand the evolving technology and political bodies capable of imposing consequences when commitments are ignored.

Of course, not every application requires the same treatment. A narrow tool used in low-risk settings requires limited oversight. By contrast, a frontier model capable of affecting cybersecurity, biological design, military operations, or the autonomy of critical systems must be subject to stricter requirements and, in extreme cases, intervention.

Some might argue that this would stifle innovation. But no one would board an aircraft or take a new drug if safety depended solely on the goodwill of manufacturers. In these fields, regulation does not eliminate risk; it makes risk socially bearable. The same is true for AI.

Such a framework cannot be presented as a European project, an American instrument, or an alliance aimed at countering China. Its legitimacy would depend on inclusion, with countries at the technological frontier, "middle powers," and developing economies all given a voice. Universities, companies, and civil-society organizations should also be involved.

The curve will keep getting steeper. We cannot flatten it by decree, nor obscure it with speeches. But we can decide whether it rises ungoverned or within an architecture that can keep up.

40. Letting Russia Burn

Author: Nina L. Khrushcheva **Published:** Jul 13, 2026 **Link:** View Original

MOSCOW—Karl Marx once wrote that theory becomes a material force the moment it grips the masses. Soviet leaders took that line and ran with it—straight into catastrophe—again and again. Vladimir Lenin turned it into a rationale for revolution, while Joseph Stalin used it as a license to starve and work millions of people to death in pursuit of rapid industrialization and a "bright future" that never arrived. Nikita Khrushchev, for his part, invoked it to legitimize de-Stalinization in 1956, as though history could simply be ordered onto a different path.

While the objectives changed, the governing logic remained the same. The Kremlin first decides what reality ought to be, then forces people to conform to its vision, no matter the cost. Vladimir Putin's war in Ukraine is the latest chapter in that story, and this summer, the costs are becoming impossible to ignore.

Over the past four years, Ukraine has become remarkably adept at making Russians feel the impact of a war they were never supposed to experience. When Putin launched his "special military operation" in February 2022, Russians were promised a short, victorious campaign that would leave their daily lives untouched. Instead, Ukrainian drones now reach deep into Russian territory, striking oil refineries, factories, and energy infrastructure with increasing regularity.

The cracks are beginning to show: a budget deficit of more than six trillion rubles ($83.5 billion), soaring inflation, and gas lines stretching along roadsides from Moscow to Vladivostok. Putin himself watched smoke rise over St. Petersburg during his beloved economic forum—the annual event where he eagerly showcases Russia's global relevance.

Ukraine's government has repeatedly proposed an energy truce: it will stop striking refineries if Russia stops bombing Ukrainian energy infrastructure. President Volodymyr Zelensky has framed the relentless strikes on what he calls the "island of Moscow" as a way of pressuring Putin toward peace. The logic seems straightforward: public disillusionment and rising costs create a clear incentive to de-escalate. By every conventional measure, this is how wars are supposed to end.

The problem is that Putin operates according to a different logic. He did not invade Ukraine to solve a problem but to prove that he could force Zelensky and the West to recognize Russia's power on his terms. For Ukraine, the war is about survival; for Putin, it is about commanding respect and never appearing weak.

This mindset has deep historical roots. When the Nazis captured Stalin's son Yakov in 1941, they twice offered to exchange him, first for Hitler's captured nephew and later for German Field Marshal Friedrich Paulus. Stalin refused both times, delivering the infamous line: "I won't trade a Marshal for a Lieutenant."

Stalin's "Not One Step Back" order became the blueprint for Soviet—and now Russian—inflexibility. Fuel shortages, high prices, and staggeringly high casualties are not crises in Putin's eyes. Rather, they are the price of victory.

Back in 2022, then-US President Joe Bidendescribed Putin as a "rational actor" who had "miscalculated significantly" by invading Ukraine. Four years later, even as the war reaches Russian soil, nothing fundamental has changed about how

Putin operates. If anything, the conflict has only confirmed the second half of Biden’s assessment.

One development does stand out. Putin rarely feels the need to explain himself when his policies become unpopular. Nowadays, with his approval rating having fallen from 84% to 74% since January—a meaningful decline in a country where criticizing the president can get you arrested—he won’t shut up. In just the past couple months, Putin has delivered a keynote at the St. Petersburg economic forum, sat for a lengthy interview with Kremlin propagandist Pavel Zarubin, and made a rare front-line appearance in military fatigues to celebrate the claimed capture of the Donbas town of Kostyantynivka.

Each appearance served the same purpose: to signal that the war is non-negotiable and remains the Kremlin’s overriding priority, having become the organizing principle of Putin’s regime. If more soldiers are needed, more soldiers will be sent. If more missiles are required, they will be launched. None of it depends on public opinion, casualty counts, or gas-station lines.

Putin launched his war in Ukraine to project strength. Ending it under pressure would mean doing so from a position of weakness. For a leader whose authority rests on force and fear, such an outcome would pose an existential threat.

The challenge, however, extends beyond Putin’s political survival. Real peace would require an entirely different Russia: one that provides its returning soldiers with real answers, offers something approaching an explanation (if not an apology), pays reparations to Ukraine, and reopens itself to the world economically and diplomatically.

Instead, the Kremlin has spent the past four years moving in the opposite direction, passing hundreds of restrictive laws that regulate everything from business and education to what Russians are allowed to read, write, and watch. This is not a government that can pivot toward openness, even if it wanted to. Breaking with Putinism would require a political reckoning on the scale of Khrushchev’s 1956 denunciation of Stalin’s cult of personality. To end the war, in other words, the Putin regime would have to stop being the Putin regime.

Absent such a political reckoning, only one realistic opportunity for a negotiated settlement remains: December’s G20 summit in Miami. Putin may still be banking on his rapport with US President Donald Trump to broker some kind of resolution. But if the United States snubs him the way it did when Putin offered to help mediate the Iran crisis, Russia may well turn to what might be called the “nuclear option”—an extreme form of escalation—to force peace on its own terms.

For Putin, victory is the entire purpose of the war in Ukraine. Anything less would expose the enormous human and economic sacrifices he has demanded of Russians as pointless, leaving him with a defeat he won’t and can’t accept.

41. Oil Shocks Are No Longer So Shocking

Author: Nouriel Roubini **Published:** Jul 14, 2026 **Link:** View Original

NEW YORK—The Persian Gulf is in an unstable disequilibrium. There has been no lasting deal to reopen the Strait of Hormuz, because the United States and Iran remain far apart in their demands, with the Iranians holding more leverage than President Donald Trump ahead of the US midterm elections this November. In the absence of a full deal, renewed skirmishing was highly likely, reflected in the growing risk of a return to full-blown warfare.

Still, equity markets did climb higher on the hope that a temporary ceasefire would lead to a full deal, and market reactions to the latest re-escalation of tensions have been subdued. The overall economic impact—in terms of growth and inflation—has been relatively modest. Despite this being the largest-ever disruption to global oil supplies, the oil shocks of the 1970s had a greater impact.

The Iranian strategy remains centered around the weaponization of oil, a practice that has a long history. Some historians argue that Germany lost World War I partly because an Allied sea blockade deprived it of oil. Similarly, Imperial Japan made the fateful decision to attack the American fleet at Pearl Harbor because US President Franklin Roosevelt's administration had imposed an oil embargo on it for invading China, and Stalin would later claim that the Nazis lost World War II because the Soviets had prevented the Axis powers from seizing oil fields in the Caucasus.

After the war, the 1956 Suez Crisis disrupted shipments of oil from the Middle East to Europe, with France, the United Kingdom, and Israel launching an operation to seize the Suez Canal after its nationalization by Egypt. (They were ultimately forced to withdraw under pressure from the US, whose focus was on preventing a conflict that could pull in the Soviets.) A decade thereafter, the immediate trigger for the Six-Day War between Israel and various Arab states was Egypt's attempt to block shipments of Iranian oil to Israel through the Straits of Tiran.

The geopolitical shocks of the 1970s brought on a lost decade of stagflation (several recessions and high inflation), weak global stock markets, and double-digit bond yields. So severe was the fallout that the 1970s remain a fixture in our collective memory. But like this year's war, later politically-driven oil shocks—following the 1990 Iraqi invasion of Kuwait, the oil price shock of 2000–01, the US invasion of Iraq in 2003, and last year's 12-day war against Iran—produced much milder economic and market effects.

There are several reasons for this. For starters, after the 1970s, OPEC producers realized that weaponizing oil can be counterproductive. An oil-price shock that is big enough to cause global stagflation will lead eventually to a collapse in oil demand and prices, as happened in 1981–82. Thus, some responsible players, such as Saudi Arabia and the Gulf States, have been willing (and able) to increase supplies when geopolitical shocks trigger spikes in oil prices.

Moroever, since the 1970s, energy-efficiency gains have tended to reduce the share of imported oil used in production and consumption. And OPEC's market power has declined as its members have put their own interests ahead of the need to move in lockstep (with the United Arab Emirates being the most recent defector), and as new sources of supply have come online—not least in the US following its shale-energy revolution.

After the 1970s shocks, major oil consumers—including the US, Europe, China, and Japan—also built up strategic petroleum reserves that could be released when prices spiked (a major source of resilience this year). And alternatives to oil—natural gas, renewables, and new, safer modular nuclear reactors (with fusion energy potentially coming in the next decade)—have gained traction and market share. Looking ahead, a growing share of the demand for energy (via electric vehicles and batteries) will be met with electricity that can be produced without oil.

At the same time, the standard macro-policy response (both fiscal and monetary) to oil shocks has improved, which has helped prevent a 1970s-style de-anchoring of inflation expectations. And partly as a consequence of these factors, oil shocks have become less persistent and shorter than those of the 1970s, which dragged on for around a decade. The 1990-91 oil shock lasted nine months, the 2000-01 shock was even shorter, and the one following last year's 12-day war lasted only a few weeks.

Finally, and most importantly, unlike previous episodes in which macro and market trends were dominated by an oil shock that became a negative aggregate supply shock, the current situation features a secular positive aggregate supply shock in the form of the AI investment boom. Tech-industry tailwinds are promoting stronger growth and lower inflation in many countries and regions, which explains why US equities peaked at new highs even when oil was above $100 per barrel this spring. Though there has since been a correction following renewed hostilities, it has remained modest.

Of course, if the latest skirmishes lead to a full escalation of hostilities, the economic consequences and market implications could be more serious, with a protracted conflict raising the risk of a truly stagflationary outcome. This is not the baseline scenario; but recent developments do suggest that the tail risks are larger than what financial markets are currently pricing in.

42. Asia's Real Energy Test

Author: Yasuto Watanabe **Published:** Jul 14, 2026 **Link:** View Original

SINGAPORE—The past four months have demonstrated just how volatile oil markets can be. In March, Brent crude climbed above $100 a barrel for the first time in four years, reaching $119 on March 9—its highest level since the 2022 energy crisis—as Iran's closure of the Strait of Hormuz brought tanker traffic to a near-standstill. Prices remained elevated for months and were still above $105 in mid-May.

After the United States and Iran agreed to a ceasefire in June and began negotiations on a permanent settlement, the Strait gradually reopened, though the process has been repeatedly interrupted by renewed clashes. As a result, prices declined sharply, falling into the low $70s by late June, before ticking up again with the resumption of hostilities.

These dramatic swings have provided a real-world stress test for energy-importing economies, particularly the ASEAN+3 countries. With roughly 84% of crude shipments through the Strait of Hormuz destined for Asian markets, and China sourcing nearly 50% of its oil imports through that single chokepoint, the region bore the brunt of the global energy shock.

While the debate about energy resilience understandably focuses largely on how well economies can withstand high oil prices, the more important question is how well they cope with persistent volatility. This year's price whiplash suggests that resilience hinges on institutional preparedness: improving energy efficiency, reducing oil dependence, maintaining adequate reserves, and preserving sufficient policy space to absorb price spikes.

Governments can prepare for persistently high energy prices, but they cannot anticipate every possible market outcome. What they can do is build institutions that remain effective across a wide range of scenarios. Resilience, in other words, should be measured less by how economies cope with a single shock than by their capacity to function through successive bouts of uncertainty.

Oil shocks also have a paradoxical effect. In the short run, supply disruptions often push countries back toward coal and other fossil fuels as energy security temporarily takes precedence over decarbonization. Over time, however, recurring bouts of volatility strengthen the economic case for diversifying energy sources and accelerating the transition to renewables.

But resilience rests on capital allocation as much as it does on energy policy. If policymakers and investors treat price spikes as temporary disruptions, capital will continue to flow toward fossil fuels. If, instead, they view repeated bouts of volatility as evidence of a chronic condition, capital is more likely to shift toward clean energy.

The same principle applies to electricity demand: policymakers must distinguish between what dominates news headlines and what matters most. While AI and data centers place significant pressure on local electricity grids, their contribution to national and global electricity consumption remains modest. The International Energy Agency estimates that data centers accounted for roughly 1.5% of global electricity demand in 2024 and projects that, even with rapid AI adoption, their share will remain below 3% by 2030.

By comparison, space cooling already accounts for roughly 10% of global electricity consumption. Europe's back-to-back heat domes in May and June forced two French nuclear reactors to shut down because the river water used for cooling had become too warm, placing additional strain on electricity systems across the continent. As temperatures continue to rise, this challenge is likely to become even more acute.

Nowhere is this more evident than in Southeast Asia. According to the IEA, the region's stock of air conditioners is projected to increase from nearly 50 million units in 2020 to around 300 million by 2040. Electricity demand for space cooling is expected to reach about 300 terawatt-hours—roughly equivalent to the combined electricity consumption of Indonesia and Singapore. Over the coming decade, cooling will place far greater pressure on regional power systems than AI.

The broader lesson is clear: resilience requires distinguishing structural signals from localized noise, rather than reacting to whichever issue dominates the news cycle. Governments that mistake AI for their principal grid constraint risk investing in the wrong means of boosting resilience.

Electrification is a case in point. The IEA's Electricity 2026 report projects that electricity's share of final energy consumption will rise from 21% in 2025 to 24% by 2030, with emerging economies—led by China, India, and Southeast Asia—accounting for nearly 80% of additional global demand growth.

For ASEAN+3, this represents both an opportunity and a challenge. Greater electrification, supported by renewable energy sources, reduces exposure to oil-price shocks. But it also requires sustained investment in generation capacity and grid resilience as the region absorbs a disproportionate share of the growth in global electricity demand over the next five years.

Resilience will increasingly depend on regional cooperation. The ASEAN Power Grid initiative, for example, facilitated the cross-border exchange of more than 38,000 gigawatt-hours of electricity through projects such as the Lao PDR-Thailand-Malaysia-Singapore Power Integration Project between 2016 and 2022, thereby demonstrating what institutional preparedness looks like in practice. Scaling these efforts, as envisaged in ASEAN's 2026-2030 energy-cooperation plan, would strengthen the region's collective capacity to absorb future energy shocks.

To be sure, no economy can ever be truly insulated from global energy markets. But deeper regional integration would allow countries to share those risks, so that no single economy has to bear the full impact of an external shock.

ASEAN+3 countries' growing reliance on intraregional demand has already strengthened their resilience. These 14 countries now account for more than one-quarter of global demand, most of it generated and absorbed within the region.

Yet resilience requires continual reinforcement. That means resisting complacency during a temporary price drop and investing in the unglamorous business of diversifying energy sources, expanding transmission networks, and preserving the fiscal and monetary-policy space needed to respond to the next disruption.

Whether the next global shock is driven by geopolitical conflict, technological disruption, climate change, or financial instability, its effects will almost certainly be uneven, testing the buffers ASEAN+3 countries have built in calmer times. As disruptions become more frequent and severe, resilience is no longer about predicting the next crisis, but about building economies that can weather it, whenever—or wherever—it strikes.

43. The US Economy Cannot Grow Without Renewables

Author: Daniel Driscoll **Published:** Jul 14, 2026 **Link:** View Original

CHARLOTTESVILLE, VIRGINIA—After the 9/11 terrorist attacks, US President George W. Bush called on Americans to go shopping. While some people claimed at the time that Bush was encouraging irresponsible spending (a criticism that gained traction following the 2008 global financial crisis), he was acknowledging the reality that consumption has long powered America's formidable economy.

Over the past 20 years, household consumption has, on average, accounted for roughly 56% of the United States' annual GDP growth—reflecting an atypical economic structure that is both an unintended byproduct of dollar dominance and the result of a deliberate growth strategy.

The dollar's position as the world's reserve currency has inadvertently created ideal conditions for the profligate US consumer. Providing dollars to the rest of the world enables the US to run current-account deficits indefinitely. Moreover, high demand for dollar-denominated assets pushes up the greenback's exchange rate, making US exports relatively more expensive, boosting imports, and contributing to the decline of US manufacturing.

But, for decades, American policymakers have also used various policies to fuel household consumption. In housing, for example, the US government has long offered mortgage-debt relief, tax credits, and subsidies, allowing homeowners to use their property as collateral to borrow more. Similar, the government derisks lending for the financial sector through loan backstops and liquidity, which creates a kind of "finance culture" that normalizes spending beyond one's means.

Crucially, and more overlooked, is how the US government props up household consumption with energy policy. High energy consumption is central to the American way of life. Houses are larger, requiring more energy to construct, heat, and cool. Compared to much of the rest of the world, Americans purchase more (and larger) cars, drive for longer distances, and consume more meat and other carbon-intensive goods.

Moreover, the US government has subsidized the oil and gas industry for more than a century through the tax code's treatment of intangible drilling costs. With the US holding vast hydrocarbon reserves, this encourages production to exceed demand, leading to systematic underpricing of fossil fuels.

But the energy landscape is changing, owing to soaring energy prices for US households and the plummeting costs of renewables. The problem is that US President Donald Trump, while recognizing that abundant, cheap energy underpins America's consumption-led growth model, conflates that with fossil fuels, confusing historic correlation with causation.

Trump's "drill, baby, drill" agenda has sought to boost oil and gas production, even as other countries phase out fossil fuels. His administration's One Big Beautiful Bill Act (OBBBA) has increased subsidies for the oil and gas industry while repealing nearly all of the tax credits enacted by the Biden administration's Inflation Reduction Act (IRA) to accelerate the uptake of clean energy.

Research from Princeton University's ZERO Lab projected that, by 2030, the OBBBA would raise US household and business energy costs by $28 billion. One year after the bill's passage, that prediction seems to be coming to fruition and may even end up being optimistic, as supply shocks from the Iran war and the AI data-center boom cause energy prices to surge. Last year, data centers accounted for around half of new US electricity demand, with rapid growth potentially causing consumers' electricity bills to increase by as much as 25% in some regions by 2030.

Meanwhile, the price of renewable energy continues to fall to new lows. In 2024, wind and solar were, respectively, 53% and 41% cheaper than fossil fuels. The months-long closure of the Strait of Hormuz, which severely disrupted global oil and gas flows, has led countries around the world to embrace renewables, using green technologies largely manufactured by China. Even in the US, consumer demand for electric vehicles has spiked along with inflation.

The American consumer economy can no longer run on fossil fuels. To maintain growth, the US must follow the lead of other countries and scale up renewables. Reviving the IRA, which was primarily focused on energy abundance, is an obvious first step.

To be sure, many policymakers in the US and the European Union are concerned that Chinese green tech poses security risks; the EU has even moved to ban inverters from China. But the best way to address these anxieties is by modernizing existing manufacturing to produce high-risk components like inverters domestically, while continuing to import secure, low-cost parts, like the solar panels themselves. This would require implementing industrial policy, but nothing outside the norm.

The Trump administration's grim determination to ignore clean energy is not only costly; it also jeopardizes long-term economic growth. Actively suppressing renewables as fossil-fuel prices steadily rise will be the death knell for a growth model built on the promise of cheap energy.

44. The Purpose of Development Cooperation Is to Be Unnecessary

Author: Vitalice Meja **Published:** Jul 14, 2026 **Link:** View Original

NAIROBI—In an increasingly unstable geopolitical environment, governments across the developed economies of the OECD are rethinking their spending priorities. As they direct more funds toward defense, industrial competitiveness, and energy security, they are seeking offsetting expenditure cuts—and, in many cases, the axe is falling on development financing. In fact, members of the OECD's Development Assistance Committee (DAC) are currently conducting reviews of their development-cooperation strategies and external-financing priorities.

This is not altogether bad news: development cooperation was long in need of a reassessment. But the reviews so far are focusing on the wrong thing. They want to adapt development cooperation to donors' changing geopolitical, security, and commercial needs and objectives. What is really needed is an examination of the system's ability to support the structural transformation required to reduce developing countries' dependence on foreign aid. In other words, instead of simply asking how development cooperation should be financed, OECD governments should be asking what it should achieve.

Development cooperation has produced important progress, especially in health, education, humanitarian response, and public-sector capacity. But its original promise was not to support individual projects or deliver incremental social gains; it was to help countries overcome poverty, build productive economies, and gradually reduce their dependence on external resources. Yet after decades of effort, many developing countries are still grappling with persistent poverty, limited industrial capacity, rising debt burdens, and dependence on commodity exports and external finance.

Since the turn of the century, efforts to improve aid effectiveness—embodied by the 2002 Monterrey Consensus on Financing for Development, the 2005 Paris Declaration on Aid Effectiveness, the 2008 Accra Agenda for Action, and the 2011 Busan Partnership for Effective Development Co-operation—centered on how developing countries should change. Development partners thus emphasized principles like country ownership, transparency, and mutual accountability. While developing countries were expected to strengthen country systems, improve institutions, and demonstrate visible results, less attention was paid to the incentives shaping donor behavior.

This approach clearly failed to translate progress on social development into economic transformation. But adapting development cooperation to suit donors' new geopolitical realities—the approach the DAC members' reviews are taking—will do no better. It also fails to address the incentives shaping donor behavior, let alone the fundamental question of whether cooperation is helping to overcome dependency.

Migration offers an illustration of the reframing that is needed. In recent years, migration has become central to cooperation between many European governments and African countries, with development financing, diplomatic engagement, and partnership frameworks being linked to border management, return and readmission agreements, anti-smuggling initiatives, and migration containment.

Such arrangements work for donor governments, for which migration has become a major domestic political issue. In fact, donor governments measure the success of such arrangements almost entirely by the reduction in migration pressures they face, with little, if any, regard for the impact on developing economies. This should be recognized for what it is: the use of development policy as a security tool.

Mobility can be a powerful driver of development. Workers who leave often send back remittances—the largest source of external financing for developing countries—and return with newly acquired expertise, connections, or resources. More broadly, cross-border flows of goods, money, technology, and people, as well as participation in international networks, are vital to productivity, human-capital development, and entrepreneurship.

Harnessing this potential should be a central objective of migration arrangements and development cooperation more broadly. Instead of merely financing the containment of migration, European and other donors must work with their developing-country partners to devise frameworks that include legal migration pathways, skills partnerships, productive cross-border investment, and support for structural transformation.

No one denies that donors' geopolitical needs, economic-security concerns, and commercial interests should be a factor in development cooperation. They always have been, and always will be. There is good reason for this: meeting donor countries' own priorities makes the system more politically sustainable. But allowing for indefinite dependency is not an end goal. Creating conditions for transformation in developing economies is.

The DAC reviews offer an opportunity to confront this challenge, and it is up to developing economies in Africa and elsewhere to make this clear. Instead of allowing themselves to be treated as mere objects of donor adaptation, these countries must remind their development partners that the effectiveness of support cannot be assessed solely according to donor priorities. Instead, it should be measured by the extent to which it helps countries build productive capacity, diversify their economies, improve their technological capabilities, create good jobs, and shape their own development trajectories.

Developing economies must articulate the conditions under which such support can advance structural transformation. Unless they do—and unless donors listen—the development-cooperation system that emerges from the ongoing DAC reviews will be better adapted to the needs of developed economies in the 21st century, but no better equipped to deliver on its original promise: enabling developing economies to achieve self-sufficiency.

45. How the Tech Lords Hacked the Firm

Author: Quinn Slobodian **Published:** Jul 15, 2026 **Link:** View Original

CAMBRIDGE—One of the most impressive feats of the current generation of tech oligarchs is that they have hacked not just computers or software, but the institutional form of the 20th-century firm itself.

In its ideal-typical version, the publicly traded corporation separated ownership from control. While shareholders did not manage the firm directly, they retained channels through which they could communicate with the managers responsible for overseeing their investment and hold them accountable. They could also try to coordinate with one another, organize fellow shareholders to pressure the board, and, in extreme cases, even vote out the CEO.

Over time, however, the leaders of digital capitalism have undermined the institutional mechanisms of shareholder democracy. They have done so in three ways: share structure, domicile changes, and the index fund. The recent IPO of Elon Musk's SpaceX—which, having raised $75 billion, was the biggest in history—represents the apogee of this process.

Alongside Musk's far-fetched claims about data centers in space and the colonization of Mars, the SpaceX IPO showcased a more practical feat of corporate engineering. Through a version of the dual-class share structure pioneered by Google in its 2004 IPO, Musk controls 85% of the voting power, far more than the threshold needed to secure his position as CEO, CTO, and chairman of the board. In practice, that means he is the only person capable of firing himself.

This arrangement amounted to a hack of the mid-century corporate form, allowing Musk to tap public capital markets without being accountable to shareholders in the conventional way. For someone who had long resented the oversight that went along with taking a company public—which is why he kept SpaceX private for more than two decades—that looked like a way to have his cake and eat it: a private firm financed with public capital.

A shift in corporate domicile reinforced Musk's ironclad rule. By moving Tesla and SpaceX from Delaware to Texas in 2024, he placed both companies under a legal regime that was much friendlier to CEOs than shareholders, limiting shareholder lawsuits and expanding the use of forced arbitration.

In doing so, Musk started a trend. ExxonMobil and Coinbase have also relocated to Texas, and Meta has reportedly held high-level conversations about making a similar move. His influence on corporate governance has become so pronounced that Stephen Bainbridge, a UCLA law professor, now teaches a course titled "The Corporate and Securities Law of Elon Musk."

A third hack of the mid-century corporation came by way of the rise of the index fund. Totaling a minuscule $21 billion in assets in 1993, index funds now manage more than $20 trillion. As a result, firms that account for a large proportion of the major stock-market indices have become increasingly critical to the financial fortunes of the average investor, whose retirement and college-savings plans are more than likely invested in passive funds.

Traditionally, there was a significant interval between a company going public and its entry into a major stock-market index. Known as “seasoning,” this waiting period was intended to shield passive investors from the volatility of early trading and allow the share price to find its natural level after several months.

But the appetite for massive new listings like SpaceX has led major stock indices to relax these rules. SpaceX was among the first companies to benefit from this, as its seasoning period was shortened from five months to two weeks. As a “controlled company,” whereby a single person or entity holds more than 50% of the voting power, it is also not obliged to maintain a majority-independent board.

In recent years, a handful of tech companies have accounted for a disproportionate share of the stock market’s growth. Consequently, a small number of CEOs have become both unaccountable within their own firms and, by virtue of their firms’ systemic importance, effectively too big to fail. When SpaceX went public as one of the ten largest firms in the United States, it could be virtually assured of a government bailout were it ever to falter.

As if to press the limits of how far his behavior could deviate from what had long been seen as acceptable, Musk spent the week before the SpaceX IPO posting incendiary tweets intended to escalate racial tensions in the United Kingdom. On the day of the IPO, he mentioned crack cocaine in his opening remarks. SpaceX still debuted at a price 11% higher than expected.

When Musk changed his title at Tesla from CEO to “Technoking” in 2021, most people took it as an online joke—Musk’s way of trolling the overly serious financial press. But as the concentration of wealth and power in the tech sector has increased, the autocratic quality of his leadership—exercised as if by divine right—has become more pronounced.

Strikingly, the SpaceX arrangement concentrates power to a degree rarely seen even in monarchies. Yet unlike most monarchies, the company has neither a designated deputy nor a formal line of succession. Were Musk to die, the appointment of a new leader would depend entirely on whoever inherited his shares and the votes attached to them.

The conflation of the corporate leader with the corporation produces a final tweak of the mid-century firm. In the 1950s, CEOs were still paid by salary. That income was subject to taxation at top marginal rates above 90%. In the 1990s, however, corporate executives began to shift toward being compensated in stock options.

Musk, who takes no salary but is awarded colossal tranches of stock options, embodies this shift in its purest form. Freed from tax obligations in the short term, he can choose when to exercise his options. He can also choose where to exercise them, adding yet another incentive for his decision to move from California, with its 13.3% top marginal income-tax rate, to Texas, where it is zero.

In the meantime, Musk can secure ultra-low-interest loans by using those shares as collateral—a strategy known as “buy, borrow, die.” The result is that he has not only fused with his own firm but has also effectively become his own personal tax haven. In the age of the tech oligarchy, the CEO can say, after Louis XIV: “The public corporation, c’est moi.”

46. Governments Should Govern AI, Not Own It

Author: Gabriela Ramos **Published:** Jul 15, 2026 **Link:** View Original

PARIS—It is now abundantly clear that governments must take responsibility for shaping the AI industry. Only independent and proactive institutions, including regulators, can reduce the risks posed by these technologies while ensuring that they enhance, rather than undermine, human dignity.

Too often, however, governments have responded to the rise of AI with resignation, effectively admitting that they do not understand these systems well enough to intervene. In any case, many policymakers argue, it is too soon to justify meaningful action.

That is not how societies have managed previous technological revolutions. From ozone depletion to geoengineering and genetic modification, governments have intervened when there was credible evidence of harm, or when the potential for serious harm became too great to ignore, rather than waiting for complete scientific certainty. In doing so, they have generally adopted an outcome-based approach, focusing on the real-world impact on people and holding companies accountable for the harms caused by their products or technologies.

Governments have a duty to require rigorous assessment of powerful new technologies before they are rushed to market. Independent agencies such as the US Food and Drug Administration, the European Medicines Agency, and the European Food Safety Authority already perform this function for food and pharmaceuticals.

No one, of course, expects government agencies to invent better drugs than pharmaceutical companies can. Their role is to verify that the medicines those companies produce are safe and effective. And despite decades of warnings that regulation would stifle innovation, independent oversight has not made the industry any less innovative or competitive. On the contrary, it has made its discoveries more trustworthy.

Yet the US government, whose decisions shape the global AI market more than those of any other, has repeatedly balked at regulating these technologies, invoking the familiar argument that regulation kills innovation. This reluctance has been reinforced by an increasingly zero-sum view of technological competition with China, even though the United States still develops the overwhelming majority of frontier AI models while China accounts for only a small fraction.

In keeping with the neoliberal approach that has dominated economic policymaking for the past half-century, governments have generally been expected to intervene only after markets fail. But when it comes to AI, a wait-and-see approach could prove catastrophic. Anthropic’s testing of Mythos, for example, showed that the model could identify and exploit vulnerabilities across all major operating systems and web browsers. If deployed irresponsibly or placed in the wrong hands, frontier AI systems with such capabilities could compromise critical infrastructure, financial systems, and national security on a global scale.

In response, US President Donald Trump’s administration has recently imposed restrictions on certain foreign actors’ access to frontier AI models, encouraging countries around the world to reduce dependence on American AI providers and invest in domestic capabilities. This is not the kind of intervention that democratic societies should welcome.

Trump took this logic a step further in June by suggesting that the federal government acquire equity stakes in AI companies so the “American people can benefit.” Just weeks later, OpenAI reportedly proposed offering the US government a 5% stake in the company.

But government ownership should not be confused with public ownership. A public good is something everyone can use and from which no one can be excluded, such as clean air, a public park, or a lighthouse. An equity stake, by contrast, confers ownership rights and influence over a private company, exercised by whichever government happens to be in power.

The OpenAI proposal raises profound concerns. The first is privacy. Imagine turning to an AI assistant like Claude Fable with the questions you would never ask anyone else: how to leave a marriage, how to hide debt from your family, or whom to vote for. Increasingly, people treat AI systems like diaries that answer back.

Now imagine that the government owns part of the company operating that system. In 1984, George Orwell imagined a tyrannical state that imposed surveillance through telescreens. AI offers a subtler dystopia, one in which surveillance begins not with coercion but with trust.

The second concern is institutional. Governments exist to ensure that markets benefit society, not to maximize the value of their investment portfolios. If the state becomes a shareholder in major AI firms, those objectives may come into conflict. Would policymakers be willing to sacrifice the value of the government’s investment in the name of long-term public safety? Even if governments acted in good faith, the structural conflict of interest—or even the appearance of one—would undermine confidence in regulatory independence.

Moreover, OpenAI’s proposal did not emerge from careful institutional design or democratic deliberation. It appears to be an ad hoc response to immediate political pressures rather than part of a coherent strategy for governing AI.

Decades of experience have also taught us what effective intervention looks like: independent regulators, impartial institutions, protections against conflicts of interest, and strict limits on revolving doors between the public sector and industry. Those lessons should not be abandoned precisely when they are needed most.

There are far better ways for policymakers to steer AI markets in the right direction than taking ownership stakes. Rather than becoming shareholders, governments should invest in strong, independent institutions, develop and enforce safety standards, and establish clear liability regimes so that those responsible for AI-related harms can be held accountable. They should also require multinational tech companies to pay their fair share of taxes. Above all, they must cultivate the public-sector expertise needed to keep pace with technological advances.

These proposals are far from radical. They are the institutional tools that successful market economies have developed over decades to reconcile innovation with responsible governance. As transformative as it may be, AI does not require us to reinvent the role of government. But we must reclaim that role. Rather than becoming shareholders, governments should do what they do best: shape markets in the public interest.

47. The Iran War Exposes the Global Economy's Fault Lines

Author: Jayati Ghosh **Published:** Jul 15, 2026 **Link:** View Original

NEW DELHI—The on-again, off-again US-Israeli war against Iran has underscored the growing disconnect between financial markets and real economic activity. It has also exposed how differently such shocks play out across the global economy.

Consider oil markets. While they have been extremely volatile since the war began, their fluctuations have largely reflected shifting perceptions and expectations—often shaped by US President Donald Trump's erratic social media posts—rather than immediate changes in demand and supply.

To be sure, Iran's closure of the Strait of Hormuz did disrupt global oil supplies. But shipping distances and transport lags meant that the effects were not immediately felt by consumers and producers.

Nevertheless, crude oil and natural-gas prices swung sharply as conflicting official announcements repeatedly shifted market expectations. By early July, following the initial ceasefire agreement between the United States and Iran, crude oil was trading below $70 per barrel—roughly where it stood in February, before the war began. Even the subsequent resumption of hostilities has so far produced only a modest price increase.

Despite the volatility in global energy prices, US stock markets recorded their best-performing quarter since 2020 between April and June and continued to rise in early July. The rally was led by AI stocks, buoyed by the belief that AI will deliver unprecedented gains in productivity and economic growth.

To some extent, this reflects the relatively limited impact of the war on economic activity in rich countries. The International Monetary Fund projects only a modest slowdown in GDP growth in advanced economies in 2026, from 1.9% in 2025 to 1.7%. The US, for its part, is expected to grow by 2.3%, up from 2.1% in 2025. Across OECD economies, the unemployment rate stood at 5% in April, virtually unchanged since February 2022.

Advanced economies' resilience can be largely attributed to the recent boom in AI and cryptocurrency investments. Several Asian economies—notably China, Taiwan, South Korea, and Malaysia—have also benefited from this trend. Financial markets' current complacency is further reinforced by the widespread perception that the war with Iran is effectively over, despite both sides' belligerence, or that it will persist only as a low-intensity conflict that allows at least partial movement through the Strait.

Yet this confidence overlooks the war's longer-term economic consequences. Despite the ceasefire, oil exports from the Gulf remained well below pre-war levels. And even if exports recover completely, lower-income countries will continue to bear the costs of today's energy crisis for years to come.

These countries lacked the means to carry out the extraordinary government interventions that limited the energy shock's impact on advanced economies. Roughly 440 million barrels of crude oil and refined products were released from commercial and strategic reserves between April and June, mostly by the US. But with the US Strategic Petroleum Reserve now below half its capacity and approaching its operational floor of 33%, and with total OECD inventories continuing to decline, there is far less scope for a similar intervention. Although prolonged uncertainty over the Strait is likely to accelerate the diversification of both energy sources and trade routes, those adjustments will require years of investment and new infrastructure.

Global attention has largely focused on crude oil, but modern production also relies heavily on petroleum derivatives. According to the International Energy Agency, Gulf exports of refined petroleum products and liquefied petroleum gas were still less than half their pre-war levels in June, partly because the war destroyed some of the region’s refining capacity.

Among the most economically significant petroleum derivatives are fertilizers, which are crucial for agricultural productivity. The Food and Agriculture Organization of the United Nations projects a 15–20% increase in global fertilizer prices in the first half of 2026. As a result, farmers—especially in lower-income countries—must now contend with rising fertilizer prices as well as higher fuel costs for irrigation and transport.

Even modest reductions in fertilizer use can trigger steep declines in crop yields, especially where application rates are already low. But food markets are unlikely to wait for the harvest, as oligopolistic firms typically raise prices in anticipation of tighter supplies, long before physical shortages materialize.

The consequences extend far beyond agriculture. More than 6,000 products rely on fossil-fuel derivatives and processing by-products such as helium, sulfur, methanol, polyethylene, and polypropylene, many of which are supplied by Gulf countries. These inputs are essential for plastics, lubricants, waxes, tars, asphalt, synthetic textiles, and life-saving medical devices like MRI machines and pacemakers. Ironically, the green energy transition also depends on specialized petroleum products used to manufacture, maintain, and operate wind turbines and other renewable-energy infrastructure.

These disruptions will fall disproportionately on lower-income countries, particularly in Asia and Africa, which remain heavily dependent on the Middle East for both imports and exports. Worse still, they come as many emerging and developing economies are still recovering from the damage inflicted by the COVID-19 pandemic, the food and fuel price spikes that followed Russia’s invasion of Ukraine, and the interest-rate hikes that have driven up borrowing costs.

Against this backdrop, the World Bank estimates that the per-capita income gap between advanced and developing economies, excluding China and India, will not return to its pre-pandemic level until after 2028. For many countries in the Global South, the result could be a lost decade; for those already in debt distress, the economic toll could be catastrophic.

This raises a fundamental question: How will an increasingly fragmented global economy reshape geopolitics? Governments around the world have learned that ignoring rising inequality within their own societies fuels political instability. The same lesson applies to the widening economic divide between countries. Financial markets may be able to ignore it for now, but the rest of the world cannot.

48. The West's Turkey Dilemma

Author: Anne O. Krueger **Published:** Jul 15, 2026 **Link:** View Original

WASHINGTON, DC—The rapid rise of China, Russia's invasion of Ukraine, and the US-Israeli war with Iran have made geopolitical rivalry the main force shaping the global economy. President Donald Trump's reversal of long-established US policies has compounded that uncertainty, forcing governments and businesses alike to navigate an increasingly complex strategic landscape.

The recently concluded NATO summit in Ankara reflected this new reality, demonstrating how geopolitical and security imperatives can trump other important policy objectives. Nowhere is that trade-off clearer than in the West's relationship with the summit's host country.

Turkey has long been an underappreciated NATO ally and a vital economic bridge between Europe and the Middle East. Although its ties with NATO and the West have weakened in recent years, the country's unique strategic position makes it indispensable to the alliance. Straddling Europe and Asia, Turkey occupies one of the world's most consequential geopolitical crossroads. Its control of the Bosphorus, which links the Black Sea to the Mediterranean, makes it the gatekeeper of Russia's main warm-water maritime route to the wider world.

Turkey also borders Armenia, Azerbaijan, Bulgaria, Georgia, Greece, Iran, Iraq, and Syria, while sharing the Black Sea coastline with Bulgaria, Georgia, Romania, Ukraine, and Russia. With a population of nearly 88 million and NATO's second-largest military, it is a major regional power. Economically, it has emerged as one of the region's leading manufacturing and logistics hubs.

After remaining neutral for nearly all of World War II, Turkey firmly aligned itself with the West by joining NATO. It later became an associate member of the European Economic Community—the precursor to today's European Union—and eventually applied for full membership. The accession process gained momentum after Recep Tayyip Erdoğan's Justice and Development Party (AKP) won the 2002 election, but negotiations dragged on for years and effectively stalled after 2017. Much of the delay can be attributed to the EU's reluctance to move forward as concerns about democratic backsliding under Erdoğan have intensified.

Erdoğan's increasingly authoritarian rule has also strained relations with the United States, although Trump appears far less troubled by it than his predecessors were. In 2019, Trump's first administration blocked the sale of American F-35 fighter jets to Turkey after the country acquired Russia's S-400 air-defense system because American officials feared that Turkey's possession of both systems could give Russia valuable intelligence about the F-35. The second Trump administration has taken a markedly different approach, moving ahead with plans to sell more than $700 million worth of jet engines for Turkey's KAAN fighter program while signaling its willingness to reconsider the F-35 sale.

The S-400 purchase epitomized Turkey's independent foreign policy and its willingness to maintain close ties with both the West and its principal rivals. As relations with the US and the EU grew increasingly strained, Erdoğan continued to cultivate ties with Russian President Vladimir Putin while also supplying drones to Ukraine. More recently, Erdoğan has sharply criticized the Iran war and, according to Trump, even considered entering the conflict against Israel.

This strategic ambiguity, together with Erdoğan's unconventional economic views—most notably, his repeated assertion that interest-rate hikes cause inflation—has coincided with a marked decline in Turkey's economic fortunes. Two decades ago, the country was widely regarded as one of the world's most promising emerging markets, especially following the sweeping reforms introduced by former Economy Minister Kemal Derviş after the financial crisis of the late 1990s.

Under Erdoğan, however, economic performance has been decidedly uneven. Growth has generally been robust over the past two decades, supported by major infrastructure improvements and the rapid expansion of the defense industry and other manufacturing sectors. But that growth has been accompanied by repeated boom-and-bust cycles, bouts of very high inflation, and recurring macroeconomic instability. While inflation has fallen sharply since peaking at 85% in 2022 following a major stabilization program, the economy remains burdened by persistent challenges, including exchange-rate volatility and weakening exports.

The Ukraine and Iran wars have been both a boon and a burden for the Turkish economy. While Turkey has benefited from business diverted from other parts of the Middle East and from rising exports of military equipment, disruptions to global energy markets and heightened commodity-price volatility have made inflation harder to contain.

In the years leading up to this month's NATO summit, the EU and other Western allies had remained wary of Turkey because of Erdoğan's attacks on democratic institutions, his close relationship with Putin, and his dubious economic policies. But as Turkey's strategic importance grew, many NATO allies began placing greater emphasis on security and defense cooperation. The summit brought that shift into sharper focus, with Trump heaping praise on Erdoğan while European allies largely refrained from publicly criticizing the Turkish leader's domestic record.

These shifts underscore recognition of Turkey's strategic importance and pivotal economic role in an increasingly unstable region—and also encapsulate the dilemma confronting Western democracies: some of the countries that are most critical to transatlantic security are among those drifting furthest from democratic norms. Press them too hard, and they may move into the orbit of rivals such as China and Russia. Press them too little, and erosion of democratic institutions could accelerate, undermining both the values the West seeks to defend and its credibility in defending them.

Reconciling these competing imperatives is extraordinarily difficult, as EU and NATO leaders are discovering. Yet doing so will be crucial not only to preserving the West's credibility but also to realizing Turkey's full potential as both a strategic ally and an economic partner.

49. The Tragedy of “Westalgia”

Author: Mark Leonard **Published:** Jul 15, 2026 **Link:** View Original

BERLIN—European leaders breathed a sigh of relief as US President Donald Trump departed last week’s NATO summit in Ankara, Turkey. Despite a few unseemly moments in which Trump reiterated his desire to seize Greenland and nonsensically ordered a halt to all trade with Spain, the meeting went off without any major catastrophes.

Most importantly, Trump did not announce any major troop withdrawals from Europe or any moves to leave the alliance. He even had warm words for Ukrainian President Volodymyr Zelensky, and pledged to grant Ukraine a license to manufacture Patriot air-defense missiles domestically. By the end, even Trump proclaimed that there was “love” in the air.

But optics aside, the summit was an absurd exercise. NATO leaders reveled in their pledges to increase defense-related spending to 5%, even though everyone knows that this arbitrary number means nothing in the absence of deeper discussions about capabilities. The figure was pulled out of thin air last year to appease Trump. In the months leading up to the summit, the same leaders had worried that Trump would withdraw the United States from the alliance or dramatically reduce its presence in Europe, which would then find itself at the mercy of Vladimir Putin’s Russia.

That is why NATO leaders expended so much energy preparing a summit that would not allow for any unscripted moments. Fears that the mercurial US president would use the occasion to undermine the alliance were palpable. When the moment came, European leaders reportedly fell over themselves to praise Trump, with NATO’s secretary general, Mark Rutte, leading the sycophantic charge.

Some commentators believe that saving NATO and keeping the Western alliance alive was worth this self-abasement. But by kowtowing to Trump and indulgently harking back to the good old days of the transatlantic relationship, Europe’s leaders are risking more than just their dignity.

Consider the period following the fall of the Berlin Wall. After the initial euphoria, many parts of the former German Democratic Republic (East Germany) were emptied out as their populations left, even as property prices were driven up by an influx of wealthier West Germans. The result was a wave of nostalgia for a lost world, expressed in films like Good Bye, Lenin!

The term coined to describe this emotion was Ostalgie (“Eastalgia”), and it has shaped German politics and culture for almost 40 years now. Although many East German writers have criticized such sentimentality for trivializing East Germany’s decades-long repression, some see it as the key to understanding what ails Germany’s eastern regions today. There one finds a widespread refusal to acknowledge that the world has changed, a habit of free riding, and a tendency—occasionally—to look ridiculous, such as when East Germans parrot Russian talking points on Ukraine.

Ironically, Europe’s problem today is not just that Ostalgie has held back eastern Germany; it is that a new malady, Westalgia, has taken hold. It was on full display in Ankara.

Westalgia has several key features. The first is a refusal to acknowledge that the world has moved on. By acting as if US security guarantees are still as ironclad as they were under the Ronald Reagan and George H.W. Bush administrations, and by continuing to purchase US weapons, they hope to turn back the clock. But a better strategy would recognize that America has changed in fundamental ways. Even if a Democrat moves into the White House in January 2029, US retrenchment will continue.

Those who want to turn back the clock naturally see the past through rose-tinted glasses, even though elements of the post-Cold War settlement were not to Europe's advantage. Specifically, Europe's hyper-reliance on American power clearly had an infantilizing effect. Even when caught between a predatory Russia, a fickle US, and a coercive China, Europeans are still wont to downplay and underestimate their own power and influence.

The second feature of Westalgia is a tendency to free ride. Just as eastern Germans grew accustomed to the transfer payments and subsidies (the infamous Solidaritätszuschlag, or "solidarity tax") that flowed eastward after unification, so have Europeans become accustomed to America bankrolling their security. As a result, Europeans have under-invested, not just in defense but also in their industrial base, technological sovereignty, and energy independence.

Instead of complaining that US citizens no longer want to be responsible for defending Europe, and instead of spending billions of dollars to satisfy Trump's vanity, Europeans would be better off having a serious conversation about how they could fight a high-intensity conflict on their own, if necessary. Instead of spending an arbitrary share of their GDP on defense, they should critically evaluate their capability gaps and adjust their spending to match their needs. Coffers are tight everywhere, but it will be easier to justify expenditures on weapons if they appear less geared toward flattering Trump.

Third, in their subservience to the US president, Europeans often do not hide it well, which prevents them from being taken seriously—be it by Trump, Putin, or Chinese President Xi Jinping. If there is one man who presumably respects Rutte less than Rutte himself, it is Trump. Europe will garner the world's respect only when it stands up for itself.

Whereas Ostalgie was a bottom-up phenomenon, Westalgia is being driven by elites. Of course, European politicians need to allay their skittish electorates' fears. But if they want to succeed in the 21st century, they must stop selling nostalgia and start looking to the future.

50. The Death of the Degree

Author: Iryna Volnytska **Published:** Jul 16, 2026 **Link:** View Original

KYIV—Just as French aristocrats under the ancien régime could hardly imagine the abolition of their noble titles, most of today’s university leaders cannot conceive of a world in which the degrees they confer become worthless pieces of paper. The former were in for a rude awakening in 1790; the latter are barreling toward a similar shock.

No longer a social service, education has become the new infrastructure of power. Whoever controls the development of technical talent controls the future. The countries that understand this have stopped arguing about teaching quality and started measuring how fast knowledge translates into capability. The rest are reforming a 20th-century system and calling it progress.

Large employers like Google, Apple, and IBM now have hiring practices that focus on skills rather than degrees. More than half of employers have gone so far as to drop degree requirements entirely for some roles. Recruiters no longer want to know how much applicants have memorized; they want to know how they make decisions amid uncertainty and how quickly they learn.

Y Combinator funds Stanford dropouts—or people who forgo university altogether. A GitHub profile now says more about what you can build than a college transcript. To be sure, degrees still hold value, but mostly for entry to regulated professions like law and medicine, public-sector jobs, and prestige networks. But notice that this value lies in access, not knowledge.

In an AI-transformed world, capability is the new dividing line. True, a free AI chatbot will explain quantum mechanics to anyone. But access to a tool is not the same as the ability to use it. A chasm is growing between people who can harness AI to solve a hard problem and people who only consume the answers it hands them. The defining skill of the next decade will be orchestration: running several AI agents toward an outcome defined by the individual.

This raises an important question: Is AI in education a threat or an opportunity? My answer is that it is an opportunity, but only for institutions willing to rebuild around the technology. That means overhauling assessment methods, because reproducing knowledge is no longer as important as demonstrating judgment and application skills. The key is to test whether a student can command and critique an AI system, rather than outsource thinking to it. With this shift, AI can become education’s largest-ever scaling lever, providing personalized tutoring at near-zero marginal cost, simulation at scale, and instant feedback.

Consider the live drone-hack simulation that Ukraine’s SET University, where I am president, ran with IronCyber, my cybersecurity startup. When applying AI, it was completed roughly six times faster. The technical layer can be compressed, but the orchestration layer cannot—a reality that the old educational model, which was built to be AI-resistant, fails to grasp.

The university does not know its own value. Its campus, faculty, and academic programs are ostensibly its most prized assets. But in the digital era, data trumps all else. Every interaction a student has with a learning platform leaves a trace of their cognitive processing, speed of adaptation, and capacity to collaborate. Universities sit on terabytes of this information but do little with it.

All this points to the need for AI-native institutions. The dramatic death and rebirth of the edtech sector suggest that such a shift is already underway. The companies that simply moved lectures online are disappearing. The investors who once scaled some of Silicon Valley's most prominent tech firms are funding their replacements. Outsmart, launched by former Duolingo executives, has raised more than $36 million from Khosla Ventures, Lightspeed, and DST Global on a single promise: to build "the university of the future."

Other powerful tech players who no longer trust universities have also started building alternatives. Peter Thiel pays young people $100,000 to drop out of school and launch startups. Y Combinator became a university of founders, compressing years of iteration into a few months. And yet, elite universities' real product was never education—MIT has given away lectures for two decades. It is the network. Four years in the same room builds social capital that compounds for life. That, not the curriculum, is what people pay for.

It follows, then, that the future of the university rests on deliberately designing environments that foster strong connections—which almost no one is doing. Moreover, the focus should be less on the number of STEM (science, technology, engineering, and mathematics) graduates, and more on the pipeline from university to product. Many have fretted that China graduates more STEM PhDs than the United States. But what sets China apart is the speed with which it turns research into innovation that people can use—a few years, compared to a decade or more elsewhere.

Most of the world treats education as a cultural mission to be improved at the margins, even though it has become a crucial determinant of strategic advantage. Why else would Canada, Germany, Singapore, and the United Arab Emirates have fast-track visas to import tech workers that someone else paid to train? Developing talent for export is a subsidy to other economies. The question that should guide education reformers is how fast they can convert a person's knowledge into a country's gain, before someone else beats them to it.

51. Where Will Global Financial Fragmentation Lead?

Author: Şebnem Kalemli-Özcan **Published:** Jul 16, 2026 **Link:** View Original

ROME—The global monetary order is fragmenting. Each use of financial sanctions by the United States raises the option value of an alternative to the dollar, making diversification a form of strategic insurance. But while managed diversification is healthy, a disorderly scramble for the exits would not be.

Europe learned a version of this lesson in 2010, and its experience remains the best evidence we have about what currency unification can and cannot deliver. Since debates about geopolitical fragmentation always revive the late economist Robert Mundell's dream of a world currency—or its modern variant of two leading currencies, the dollar and the euro—we should be mindful of the euro's real-world experience over the past quarter-century.

The euro crisis was the perfect test of the optimal currency area (OCA) theory that Mundell had presented in his 1961 paper, because his criteria—factor mobility (especially that of labor), fiscal transfers, and symmetric shocks—turned out to be exactly the dimensions along which the eurozone would be challenged. A monetary union without a fiscal union and labor mobility, facing asymmetric shocks, behaved precisely as the theory predicted: it transmitted stress it could not absorb. The crisis thus seemed to vindicate Mundell's OCA theory.

Of course, OCA criteria are not fixed in time, but rather are shaped by economic integration itself. In a 2001 paper, my colleagues and I showed that regions and countries with more specialized production structures have output fluctuations that are less correlated with everyone else's. Combined with our earlier finding that capital-market integration causes such specialization, we concluded that financial integration pushes shocks toward greater asymmetry.

We then described the mechanism behind this pattern in a 2003 paper, showing that the more a group can share risk—across German regions, US states, or EU countries, for example—the more its members can afford to specialize and trade. Thus, insurance buys specialization, which in turn buys trade and output asymmetry. The empirical upshot of Mundell's theory is that regions within federations share risk heavily and specialize extensively, whereas sovereign countries share almost no risk at all. The euro, on this reading, still cannot be an OCA. It had the integration that drives specialization and asymmetry, but it lacked the federal insurance that makes asymmetry survivable.

Without such insurance, a single currency misallocates capital, leading to declining productivity. As we show in a 2017 paper, the interest-rate convergence that accompanied the euro's arrival did send a flood of cheap capital into Spain, Italy, and Portugal—exactly the "downhill" flow the textbook promised. But the textbook also predicted that this capital would find its most productive uses, and it did not—a misallocation story. In economies with size-dependent financial frictions, the falling cost of capital drew investment toward firms with high net worth rather than high productivity. As the dispersion of returns to capital across firms widened, total factor productivity fell.

This pattern appears in Spain, Italy, and Portugal, but notably not in Germany, France, or Norway, where financial markets are deeper. The euro did not merely expose its members to asymmetric shocks they could not insure against; the capital it attracted was systematically misallocated, dragging down the productivity of the periphery.

So, these mechanisms explain why monetary union has proved so much harder in practice than its architects hoped. Could the world nonetheless converge to a durable dollar-euro duopoly? Current trends suggest not. Geopolitical fragmentation is pushing the system toward many currency blocs, not toward one or two central banks. The political logic of the moment favors assertions of monetary sovereignty of every nation, not its surrender.

A generalized version of the European story is also the story of the past four decades of financial globalization. The textbook case for globalization in the 1990s promised that capital would flow downhill from rich economies to poorer ones, equalizing returns and accelerating convergence. Instead, the paradox that Robert Lucas had observed in 1990 held. Instead of capital flowing from developed to developing countries, China’s savings flowed to the US, producing the persistent imbalances and domestic grievances that now drive US trade policy. Likewise, integration was supposed to let countries insure one another against shocks. Instead, consumption remained less correlated than output across countries. It was the reverse of what efficient risk sharing predicts. The world got the contagion without the insurance.

What about the current digital-currency revolution? A naive reading casts it as a global-single-currency enabler; but, in practice, the opposite is happening. Stablecoins, the fastest-growing form of cross-border digital money, are roughly 97% dollar-denominated, and US legislation now deliberately channels digital-dollar activity into privately issued Treasury-backed tokens, with the explicit strategic aim of entrenching the dollar. As a response, China’s e-CNY—and perhaps a future digital euro—is being built as an instrument of national monetary sovereignty, for the express purpose of creating payment rails that can operate outside the dollar system. The technology that could in principle have delivered Mundell’s single world money is instead deepening dollar dominance and fortifying national monies. It is fragmenting, not unifying, the monetary order. It is only a matter of time before every country pushes for its own digital currency.

Mundell’s wished-for destination is unreachable because the world is nowhere near an OCA: labor does not move freely across borders; there is no global fiscal authority to transfer resources from booming regions to slumping ones; and shocks are profoundly asymmetric across countries.

A single global currency would do to the world what the euro did to its periphery. It would drive further specialization and more asymmetry over time, with no fiscal union to insure against it. The man who gave us the tools to evaluate OCAs also gave us the decisive argument against the single world currency.

The international monetary system today is best understood not as Mundell’s map of regions choosing exchange-rate regimes, but as a network of trade and financial linkages through which monetary influence propagates. Resilience in such a system will come neither from a single global currency nor from a scramble into national fortresses, but from the deliberate management of the linkages that constitute the network.

52. Hungary's Real Economic Test

Author: Gene Frieda **Published:** Jul 16, 2026 **Link:** View Original

CANNES—For the first time in more than a decade, a Hungarian government has said something about the euro that markets can actually plan around. Prime Minister Péter Magyar's government has just announced that, later this year, it will present a revised medium-term fiscal framework to meet the criteria for eurozone membership. Euro adoption has drifted in and out of Hungarian policy debates for years, without ever becoming a serious governing objective. This is the first credible signal that something has changed.

Of course, the announcement is just the first step in a multi-year negotiation with reality. The Maastricht criteria that will structure the coming framework document—a deficit below 3% of GDP, debt on a declining path, contained inflation, a stable exchange rate—are necessary but not sufficient. The bigger challenge for Hungary is to prove that it can live within a monetary union permanently.

The Magyar government has inherited an unenviable economic situation. According to the OECD, Hungary's fiscal deficit was running close to 5% of GDP last year, and is expected to exceed 6% this year—several times the level most countries have historically run in the year before fixing their exchange rate against the euro. Likewise, public debt sits at 75% of GDP, well above the median for the nine countries that have joined the currency since 2004.

None of this is a surprise to observers of Hungarian fiscal policy over the past decade and a half. Former Prime Minister Viktor Orbán presided over chronic deficits and an economy addicted to targeted subsidies. But what is less widely appreciated is that even a credible three-year fiscal consolidation would not be enough to ready Hungary for the euro. The lesson from the eurozone's enlargement since 2004 is that meeting the criteria does not mean being fit for monetary union.

Confusing the two has been expensive. Greece was judged to have met every Maastricht threshold when it joined in 2001. A decade later, however, it needed one of the largest sovereign bailouts in history, because low interest rates and a fixed exchange rate had hidden deep structural weaknesses in the Greek economy (inflexible labor markets, an undiversified productive base, weak institutions).

Slovenia ran into a version of the same problem half a decade after its own 2007 entry, when a domestic credit boom fed by cheap post-accession financing left its banks in need of a major state rescue. And the Baltic states offer a related warning: their brutal 2008-09 boom-and-bust cycle happened while they were still outside the euro, to which they were tied only through currency pegs. In this case, it was the absence of any exchange-rate flexibility that made the bust so severe.

All three cases point to the same lesson: nominal convergence can mask, rather than resolve, the structural weaknesses that determine whether a monetary union works. Hungary carries several of these risks in more acute form than the post-2004 cohort did. For starters, its export base is heavily concentrated in automotive manufacturing—a sector now being squeezed by Chinese overcapacity in electric vehicles and by the retrenchment of the German carmakers that anchor Hungary's supply chains.

Meanwhile, the minimum wage has risen so fast (relative to average earnings) that it is limiting the wage flexibility that Hungary will need when it can no longer devalue its way out of a downturn. And its central bank, having spent the better part of two years re-establishing credibility after presiding over one of the highest inflation rates in the European Union, cannot yet point to the kind of durably boring track record that convinces markets and the European Central Bank that low inflation will outlast the current government.

There is also a nearer-term complication. Since the change of government in April, the Hungarian forint has strengthened by close to 10% against the euro, reflecting genuine optimism about reform after 16 years of institutional erosion. This relief rally, combined with interest rates that remain restrictive even as growth stalls, has produced a currency and monetary stance that is, if anything, far too tight for current economic conditions. That means the biggest risk to near-term growth has far less to do with joining the euro than with getting the sequencing of disinflation and recovery right.

Put another way, Hungary must pursue its euro aspiration in a disciplined way. Croatia offers the clearest recent template for how to proceed. Rather than rushing to lock in an exchange rate, it spent years following a detailed reform roadmap agreed jointly with the ECB and the European Commission. Only after addressing bank supervision, anti-money-laundering rules, and statistical governance did it enter the two-year waiting room that precedes euro adoption. By the time Croatia joined the eurozone in 2023, it had little else to prove.

Hungary’s own history offers a cautionary counterexample. On multiple occasions since the mid-2000s, euro entry has been discussed, deferred, and quietly dropped from the agenda once the fiscal cost became clear. The test for the new government’s fiscal framework is not whether it offers a credible glide path for the headline deficit (any competent finance ministry can produce that). The real test is whether structural reforms of the labor market, the tax base, and the institutions that will need to survive changes of government are inseparable from that path. If these reforms are viewed as a priority to be addressed once the criteria are technically met, major risks will remain.

Entering a currency union with favorable market sentiment and a flattering read of the deficit trajectory, but without an economy that can function without the tools it is giving up, would be a formula for more broken promises. That is precisely the trend that Magyar was elected to end.

53. Development Economics for an Age of Upheaval

Author: Carlos Lopes **Published:** Jul 16, 2026 **Link:** View Original

CAPE TOWN—The economist Dani Rodrik recently reopened one of development economics' most enduring debates, arguing that developing countries should shift their attention from manufacturing to productivity-enhancing services. In doing so, he has challenged the long-held assumption that manufacturing remains the primary engine of development.

But the deeper issue is not whether services should replace manufacturing. It is whether structural transformation should still be understood primarily as the movement of resources between sectors. That framework, which guided development economics for more than half a century, is increasingly out of step with how modern economies actually create value.

From W. Arthur Lewis and Raúl Prebisch to Albert Hirschman and Nicholas Kaldor, structural transformation was understood as the reallocation of labor and capital from low-productivity activities to more productive ones. Manufacturing occupied center stage because it combined economies of scale, technological learning, and sustained productivity growth. But that framework reflected the realities of an era in which factories were at the heart of technological progress and income growth.

The objectives of development have not changed since then, as productivity, technological learning, and economic complexity remain the foundations of long-term prosperity. What has changed is where—and how—those capabilities emerge.

Three factors are driving this shift. AI is rapidly reshaping the relationship between labor and production, while geopolitical fragmentation has brought industrial policy back to the center of economic strategy. At the same time, the clean-energy transition is reorganizing production around new technologies, critical minerals, and low-carbon industries. Although none of these developments diminishes the importance of manufacturing, together they suggest that it no longer defines structural transformation.

Increasingly, what matters is not the sectors themselves but the productive capabilities they encompass. Modern manufacturing depends on software, logistics, finance, and digital platforms, while agriculture relies on biotechnology, satellite imagery, and precision engineering. Sophisticated services now drive the technological learning, innovation, and export dynamism once associated almost exclusively with manufacturing. As a result, the boundaries once separating these sectors are steadily blurring.

In many respects, capabilities have always been the true engine of structural transformation. And given that productive services increasingly perform the role historically played by manufacturing, the most important question is which activities continuously expand an economy's productive capacity. The answer lies in ecosystems that integrate manufacturing and engineering with research, digital infrastructure, finance, and public institutions.

Consider electric-vehicle batteries. Traditional industrial policy encourages countries such as the Democratic Republic of the Congo to process cobalt domestically rather than export raw ore. But domestic manufacturing alone no longer guarantees that countries will capture the most profitable parts of the value chain. Even if the DRC succeeds in producing battery components—or even batteries themselves—much of the value will flow elsewhere so long as the design, specialized equipment, software, technical standards, and distribution networks remain concentrated abroad.

China illustrates this dynamic. For all its manufacturing prowess, the country's competitive advantage stems less from manufacturing scale than from its control over the technologies, technical know-how, intellectual property, and industrial ecosystems in which manufacturing operates. The lesson is clear: structural transformation requires moving beyond production toward ownership of the productive ecosystem itself.

For Africa, however, this lesson strengthens the case for industrialization, as building technological capabilities and capturing more value domestically remain essential priorities. If anything, AI and the growing importance of productive services reinforce manufacturing's role as a powerful source of learning, technological progress, and capability building.

Yet Africa's comparative advantages are also evolving. Unlike previous late developers, African countries are pursuing industrialization in a world in which demographic change, the climate transition, and digital technologies are transforming the development landscape. As advanced economies age, Africa is projected to account for much of the growth in the world's working-age population and consumer demand.

Because African countries are not constrained by legacy production systems, they can build renewable energy systems, low-carbon industries, and digitally integrated infrastructure from the ground up, rather than retrofit carbon-intensive systems built over more than a century. But whether they can capitalize on these advantages will depend on their ability to build institutions that foster learning and innovation.

Industrial policy must evolve accordingly. Rather than simply promoting manufacturing or targeting strategic sectors, governments must create the conditions for productive capabilities to expand. That means cultivating ecosystems that connect firms with universities, research institutions, financial systems, digital infrastructure, and regional markets.

Industrialization in Africa has always been about building the institutional foundations of a modern economy. Industrial societies rely on formal markets, modern logistics, financial intermediation, enforceable contracts, and reliable data, all supported by institutions capable of managing complex economic interactions. Factories are only one part of that broader architecture.

This is where emerging technologies offer new opportunities that previous late developers did not have. Digital payments, identity systems, interoperable public platforms, and AI can accelerate formalization, lower transaction costs, improve tax administration, expand access to finance, and strengthen state capacity.

AI, in particular, has the potential to modernize the institutional architecture within which markets function. Properly governed, it can help countries leapfrog stages of industrial development while creating new opportunities to develop and protect intellectual property.

By challenging manufacturing exceptionalism, Rodrik has done development economics a valuable service. The next step is to question sectoral exceptionalism itself and rethink how production is structured.

In a world organized around digital networks, intangible assets, and industrial ecosystems, prosperity will depend on economies' ability to accumulate and renew productive capacity. Rather than retracing the path of earlier industrializers, Africa must seize this moment to forge a new model of structural transformation.